BUSINESS MANAGEMENT

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INTRODUCTION

A business develops over time with complexities. With increasing complexities, managing the company has become a difficult task. The need for the existence of management has improved tremendously. Management is essential not only for business concerns but also for banks, schools, colleges, hospitals, hotels, religious bodies, charitable trusts, etc. Every business unit has some objectives of its own. These objectives can be achieved with the coordinated efforts of several personnel. The work of several persons is adequately coordinated to achieve the goals through management, which is not a matter of pressing a button, pulling a lever, issuing orders, scanning profit and loss statements, and promulgating rules and regulations. Instead, it is the power to determine what shall happen to the personalities and happiness of entire people, the power to shape the destiny of a nation and all the nations that make up the world." **Peter F. Drucker** stated in his famous book "The Practice of Management" that "*the emergence of management as an essential, a distinct and leading social institution is a pivotal event in social history. Rarely in human history has a new institution proved indispensable so quickly and even less often as a new institution arrived with so little opposition, disturbance, and controversy*?"

Management is vital to human economic life and an organised group activity. It is considered an indispensable institution in modern social organisation, marked by scientific thought and technological innovations. One or the other form of management is essential wherever human efforts are to be undertaken collectively to satisfy wants through some productive activity, occupation, or profession.

Management regulates man's productive activities through the coordinated use of material resources. With the leadership provided by management, the production resources remain and become production.

Management is the integrating force in all organised activity. Whenever two or more people work together to attain a common objective, they must coordinate their activities. They also must organise and utilise their resources in such a way as to optimise the results. Not only in business enterprises where costs and revenues can be ascertained accurately and objectively but also in service organisations such as government, hospitals, schools, clubs, etc., scarce resources, including men, machines, materials and money, have to be integrated

into a productive relationship, and utilised efficiently towards the achievement of their gals. Thus, management is expected of business organisations but familiar to all social organisations.

Management has achieved an enviable importance in recent times. We are all intimately associated with many kinds of organisations, the most omnipresent being the government, the school and the hospital. More and more major social tasks are being organised on an institutional basis. Medical care, education, recreation, irrigation, lighting, sanitation, etc., which typically used to be the concern of the individual or the family, are now the domain of large organisations. Although organisations other than businesses do not speak of management, they all need management. It is the specific organ of all kinds of organisations since they must utilise their limited resources most efficiently and effectively to achieve their goals. It is the most vital force in successfully performing organised social activities.

The importance of management for developing underdeveloped economies has been recognised during the last one and a half decades. There is a significant gap between the management effectiveness in developed and underdeveloped countries. It is rightly held that development is the function of capital, physical, and material resources and their optimum utilisation. Effective management can produce more outputs of goods and services with given resources and expand them through better use of science and technology. Economic growth can be attained in our country through more efficient and effective management of our business and other social organisations, even with existing physical and financial resources. That is why it is increasingly recognised that underdeveloped countries are inadequately managed.

The emergence of management in modern times is a significant development as the advancement of modern technology. It has made the organisation of economic activity possible in giant organisations like the Steel Authority of India and the Life Insurance Corporation of India. It is mainly through the achievements of modern management that Western countries have reached the stage of mass consumption societies, and it is primarily through more effective management of our economic and social institutions that we can improve the quality of life of our people. The achievements of business management hold

the hope that the vast masses in third-world countries can banish poverty and achieve decent living standards for themselves.

1.1Definition of management

Management is a set of rules, principles, and guidelines that, if properly harnessed and coordinated, may lead to the realisation of organised financial and human resources projects, to name a few. Management theories, practices, and discipline are exercised in almost all fields of life. The absence of proper management will most likely always lead to chaotic outcomes. It can be further understood as interlocking functions designed to create policies that help organise control and deliver in an organisation.

Management engineering is the next level we must strive to achieve. Managers who show proof of initiative can achieve modern economies' economic transformation and attain emergence in some countries. It involves using a purely scientific approach in an organisation's leadership and delivery, including quantitative data statistics and scientific engineering tools to measure performance output.

Although management as a discipline is over 80 years old, there has yet to be a joint agreement among its experts and practitioners about its precise definition. This is so in all social sciences like psychology, sociology, anthropology, economics, political science, etc. As a result of unprecedented and breathtaking technological developments, business organisations have grown in complexity, causing consequential changes in the practice of management. Changes in management styles and practices have led to changes in management thought. Moreover, interdisciplinary management has changed because of behavioural sciences, quantitative techniques, engineering and technology developments, etc. Since it deals with producing and distributing goods and services, the dynamism of its environments, such as social, cultural and religious values, consumers' tastes and preferences, education and information explosion, the democratisation of governments, etc., have also changed its theory and practice. Yet, a definition of management is necessary for its teaching, research, and improvement in its practice.

Many management experts have tried to define management. But, no definition of management has been universally accepted. Let us discuss some of the leading definitions of management:

Peter F. Drucker defines 'management as an organ; organs can be described and defined only through their functions'.

According to Terry, 'Management is not people; it is an activity like walking, reading, swimming or running. People who perform Management can be designated as members, members of Management or executive leaders.'

Ralph C. Davis defined management as 'Management being the function of executive leadership anywhere.'

McFarland states, 'Management is defined for conceptual, theoretical, and analytical purposes as that process by which managers create, direct, maintain, and operate a purposive organisation through systematic, coordinated, co-operative human effort.'

Henry Fayol, 'To manage is to forecast and plan, to organise, to compound, to co-ordinate and to control.'

Harold Koontz says, 'Management is the art of getting things done through and within a formally organised group.'

William Spiegel, 'Management is the function of an enterprise concerned with the direction and control of the various activities to attain business objectives. Management is essentially an executive function; it deals with the active direction of the human effort.'

Kimball and Kimball, 'Management embraces all duties and functions that pertain to the initiation of an enterprise, its financing, the establishment of all major policies, the provision of all necessary equipment, the outlining of the general form of organisation under which the enterprise is to operate and the selection of the principal officers.'

Sir Charles Reynold, 'Management is the process of getting things done through the agency of a community. The functions of management are the handling of community to fulfil the purposes for which it exists.'

E.F.L. Brech, 'Management is concerned with seeing that the job gets done; its tasks all centre on planning and guiding the operations that are going on in the enterprise.'

Koontz and O'Donnell said: 'Management is the creation and maintenance of an internal environment in an enterprise where individuals, working in groups, can perform efficiently and effectively toward the attainment of group' goals. It is the art of getting the work done through and with people in formally organised groups.'

James Lundy, 'Management is principally a task of planning, coordinating, motivating and controlling the efforts of others towards a specific objective. It involves combining the traditional factors of production land, labour, and capital in an optimum manner, paying due attention to the organisation's particular goals.'

Wheeler, 'Management is centred in the administrators or managers of the firm who integrate men, material and money into an effective operating limit.'

J.N. Schulze, 'Management is the force which leads, guides, and directs an organisation toward accomplishing a pre-determined objective.'

Oliver Sheldon, 'Management proper is the function in the industry concerned in the execution of policy, within limits set up by the administration and the employment of the organisation for the particular objectives set before it.'

In summary, various definitions of management are consistent with one another. Management is the sum-total of all those activities that (i) determine objectives, plans, policies and programmes; (ii) secure men, materials, and machinery cheaply (iii) put all these resources into operations through a sound organisation (iv) direct and motivate the men at work, (v) supervises and control their performance and (iv) provide maximum prosperity and happiness for both employer and employees and public at large.

1.2 Characteristics of Management

Management is a distinct activity having the following salient features:

1. Economic Resource: Management is a factor of production along with land, labour, and capital. As industrialisation increases, the need for managers also increases.

Efficient management is the most critical input in the success of any organised group activity. It is the force that assembles and integrates other factors of production, namely labour, capital, and materials. However, inputs of labour, capital, and materials do not themselves ensure production; they require the catalyst of management to produce the goods and services society needs.

Thus, management is an essential ingredient of an organisation.

2. Goal-Oriented: Management is a purposeful activity. It coordinates the efforts of workers to achieve the organisation's goals. The success of management is measured by the extent to which the organisational goals are achieved. The organisational goals must be well-defined and understood adequately by management at various levels.

3. Distinct Process: Management is a distinct process consisting of functions such as planning, organising, staffing, directing, and controlling. These functions are so interwoven that determining the sequence of various functions or their relative significance is impossible.

4. Integrative Force: The essence of management is integrating human and other resources to achieve the desired objectives. All these resources are made available to those who manage. Managers apply knowledge, experience, and management principles to get results from workers using non-human resources.

Managers also seek to harmonise individual goals with organisational goals to ensure the smooth functioning of the organisation.

5. System of Authority: Management as a team of managers represents a system of authority, a command-and-control hierarchy. Managers at different levels possess varying degrees of authority. Generally, the degree of authority gradually reduces as we move down in the managerial hierarchy. Authority enables managers to perform their functions effectively.

6. Multidisciplinary Subject: Management has grown as a field of study (i.e. discipline) with the help of many other disciplines, such as engineering,

anthropology, sociology, and psychology. Much of the management literature is the result of the association of these disciplines. For instance, productivity orientation drew inspiration from industrial engineering and human relations orientation from psychology. Similarly, sociology and operations research have also contributed to developing management science.

7. **Universal Application:** Management is universal in character. Its principles and techniques are equally applicable in business, education, military, government, and hospitals.
Henri Fayol suggested that management principles apply in every situation. The principles are flexible working guidelines capable of adaptation to every organisation where human efforts are to be coordinated.

1.3 Management functions

There needs to be more disagreement among management writers on categorising managerial functions. Newman and Summer recognise only four functions: organising, planning, leading, and controlling.

Henri Fayol identifies five management functions: planning, organising, commanding, coordinating and controlling. Luther Gulick states seven such functions under the catchword 'POSDCORB', which stands for planning, organising, staffing, directing, coordinating, reporting and budgeting. Warren Haynes and Joseph Massie classify management functions into decision-making, organising, staffing, planning, controlling, communicating and directing. Koontz and O'Donnell divide these functions into planning, organising, staffing, directing and controlling.

For our purpose, we shall designate the following six functions of a manager: planning, organising, staffing, directing, coordinating, and controlling.

1. Planning: Planning is the most fundamental and pervasive management function. If people working in groups have to perform effectively, they should know in advance what is to be done, what activities they have to perform to do what is to be done, and when it is to be done. Planning concerns the 'what', 'how, and 'when' of performance. It is deciding in the present about the future objectives and the courses of action for their achievement.

It thus involves:

(a) Determination of long and short-range objectives;

(b) Development of strategies and courses of action to be followed for the achievement of these objectives; and

(c) Formulating policies, procedures, rules, etc., for implementing strategies and plans.

Organisational objectives are set by top management in the context of the organisation's essential purpose and mission, environmental factors, business forecasts, and available and potential resources. These objectives are both long-range and short-range. They are divided into divisional, departmental, sectional, and individual objectives or goals. This is followed by developing strategies and courses of action at various levels of management and in different segments of the organisation. Policies, procedures, and rules provide the decision-making framework and the method and order for the decision-making and implementation.

Every manager performs all these planning functions or contributes to their performance. In some organisations, notably, those traditionally managed, and small ones, planning often needs to be done more deliberately and systematically, but it is still done. The plans may be in the minds of their managers rather than explicitly and precisely spelt out: they may be fuzzy rather than explicit, but they are always there. Planning is thus the most basic function of management. It is performed in all kinds of organisations by all managers at all levels of hierarchy.

2. Organizing: Organizing involves the identification of activities required for the achievement of enterprise objectives and implementation of plans; grouping of activities into jobs; assignment of these jobs and activities to departments and individuals; delegation of responsibility and authority for performance, and provision for vertical and horizontal coordination of activities. Every manager must decide what activities must be undertaken in his department or section to achieve the goals entrusted to him. Having identified the activities, he has to group identical or similar activities to do jobs, assign these jobs or groups of activities to his subordinates, delegate authority to them to enable them to make decisions and initiate action for undertaking these activities, and provide for

coordination between himself and his subordinates, and among his subordinates. Organising thus involves the following sub-functions:

(a) Identification of activities required to achieve objectives and implement plans.

(b) Grouping the activities to create self-contained jobs.

(c) Assignment of jobs to employees.

(d) Delegation of authority to enable them to perform their jobs and to command the resources needed for their performance.

(e) Establishment of a network of coordinating relationships.

The organising process results in the organisation's structure. It comprises organisational positions, accompanying tasks and responsibilities, and a network of roles and authority-responsibility relationships.

Organising is thus the basic process of combining and integrating human, physical, and financial resources in productive interrelationships to achieve enterprise objectives. It aims to combine employees and interrelated tasks in an orderly manner so that organisational work is performed in a coordinated manner and all efforts and activities pull together in the direction of organisational goals.

3. Staffing: Staffing is a continuous and vital function of management.

After the objectives have been determined, strategies, policies, programs, procedures and rules formulated for their achievement, activities for the implementation of strategies, policies, programs, etc., identified and grouped into jobs, the next logical step in the management process is to procure suitable personnel for operating the jobs. Since the efficiency and effectiveness of an organisation significantly depend on the quality of its personnel and since it is one of the primary functions of management to achieve qualified and trained people to fill various positions, staffing has been recognised as a distinct function of management. It comprises several sub-functions:

(a) Manpower planning involves determining the number and the kind of personnel required.

(b) Recruitment for attracting an adequate number of potential employees to seek jobs in the enterprise.

(c) Selection of the most suitable persons for the jobs under consideration.

(d) Placement, induction and orientation.

(e) Transfers, promotions, termination and layoff.

(f) Training and development of employees.

As the importance of the human factor in organisational effectiveness is increasingly recognised, staffing is gaining acceptance as a distinct function of management. It need hardly be stressed that no organisation can ever be better than its people, and managers must perform the staffing function with as much concern as any other function.

4. Directing: Directing is the function of leading employees to perform efficiently and contribute their optimum performance to achieving organisational objectives. Jobs assigned to subordinates must be explained and clarified, they must be guided in job performance, and they are to be motivated to contribute their optimum performance with zeal and enthusiasm.

The function of directing thus involves the following sub-functions:

(a) Communication
(b) Motivation
(c) Leadership

5. Coordination: Coordinating is the function of establishing such relationships among various parts of the organisation that they all together pull in the direction of organisational objectives. It is thus the process of tying together all the organisational decisions, operations, activities, and efforts to achieve unity of action and accomplish organisational objectives.

Mary Parker Follet aptly highlights the significance of the coordinating process. The manager, in her view, should ensure that he has an organisation "with all its parts coordinated, so moving together in their closely knit and adjusting activities, so linking, interlocking and interrelation, that they make a working unit, which is not a congeries of separate pieces, but what I have called a functional whole or integrative unity". Coordination, as a management function, involves the following sub-functions:

(a) Clear definition of authority-responsibility relationships
(b) Unity of direction
(c) Unity of command
(d) Effective communication
(e) Effective leadership

6. Controlling: Controlling ensures that the divisional, departmental, sectional and individual performances are consistent with the predetermined objectives and goals. Deviations from objectives and plans must be identified and investigated, and corrective action taken. Deviations from plans and objectives provide feedback to managers, and all other management processes, including planning, organising, staffing, directing and coordinating, are continuously reviewed and modified where necessary.

Controlling implies that objectives, goals and performance standards exist and are known to employees and superiors. It also means a flexible and dynamic organisation which will permit changes in objectives, plans, programs, strategies, policies, organisational design, staffing policies and practices, leadership style, communication system, etc., for it is not uncommon that employee's failure to achieve predetermined standards is due to defects or shortcomings in any one or more of the above dimensions of management.

Thus, controlling involves the following process:

(a) Measurement of performance against predetermined goals.
(b) Identification of deviations from these goals.
(c) Corrective action to rectify deviations.

It may be pointed out that although management functions have been discussed in a sequence-planning, organising, staffing, directing, coordinating and controlling – they are not performed sequentially. Management is an integral process, and it isn't easy to put its functions neatly in separate boxes. Management functions tend to coalesce, and it sometimes becomes difficult to separate them. For example, when a production manager discusses work problems with one of his subordinates, it is difficult to say whether he is guiding, developing, communicating, or doing all these things simultaneously. Moreover, managers often perform more than one function simultaneously.

1.4 Levels of Management

An enterprise may have different levels of management. Levels of management refer to a line of demarcation between various managerial positions in an enterprise. The levels of management depend upon its size, technical facilities, and the range of production. We generally come across two broad levels of

management, viz. (i) administrative management (i.e., the upper level of management) and (ii) operating management (i.e., the lower level of management). Administrative management involves 'thinking' functions such as laying policies, planning, and setting standards. Operative management is concerned with the 'doing' function, such as implementing policies and directing the operations to attain the enterprise's objectives.

However, in actual practice, drawing a clear-cut demarcation between the thinking and doing functions is complex. Because the essential/fundamental managerial functions are performed by all managers irrespective of their levels or ranks, a company's wage and salary director may assist in fixing wages and salary structure as a member of the Board of Directors. Still, as head of the wages and salary department, his job is to see that the decisions are implemented.

The real significance of levels is that they explain organisational authority relationships. Considering the hierarchy of authority and responsibility, one can identify three levels of management, namely:

> **(i) A company's top management consists of owners/shareholders, the board of directors, its chairman, the managing director, the chief executive, or the general manager or executive committee, which has** critical officers.
> **(ii) A company's Middle management consists of heads of functional departments, such as the Purchase Manager, Production Manager, Marketing Manager, Financial controller, etc.,** and Divisional and Sectional Officers working under these Functional Heads.
> **(iii) A company's Lower level or operative management** consists of Superintendents, Foremen, Supervisors, etc.

1. Top management: Top management is the ultimate source of authority and establishes the enterprise's goals, policies, and plans. It devotes more time to planning and coordinating functions and is accountable to the business owners and overall management. It is also described as the policy-making group responsible for all company activities' overall direction and success.

The essential functions of top management include:

(a) To establish the objectives or goals of the enterprise.
(b) To make policies and frame plans to attain the objectives.
(c) To set up an organisational framework to conduct the operations as per plans.
(d) To assemble the resources of money, men, materials, machines and methods to implement the plans.
(e) To exercise effective control of the operations.
(f) To provide overall leadership to the enterprise.

2. Middle management: The job of middle management is to implement the policies and plans framed by the top management. It is an essential link between the top and lower levels of operative management. They are responsible to the top management for the functioning of their departments. They devote more time to the organisation and motivation functions of management. They provide the guidance and the structure for a purposeful enterprise. The top management's plans and ambitious expectations were fruitfully realised with them. The following are the main functions of middle management:

(a) To interpret the policies chalked out by top management.
(b) To prepare the organisational setup in their departments to fulfil the objectives implied in various business policies.
(c) To recruit and select suitable operative and supervisory staff.
(d) To assign activities, duties and responsibilities for timely implementation of the plans.
(e) To compile all the instructions and issue them to the supervisor under their control.
(f) To motivate personnel to attain higher productivity and to reward them appropriately.
(g) To cooperate with the other departments to ensure the smooth functioning of the entire organisation.
(h) To collect reports and information on performance in their departments.
(i) To report to top management
(j) To make suitable recommendations to the top management for the better execution of plans and policies.

3. Lower or operative management: This management level is at the bottom of the hierarchy and responsible for actual operations. It consists of foremen, supervisors, sales officers, accounts officers, etc. They are in direct touch with the rank-and-file workers. Their authority and responsibility are limited. They pass on the instructions of the middle management to workers.

They interpret and divide management plans into short-range operating plans. They are also involved in decision-making. They have to get the work done through the workers. They assign various jobs to the workers, evaluate their performance, and report to middle-level management. They are more concerned with the direction and control functions of management. They devote more time to supervising the workers.

CHAPTER ONE: FUNCTIONS OF MANAGEMENT



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This chapter discusses management functions and other related subjects. Management practice is as old as human civilisation, when people started living together in groups, for every human group requires management, and the history of human beings is full of organisational activities. Even the slightest human group in our society, i.e. family, also needs management. The head of the family acts as top management, and the housewife acts as the home manager. She plans about the work to be done, how the work has to be done, who is to do the job and whether the work is done correctly or not. She performs all four functions of management, i.e., planning the budget and day-to-day activities, organising the things and activities of different people, directing the servants and other family members, and controlling the activities of various family members. Family is a very informal type of human group. Even if this informal human group is not managed correctly, it will lead to a grand fuse and confusion, so imagine large and complex institutions emerging.

During the last five decades, management as a discipline has attracted the attention of academicians and practitioners to a very great extent. The primary reason behind this phenomenon is the growing importance of management in people's day-to-day lives. Today, society has significant and complex institutions with many people working together. The relationship between managers and managers has changed compared to the older master-servant relationship, making it more complicated. People have greater expectations from their jobs. People have been trying to evolve some methods and techniques to make all these things function correctly.

Such attempts have given birth to management as a separate discipline. It has grown over time, becoming one of the most respected disciplines. Today, the study of management has become an essential fact of human life.

1.1 The understanding of management as a concept

The term management can have different meanings, and it is essential to understand these various definitions. The term management can be considered as follows:

1. Management as a process: Have you ever said, 'That is a well-managed company' or 'That organisation has been mismanaged'? If you have, you seem to imply that (i) management is some work or set of activities and (ii) sometimes the activities are performed exceptionally well and sometimes not so well.
You are referring to management as a process involving a set of activities. Since the late nineteenth century, it has been common practice to define management in terms of four specific functions of managers: planning, organising, leading, and controlling. Management is the process of planning, organising, leading, and managing organisation members' efforts and using all other organisational resources to achieve stated organisational goals.

2. Management as a discipline: If you say you are a student of management or majoring in management, you are referring to the discipline of management. Classifying management as a discipline implies that it is an accumulated body of knowledge that can be learned. Thus, management is a subject with principles, concepts, and theories. A significant purpose of studying the

discipline of management is to know and understand its principles, ideas, and theories and how to apply them in the management process.

3. Management as people: Whether you say, 'That company has an entirely new management team' or 'She is the best manager I have ever worked for,' you are referring to the people who guide, direct, and thus manage organisations. The word management, used in this manner, relates to the people and managers who engage in the management process.

4. Management as a career: 'Mr. Kelly has held several managerial positions since joining the bank upon graduating from college.

This statement implies that management is a career. People who devote their working lives to management progress through new activities and, often, new challenges.

More than ever before, today's business environment is fast-changing and competitive, posing challenges, opportunities, and rewards for individuals pursuing management as a career. These different meanings of the term management have been related as follows by John M. Ivancevich:

'People who wish to have a career as a manager must study management discipline to practise the management process'.

1.2 Functions of management

The management process suggests that all the managers in the organisation perform specific functions to get the things done by others. However, what these functions comprise of the management process is unclear, and divergent views have been expressed. The list of management functions varies from author to author, with the number of functions ranging from three to eight.

There needs to be more disagreement among management writers on categorising managerial functions. Newman and Summer recognise only four functions: organising, planning, leading, and controlling.

Henri Fayol identifies five management functions: planning, organising, commanding, coordinating and controlling. Luther Gulick states seven such functions under the catchword "POSDCORB' which stands for planning, organising, staffing, directing, coordinating, reporting and budgeting. Warren Haynes and Joseph Massie classify management functions into decision-making, organising, staffing, planning, controlling, communicating and directing. Koontz and O'Donnell divide these functions into planning, organising, staffing, directing and controlling.

Davis includes planning, organising and controlling. Breach comprises planning, organising, motivating, coordinating and controlling.

For this chapter, we shall designate the following six functions of a manager: planning, organising, staffing, directing, coordinating, and controlling. Henry Fayol, an early thinker of the management process, classified management functions into planning, organising, commanding, coordinating, and controlling.

Gullick and Urwick have described management functions as POSDCORB, referring to planning, organising, staffing, directing, coordinating, reporting and budgeting.

Koontz and O'Donnell have included planning, organising, staffing, leading and controlling.

Earnest Dale has suggested innovation and represented other essential management functions besides these. Thus, it can be seen that there needs to be an agreement over the various management functions. These functions have been treated differently over time.

Ervin Williams summarised the various managerial functions that have developed over time.

All the above functions can be categorised into four essential management functions: planning, organising, leading, and controlling.

1.2.1. Planning

The planning function is the primary activity of management. Planning establishes goals and a suitable course of action for achieving those goals. Planning implies that managers think through their goals and actions in advance and that their actions are based on some method, plan, or logic rather than on a..... Plans give the organisation its objectives and set up the best procedures for reaching them. The organising, leading and controlling functions derive from the planning function.

The first step in the planning is the selection of goals for the organisation.
Goals are then established for each of the organisation's subunits-its division, department and soon. Once these are determined, programs are established to achieve goals systematically.

Organisational objectives are set by top management in the context of the organisation's essential purpose and mission, environmental factors, business forecasts, and available and potential resources. These objectives are both long-range and short-range. They are divided into divisional, departmental, sectional, and individual objectives or goals. This is followed by developing strategies and courses of action at various levels of management and in different segments of the organisation. Policies, procedures, and rules provide the decision-making framework, method, and order for making and implementing these decisions.

Every manager performs all these planning functions or contributes to their performance. In some organisations, notably, those traditionally managed and small ones, planning often needs to be done more deliberately and systematically, but it is still done. The plans may be in the minds of their managers rather than explicitly and precisely spelt out: they may be fuzzy rather than explicit, but they are always there. Planning is thus the most basic function of management. It is performed in all kinds of organisations by all managers at all levels of hierarchy.

Relationships and time are central to planning activities. Planning produces a picture of desirable future circumstances, given currently available resources, experience, etc. All managers plan at every level of the organisation. Through their plans, managers outline what the organisation must do to be successful. While plans may differ in focus, they are all concerned with achieving short—

and long-term organisational goals. Taken as a whole, an organisation's plans are the primary tools for preparing for and dealing with changes in the organisation's environment.

1.2.2 Organizing

After managers develop objectives and plans to achieve them, they must design and develop an organisation to accomplish the goals. Thus, the organising function creates a structure of task and authority relationships that serves this purpose.
Organising is the process of arranging and allocating work, authority, and resources among an organisation's members so that they can achieve its goals.

Stoner defines 'organising' as engaging two or more people in structured collaboration to achieve specific goals.

The organising function takes the tasks identified during planning and assigns them to individuals and groups within the organisation to achieve the objectives set by planning. Organising, then, can be thought of as turning plans into actions. The organising function can be viewed as a bridge connecting the conceptual idea developed in creating and planning to the specific means for accomplishing these ideas.

The organising function also provides an organisational structure that enables the organisation to function effectively. Managers must match an organisation's structure to its goals and resources, a process called organisational design. Organising thus involves the following subfunctions:

(a) Identification of activities required to achieve objectives and implement plans.
(b) Grouping the activities to create self-contained jobs.
(c) Assignment of jobs to employees.
(d) Delegation of authority to enable them to perform their jobs and to command the resources needed for their performance.
(e) Establishment of a network of coordinating relationships.

The organising process results in the organisation's structure. It comprises organisational positions, accompanying tasks and responsibilities, and a network of roles and authority-responsibility relationships.

Organising is thus the basic process of combining and integrating human, physical, and financial resources in productive interrelationships to achieve enterprise objectives. It aims to combine employees and interrelated tasks in an orderly manner so that organisational work is performed in a coordinated manner and all efforts and activities pull together in the direction of organisational goals.

1.2.3 Staffing

Staffing is a continuous and vital function of management. After the objectives have been determined, strategies, policies, programmes, procedures and rules formulated for their achievement, activities for the implementation of strategies, policies, programmes, etc., identified and grouped into jobs, the next logical step in the management process is to procure suitable personnel for operating the jobs. Since the efficiency and effectiveness of an organisation significantly depend on the quality of its personnel and since it is one of the primary functions of management to achieve qualified and trained people to fill various positions, staffing has been recognised as a distinct function of management. It comprises several sub-functions:

(a) Manpower planning involves determining the number and the kind of personnel required.
(b) Recruitment for attracting an adequate number of potential employees to seek jobs in the enterprise.
(c) Selection of the most suitable persons for the jobs under consideration.
(d) Placement, induction and orientation.
(e) Transfers, promotions, termination and layoff.
(f) Training and development of employees.

As the importance of the human factor in organisational effectiveness is increasingly recognised, staffing is gaining acceptance as a distinct function of management. It need hardly be stressed that no organisation can ever be better than its people, and managers must perform the staffing function with as much concern as any other function.

1.2.4 Directing

Directing leads the employees to perform efficiently and contribute to achieving organisational objectives. Jobs assigned to subordinates have to be explained

and clarified, they have to be guided in job performance, and they must be motivated to contribute their optimum performance with zeal and enthusiasm. The function of directing thus involves the following sub-functions:

(a) Communication
(b) Motivation
(c) Leadership

Once objectives have been developed and the organisational structure has been designed and staffed, the next step is moving the organisation toward the goals. The directing function serves this purpose. It involves directing, influencing, and motivating employees to perform essential tasks.

The best human resources employed will be housed if they need to be motivated and directed in the right direction to achieve the organisational goals. Managers lead is an attempt to persuade others to join them in pursuit of the future that emerges from the planning and organising steps.

By establishing the proper atmosphere, managers help their employees to do their best.
Effective leadership is highly prized in organisations; some managers need help developing it. It requires task-oriented capabilities and communication, understanding, and motivating people.

1.2.5 Coordinating

Coordinating establishes relationships among various parts of the organisation that pull toward organisational objectives. It is thus the process of tying together all managerial decisions, operations, activities, and efforts to achieve unity of action and accomplish organisational goals.

Mary Parker Follet has aptly highlighted the significance of the coordinating process. The manager, in her view, should ensure that he has an organisation 'with all its parts coordinated, so moving together in their closely knit and adjusting activities, so linking, interlocking and interrelation, that they make a working unit that is not a congeries of separate pieces, but what I have called a functional whole or integrative unity'. Coordination, as a management function, involves the following sub-functions:

(a) Clear definition of authority-responsibility relationships
(b) Unity of direction

(c) Unity of command
(d) Effective communication
(e) Effective leadership

1.2.6 Controlling

Finally, the manager must be sure that the organisation's members' actions move it towards its stated goals. This is the controlling function of management. Controlling is the process of ensuring that actual activities confirm the planned activities. It involves four main elements:

1. Establishing standards of performance
2. Measuring current performance
3. Comparing this performance to the established standards.
4. Taking correction actions if deviations are detected.

Controlling implies that objectives, goals and performance standards exist and are known to employees and superiors. It also means a flexible and dynamic organisation which will permit changes in objectives, plans, programmes, strategies, policies, organisational design, staffing policies and practices, leadership style, communication system, etc., for it is not uncommon that employee's failure to achieve predetermined standards is due to defects or shortcomings in any one or more of the above dimensions of management.

Thus, controlling involves the following process:
(a) Measurement of performance against predetermined goals.
(b) Identification of deviations from these goals.
(c) Corrective action to rectify deviations.

It may be pointed out that although management functions have been discussed in a sequence-planning, organising, staffing, directing, coordinating and controlling – they are not performed sequentially. Management is an integral process, and it isn't easy to put its functions neatly in separate boxes. Management functions tend to coalesce, and it sometimes becomes difficult to separate them. For example, when a production manager discusses work problems with one of his subordinates, it is difficult to say whether he is guiding, developing, communicating, or doing all these things simultaneously. Moreover, managers often perform more than one function simultaneously.

Through the controlling function, managers keep the organisation on track. Without the controlling function, other functions lose their relevance. If all the activities are properly planned, organised, and directed, there is no control over them. There is a complete chance that the organisation will not achieve its intended goals. The controlling function helps us know the deviations, but the reasons for such deviations and the corrective actions that need to be taken depend on the managers. Hence, the personal ability of the managers makes the controlling function effective or ineffective.

Summary

In every field of study, basic principles are first practised later in the form of certain functions. Still, management is a field where principles are exclusively based on practical experiences. The tasks mentioned earlier in management discussed in this chapter are the backbone of management philosophy. These functions are interrelated, and we need to perform them sequentially to accomplish the organisational objectives. But today's business environment perfectly blends all these typical functions. Thus, every function is exercisable according to the situations and perceptions of managers.

Successful leaders and managers are very energetic. They exert great effort to communicate effectively, solve problems, make decisions, set goals, plan, execute, and supervise/ evaluate. These are a leader's directional (or thinking) and implementing skills. As a leader, you cannot expect positive results from your subordinates unless you work equally hard at solving problems, making plans, and putting plans and decisions into action. Successful leaders also work hard at accomplishing their missions and objectives while maintaining only the highest possible performance standards. Therefore, as a management student, you should strive to exercise the same degree of effort and excellence.

CHAPTER TWO: PLANNING

This chapter's objectives are to understand the nature and process of planning, appreciate why it is necessary, understand the merits and demerits of planning, grasp the principles of planning, and understand the various kinds and levels of plans.

2.1 The concept of planning

Planning is the most fundamental function of management. An organisation can utilise its human, financial, and material resources only when its management decides its objectives and methods. With it, purposive and coordinated effort is possible, and what results are chaos, confusion and wastage of resources. Planning involves the determination of the business's objectives, the formation of programs and courses of action for their attainment, the development of schedules and timings of action, and assigning responsibilities for their implementation. Planning thus precedes all efforts and action, as the plans and programs determine the decisions and activities required to attain the desired goals. It lies at the basis of all other managerial functions, including organising, staffing, directing and controlling. Planning makes it possible to decide what activities are required, how they should be combined into jobs and departments, who will be responsible for what kind of decisions and actions, and how various decisions and activities will be coordinated. Without organisation involving the above managerial activities, staffing cannot proceed, and directing cannot be exercised. Planning is also an essential prerequisite for the performance of the control function, as it provides criteria for evaluating performance.

Planning thus precedes all managerial functions.

2.1.1 Definition of Planning

Planning is deciding what, who, how, and when to do something. It is determining a course of action to achieve the desired results. Planning helps to bridge the gap from where we are to where we want to go. It makes it possible for things to occur that would not otherwise happen. Planning is a higher-order

mental process requiring intellectual faculties, imagination, foresight, and sound judgment.

According to Koontz, O'Donnell and Weihrich, '*Planning is an intellectually demanding process; it requires the conscious determination of courses of action and the basing of decisions on purpose, knowledge and considered estimates.*

Planning is a process that involves anticipating the future course of events and deciding the best course of action. It is a process of thinking before doing. To plan is to produce a scheme for future action to bring about specified results at a specified cost in a specified period. It is a deliberate attempt to influence, exploit, bring about, and control the nature, direction, extent, speed and effects of change. It may even attempt deliberately to create change, remembering that change (like a decision) in any one sector will affect other sectors similarly.

Planning is a deliberate and conscious effort to formulate the design and orderly sequence of actions through which it is expected to reach the objectives. Planning is a systematic attempt to decide a course of action for the future; it leads to determining the goals of the group activity and the steps necessary to achieve them. Thus, planning is selecting and relating facts and making and using assumptions regarding the future in the visualisation and formulation of proposed activities believed necessary to achieve desired results.

Planning is thus deciding the future state of an enterprise's business and the means of attaining it. Its elements are:

1. What will be done – what are business objectives in the short and long run?
2. What resources will be required? This involves estimating the available and potential resources necessary for achieving objectives and filling the gap between the two, if any.
3. How it will be done – This involves two things: (i) determination of tasks, activities, projects, programmes, etc., required for the attainment of objectives, and (ii) formulation of strategies, policies, procedures, methods, standard and budgets for the above purpose.
4. Who will do it? It involves assigning responsibilities to various managers relating to their contributions to attaining enterprise objectives. This is preceded

by breaking down the total enterprise objectives into segmental objectives, resulting in divisional, departmental, sectional, and individual goals.
5. When it will be done—This involves determining the timing and sequence, if any, for the performance of various activities and execution of multiple projects and their parts.

2.1.2 Myths about planning

There are certain commonly prevalent myths and fallacies about planning.
An attempt is being made to highlight some of the essential concepts of planning by way of its distinguishing features to clarify the misconceptions:

(i) **Planning does not attempt to make future decisions: Planning involves choosing the more desirable future alternatives open to a company** to make better decisions.
Planning provides a frame of reference within which the present decisions are to be made. At the same time, a plan often leads to additional but related choices. For example, a college plan to introduce a new degree or diploma necessitates the need for decisions like what the duration of the course should lead to
the degree or diploma, detailed curricula in the specific courses to be included, the system of evaluation of examination, and the necessary practical training, if any, etc.

(ii) **Planning is not just forecasting or making projections:** Forecasts are mere estimates of the future and indicate what may or may not happen. However, corporate planning goes beyond these forecasts and asks questions like:

(a) Are we in the right business?
(b) What are our primary goals and objectives?
(c) When shall our present products become obsolete?
(d) Are our markets expanding or shrinking?
(e) Do we want to merge or go for a takeover?

(iii) Planning is not a static process: Plans are adaptable and can be adjusted as soon as they are executed because the environment assumed in their preparation may have already changed. This adaptability is a key feature of

planning, empowering managers to constantly analyse and adjust the plans and objectives in changing circumstances.

2.2 Nature and scope of planning

The nature of planning can be understood by focusing on the following aspects:



1. Planning is a Continuous Process

Planning deals with the future, and the future, by its very nature, is uncertain. Although the planner bases his plans on an informed and intelligent estimate of the future, future events may not be exactly as predicted. This aspect of planning makes it a continuous process. Plans tend to be a statement of future intentions relating to objectives and means of their attainment. They do not acquire finality because revisions must be made to respond to changes in the enterprise's internal and external environments. Planning should, therefore, be a continuous process; no plan is final; it is always subject to revision.

2. Planning concerns all Managers.

Every manager, regardless of their level, is responsible for setting their goals and operating plans. In doing so, they formulate their goals and plans within the context of the organization's overall objectives. This inclusive approach to planning ensures that all managers are involved and responsible for the future of the organization.

However, managers at higher levels, being responsible for a relatively larger unit of the enterprise, devote a more significant part of their time to planning, and the period of their plans also tends to be longer than that of managers at lower levels. It shows that planning acquires greater importance and tends to take longer in the future at higher than lower management levels.



3. Plans are arranged in a Hierarchy

Plans are first set for the entire organisation, and this is called the corporate plan. The corporate plan provides the framework for formulating divisional departmental and sectional goals. Each organisational component sets its plans, laying down the programs, projects, budgets, resource requirements, etc. The plans of each lower component are aggregated into the plans of successively higher components until the corporate plan integrates all component plans into a composite whole. For example, in the production department, each shop superintendent sets their plans, successfully integrated into the general supervisors', works manager's and production manager's plans. All departmental plans are then incorporated into the corporate plan. Thus, there is a hierarchy of plans comprising the corporate, divisional/department, sectional, and individual manager's unit plans.

4. Planning Commits an Organization into the Future

Planning takes an organisation into the future, as past, present and future are tied in a chain. An organisation’s objectives, strategies, policies, and operating plans affect its future effectiveness as decisions and activities undertaken in the present continue to impact the future. Some plans affect the near future, while others affect it in the long run. For example, plans for product diversification or production capacity affect a company long into the future and are not easily reversible, whereas plans relating to the layout of its office locations can be changed with relatively less difficulty. This focuses on the need for better and more careful planning.

5. Planning is the Antithesis of Status Quo

Planning is undertaken to attain a position for the company that would only be accomplished if it was done.
Planning implies changes in organisational objectives, policies, products, marketing strategies, etc. However, planning itself is affected by unforeseen environmental changes. Therefore, it needs examination and re-examination, continual reconsideration of the future, and constant searching for more effective methods and improved results.

Thus, planning is an all-pervasive, continuous, and dynamic process. It imposes on all executives a responsibility to estimate and anticipate the future, prepare the organisation to cope with its challenges and take advantage of its opportunities. At the same time, today's preemptive decisions and actions influence tomorrow's events.



2.3 Importance of planning

While planning does not guarantee success in organisational objectives, there is evidence that companies that engaged in formal planning consistently performed better than those with no or limited formal planning and improved their performance over time. It is rare for an organisation to succeed solely by luck or circumstances. Some of the reasons as to why planning is considered a vital managerial function are given below:

1. Planning is essential in modern business: The growing complexity of modern business, with rapid technological changes, dynamic changes in consumer preferences, and growing arduous competition, requires orderly operations, not only in the current but also in the future. Since planning takes an outlook, it considers possible future developments.

2. Planning affects performance: Several empirical studies provide evidence of organisational success being a function of formal planning; success is measured by factors such as return on investment, sales volume, growth in earnings per share, etc. Investigating firms in various industrial products such as machinery, steel, oil, chemicals, and drugs revealed that companies engaged in formal planning consistently performed better than those without formal planning.

3. Planning puts focus on objectives: The effectiveness of formal planning is primarily based upon the clarity of goals. Objectives provide direction, and all planning decisions are directed towards achieving these objectives. Plans continuously reinforce the importance of these objectives by focusing on them. This ensures the maximum utility of managerial time and effort.

4. **Planning anticipates problems and uncertainties:** A significant aspect of formal planning is collecting relevant information to forecast the future as accurately as possible. This would minimise the chances of haphazard decisions. Since the organisation's future needs are anticipated in advance, the proper acquisition and allocation of resources can be planned, thus minimising wastage and ensuring optimal utility.

5. Planning is necessary to facilitate control: Controlling involves the continual analysis and measurement of actual operations against established standards, which are set in light of the objectives to be achieved. Periodic reviews of operations can determine whether the plans are being implemented correctly. Well-developed plans can aid the control process in two ways.

First, the planning process establishes a warning system of possible deviations from the expected performance. Second, planning contributes to the control process by providing quantitative data, making it easier to compare the actual performance in quantitative terms, not only with the organisation's expectations but also with industry statistics or market forecasts.

6. Planning helps in decision-making: Since planning specifies the actions and steps to accomplish organisational objectives, it serves as a basis for decision-making about future activities. It also helps managers make routine

decisions about current activities since the goals, plans, policies, schedules, and so on are laid down.

2.4 Advantages and limitations of planning

The importance of formal planning has already been discussed. A vigorous and detailed planning programme helps managers to be future-oriented. It gives the managers some purpose and direction. A sound blueprint for plans with specific objective and action statements has numerous advantages for the organisation, which are as follows:

1. **Focuses Attention on Objectives:** Since all planning is directed towards achieving enterprise objectives, the very act of planning focuses attention on these objectives. Laying down the objectives is the first step in planning. If the objectives are laid down, plans will also be directed towards these objectives.

2 **Ensures economic operation: Planning involves many mental exercises to achieve efficient operation in the enterprise. It substitutes joint-directed effort for uncoordinated piecemeal activity, even flow of work for uneven flow, and deliberate decisions for snap judgment costs. This helps in better resource utilisation** and thus minimises costs.

3. **Reduces Uncertainty:** Planning helps reduce uncertainties by anticipating future events. Effective planning is the result of deliberate thinking based on facts and figures. It also requires forecasting. Planning allows a business manager to foresee various uncertainties that technological changes may cause, such as people's tastes, fashion, etc. Enough provision is made in the plans to offset these uncertainties.

4. Facilitates Control: Planning helps the managers perform their control functions. Planning and control are inseparable in that unplanned action cannot be controlled because control involves keeping activities on the predetermined course by rectifying deviations from plans. Planning helps control by furnishing standards of control. It lays down objectives and performance standards for the control function's performance.

5. Encourages Innovation and Creativity: Planning is the deciding function of management. It helps managers think innovatively and creatively because

many new ideas come to them when they plan. It also creates a forward-looking attitude among managers.

6. Improves Motivation: A sound planning system ensures the participation of all managers, which improves their motivation. It also enhances workers' motivation because they know their expectations. Moreover, planning serves as a suitable training device for future managers.

7. Improves Competitive Strength: Effective planning gives an enterprise an edge over others without planning or ineffective planning. This is because planning may involve expanding capacity, changing work methods, improving quality, anticipating people's tastes and fashions, and anticipating technological changes.

8. Achieves Better Coordination: Planning secures unity of direction toward the organisational objectives. All the activities are directed towards the common goals. There is an integrated effort throughout the enterprise. It will also help avoid duplication of efforts.

Thus, there will be better coordination in the organisation.

Limitations of Planning: Sometimes, planning fails to achieve the expected results. There are many causes of failure in planning.
These are discussed below:

1. Lack of reliable data: There may be a need for more reliable facts and figures on which plans may be based. Planning loses its value if reliable information is unavailable or the planner fails to utilise it. To make planning successful, the planner must determine the reliability of facts and figures and base his plans on reliable information only.

2. **Lack of initiative:** Planning is a forward-looking process. A manager who tends to follow rather than lead cannot make good plans. Therefore, the planner must take the required initiative. He should be an active planner and take adequate follow-up measures to see that plans are understood and implemented correctly.

3. **Costly process:** Planning is a time-consuming and expensive process. This may delay action in some instances. However, if more time is given to the planning process, the plans may be realistic. Similarly, planning involves the costs of gathering and analysing information and evaluating various alternatives. The results may be better if management is willing to spend money on planning.

4. **Rigidity in organisational working:** Internal inflexibility may compel planners to make rigid plans, which may deter managers from taking the initiative and thinking innovatively. So, planners must have enough discretion and flexibility in the enterprise. They should not always be required to follow procedures rigidly.

5. **Non-acceptability of change:** Resistance to change is another factor that limits planning. It is a commonly experienced phenomenon in the business world. Sometimes, planners do not like change, and on other occasions, they do not think it desirable to bring change as it makes the planning process ineffective.

6. **External limitations:** Planning's effectiveness is sometimes limited by external factors beyond the planners' control. External strategies are complicated to predict. Sudden outbreaks of war, government control, natural havoc, and many other factors are beyond the management's control. This makes plan execution very difficult.

7. **Psychological barriers:** Psychological factors also limit the scope of planning. Some people consider the present more important than the future because the present is inevitable. Such persons are psychologically opposed to planning. However, dynamic managers always look ahead. The long-range well-being of the enterprise can only be achieved if proper planning is done for the future.

2.5 Measures to overcome limitations of planning

Some people say that planning is a mere ritual in a fast-changing environment. This is not a correct assessment of managerial planning. Planning may be associated with specific difficulties such as non-availability of data, lethargy on the part of the planners, rigidity of procedures, resistance to change and changes

in the external environment. But these problems can be overcome by taking the following steps:

1. Setting Clear-cut Objectives: Clear-cut objectives are necessary for efficient planning. Objectives should not only be understandable but also rational. The enterprise's overall objectives must be the guiding pillars for determining the objectives of various departments. This would help coordinate planning in the enterprise.

2. **Management Information System:** An efficient management information system should be installed to make all relevant facts and figures available to managers before they perform the planning function. The right type of information will help overcome the problems of complete understanding of the objectives and subordinates' resistance to change.

3. **Carefully Premising:** The planning premises constitute a framework for planning. They are the assumptions of what is likely to happen in future. Planning always requires some assumptions to be made regarding future happenings. In other words, it is a prerequisite to determine future settings such as marketing, pricing, Government policy, tax structure, business cycle, etc., before giving the final shape to the overall business plan. Due weightage should be given to the relevant factors when premising. The premises which may be of strategic significance to one enterprise may not be of equal importance to another because of size, nature of business, nature of market, etc.

4. Business Forecasting: The business environment dramatically influences it. Management must have a mechanism for forecasting changes in this environment. Good forecasts will contribute to the effectiveness of planning.

5. Dynamic Managers: The people responsible for planning should be dynamic in outlook. They must take the required initiative to make business forecasts and develop planning premises.
A manager should never forget that planning is looking ahead, and he is making plans for a highly uncertain future.

6. **Flexibility:** Some elements of flexibility must be introduced in the planning process because modern business operates in an environment that keeps

changing. To achieve effective results, there should always be scope to make necessary additions, deletions, or alternations in the plans as the circumstances demand.

7. **Availability of Resources:** Determination and evaluation of alternatives should be done in the light of resources available to the management. Alternatives are always present in any decision problem. However, their relative plus and minus points are to be evaluated in light of the resources available. The chosen alternative should not only be concerned with the enterprise's objectives but also be capable of being accomplished with the help of the given resources.

8. **Cost-Benefit Analysis:** Planners must undertake a cost-benefit analysis to ensure that the benefits of planning outweigh the costs. This necessarily calls for establishing measurable goals, clear insight into the available alternative courses of action, reasonable premising, and formulation of derivative plans, considering the fast-changing environment.

2.6 Basic principles of planning

The essential principles of planning are as follows:

1. **Principle of contribution to the objective:** The purpose of plans and their components is to develop and facilitate the realisation of organisational aims and objectives. Long-range plans should be interwoven with medium-range plans, which, in turn, should be meshed with short-range ones to accomplish organisational objectives more effectively and economically.

2. **Principle of limiting factors:** Planning must consider the limiting factors (workforce, money, machines, materials, and management) by concentrating on them when developing alternative plans, strategies, policies, procedures, and standards.

3. **Principle of pervasiveness of planning:** Planning is found at all levels of management. Strategic or long-range planning is related to top management, while intermediate and short-range planning concerns middle and operative management.

4 **Principle of navigational change:** This principle requires managers to periodically check on events and redraw plans to maintain a course towards a desired goal. The navigator must constantly check whether his ship is following the right direction in the vast ocean to reach the distinction as scheduled. In the same way, a manager should check his plans to ensure that these are processed as required. He should change the direction of his plans if he faces unexpected events. It is helpful if plans contain an element of flexibility. It is the manager's responsibility to adapt and change the direction of plans to meet the challenge of a constantly changing environment that could not be foreseen.

5. **Principle of flexibility:** Flexibility should be built into organisational plans. The possibility of error in forecasting and decision-making and future uncertainties are the two common factors which call for flexibility in managerial planning. The principle of flexibility states that the management should be able to change an existing plan because of environmental changes, without due cost or delay, so that activities keep moving towards established goals. Thus, an unexpected slump in demand for a product will require a change in the sales and production plans. Changes in these plans can be introduced only when they possess the characteristics of flexibility.

Adapting plans to suit future uncertainties or changing environments is easier if flexibility is essential while planning.

2.7 Categories and levels of planning

2.7.1 Categories of Planning

Planning can be classified on different bases, which are discussed below:

1. Strategic and Functional Planning: In strategic or corporate planning, the top management determines the general objectives of the enterprise and the steps necessary to accomplish them in light of resources currently available and likely to be available in the future. On the other hand, functional planning covers functional areas like production, marketing, finance and purchasing.

2. Long-range and short-range planning: Long-range planning sets long-term goals of the enterprise and then proceeds to formulate specific plans for attaining these goals. It involves an attempt to anticipate, analyse, and make decisions about fundamental problems and issues that have significance and reach well beyond the present operating horizon of the enterprise. Short-range planning, on the other hand, is concerned with the determination of short-term activities to accomplish long-term with the determination of short-term activities to accomplish long-term objectives. Short-range planning relates to a relatively short period and must be consistent with long-range plans. Operational plans are generally associated with brief periods.

3. **Ad hoc and Standing Planning: Ad hoc planning committees may be constituted for certain specific matters, such as project planning. However, standing plans are designed to be used repeatedly. They include organisational structure, standard procedures, standard methods,** etc.

4. Administrative and Operational Planning: Administrative planning is done by middle-level management, which provides the foundation for operative plans. Operative planning, on the other hand, is done by lower-level managers to implement the administrative plans.

5. Physical Planning: It concerns the physical location and arrangement of buildings and equipment.

6. Formal and Informal Planning: The various types of planning discussed above are formal. They are carried out systematically by management. They specify the specific goals and steps to achieve them in black and white. They also facilitate the installation of internal control systems. On the other hand, informal planning is mere thinking by some individuals, which may become the basis of formal planning in the future.

2.7.2 Levels of Planning

In management theory, it is usual to consider that there are three basic levels of planning. However, in practice, there may be more than three levels of management, and to an extent, there will be some overlapping of planning operations. The three levels of planning are as follows:

1. Top Level Planning: Also known as overall or strategic planning, the top management does top-level planning, i.e., the board of directors or governing body. It encompasses the long-range objectives and policies of the organisation and is concerned with corporate results rather than sectional objectives. Top-level planning is entirely long-range and inextricably linked with long-term objectives. It might be called the 'what' of planning.

2. Second Level Planning: Middle-level managers or department heads do it, also known as tactical planning. It is concerned with the 'how' of planning. It deals with the deployment of resources to the best advantage. It is mainly concerned, but not exclusively, with long-range planning, but its nature is that the periods are usually shorter than those of strategic planning. This is because attention is generally devoted to the step-by-step attainment of the organisation's primary objectives. It is oriented to functions and departments rather than to the organisation.

3. Third-Level Planning: Also known as operational or activity planning, this concerns department managers and supervisors.

It is confined to implementing tactical or departmental plans. It is usually short-term and may be revised often to align with tactical planning.

2.8 Essential steps in planning

Planning is a process that embraces several steps. It is an intellectual exercise and a conscious determination of courses of action. Therefore, serious thought is required on numerous factors necessary to make plans. Facts are collected and analysed, and the best is chosen and adopted. The planning process, valid for one organisation and one plan, may only be valid for some other organisations or all types of plans because various factors in the planning process may differ from organisation to organisation or plan to plan. For example, the planning process for a large organisation may not be the same as for a small organisation. The steps generally involved in the planning are as follows:

1. Establishing Verifiable Goals or Set of Goals to be achieved

The first step in planning is to determine the enterprise objectives. These are most often set by upper-level or top managers, usually after several possible

objectives have been carefully considered. Managers may select many objectives: a desired sales volume or growth rate, the development of a new product or service, or even a more abstract goal, such as becoming more active in the community. The type of goal selected will depend on several factors: the organisation's primary mission, the values its managers hold, and the actual and potential ability of the organisation.

2. Establishing Planning Premises: The second step in planning is establishing planning premises, i.e. certain assumptions about the future based on which the plan will be intimately formulated. Planning premises are vital to planning success as they supply economic conditions, production costs and prices, probable competitive behaviour, capital and material availability, governmental control, etc.

3. **Deciding the planning period:** Once upper-level managers have selected the primary long-term goals and the planning premises, the next task is to decide the period of the plan. Business varies considerably in their planning periods. In some instances, plans are made for a year only, while in others, they span decades. In each case, however, there is always some logic in selecting a time range for planning. Companies generally base their period on a future that can reasonably be anticipated. Other factors which influence the choice of a period are as follows: (a) lead time in the development and commercialisation of a new product; (b) time required to recover capital investments or the payback period; and (c) length of commitments already made.

4. **Findings Alternative Courses of Action:** The fourth step is planning to search for and examine alternative courses of action. For instance, technical know-how may be secured by engaging a foreign technician or training staff abroad. Similarly, products may be sold directly to the consumer by the company's salespeople or through exclusive agencies. There is seldom a plan for which reasonable alternatives do not exist, and quite often, an alternative that is not obvious proves to be the best.

5. **Evaluating and Selecting a Course of Action:** After seeking alternative courses, the fifth step is to evaluate them in light of the premises and goals and select the best course or courses of action. This is done using quantitative techniques and operations research.

6. Developing Derivative plans: Once the plan has been formulated, its broad goals must be translated into the organisation's day-to-day operations. Middle and lower-level managers must draw up the appropriate plans, programs, and budgets for their sub-units, described as derivative plans. In developing these derivative plans, lower-level managers take steps similar to those taken by upper-level managers—selecting realistic goals, assessing their sub-units particular strengths and weaknesses, and analysing those parts of the environment that can affect them.

7. **Measuring and Controlling Progress:** It is wise to let a plan run its course by monitoring its progress. Hence, the process of controlling is a critical part of any plan. Managers need to check the progress of their plans so that they can (a) take remedial action necessary to make the plan work or (b) change the original plan if it is unrealistic.

Summary

Planning has primacy over other management functions and is pervasive in organisations. It involves significant activities such as setting objectives, determining policies, and making decisions. Planning is a higher-order mental process requiring intellectual faculties, imagination, foresight, and sound judgment. By planning, managers minimise uncertainty and help focus their organisation on its goals.

CHAPTER THREE: DECISION-MAKING

The chapter's learning objectives are to understand the meaning and importance of Decision-Making, its characteristics and process, the various types of Decisions, and the Techniques of Decision-Making.

3.1 The concept of decision making

Decision-making and problem-solving are essential ingredients of managerial leadership. More than anything else, the ability to make sound, timely decisions separates a successful manager from a non-successful. It is the responsibility of managers to make high-quality decisions that are accepted and executed in a timely fashion. The decisions should be cohesive, conjectured, contingent, flexible, improved, influencing, intuitional, non-judgmental, objective, and operational. One of the most essential functions of a manager is to make decisions. Whatever a manager does, he does through decision-making. Each managerial decision is concerned with the process of decision-making. Professor Herbert Simon has said the process of managing is a process of decision-making because of this pervasiveness of decision-making. According to him, a post or position can only be considered at the managerial level once and if the right of decision-making is attached. It is the core of executive activities in a business organisation.

Decision-making is a mental process. It is a process of selecting the best alternative for doing a work. Thus, a decision maker chooses a particular course of action as the most effective alternative for achieving his goals. According to D.E. McFarland, 'A decision is an act of choice where an executive concludes what must be done in a given situation. A decision represents a course of behaviour chosen from several possible alternatives. In the words of Haynes and Massie, "A decision is a course of action which is consciously chosen for achieving a desired result".

Hence, decision-making is a typical form of planning. It involves choosing the best alternative among various alternatives to realise specific objectives. A decision represents a judgement, a final word, and a resolution of conflicts or a

commitment to act in a particular manner in the given set of circumstances. It is a mental exercise that decides what to do.

Leaders must be able to reason under the most critical conditions and decide quickly what action to take. If they delay or avoid making a decision, this indecisiveness may create hesitancy, loss of confidence, and confusion within the unit and may cause the task to fail. Since leaders are frequently faced with unexpected circumstances, it is essential to be flexible - leaders must be able to react promptly to each situation. Then, when circumstances dictate a change in plans, prompt reaction builds confidence in them.

3.2 Characteristics of decision making

The essential characteristics of decision-making are given below:

1. It is a process of choosing a course of action from among the alternative courses of action.
2. It is a human process involving, to a great extent, the application of intellectual abilities.
3. It is the end process preceded by deliberation and reasoning.
4. It is always related to the environment. A manager may take one decision in a particular set of circumstances and another in a different set of circumstances.
5. It involves a time dimension and a time lag.
6. It always has a purpose. Considering this, there may be a decision not to make.
7. It involves all actions before making a final choice, such as defining the problem and probing and analysing the various alternatives.

3.3 Importance of decision making

As a leader, you will make decisions involving not only yourself but the morale and welfare of others. Some decisions, such as when to take a break or where to hold a meeting, are simple decisions which have little effect on others. Other decisions are often more complex and may significantly impact many people. Therefore, having a decision-making and problem-solving process can be a helpful tool. Such a process can help you to solve these different types of situations. Within business and the military today, leaders at all levels use

decision-making and problem-solving processes. Several approaches (or models) exist for decision-making and problem-solving. We will briefly discuss it in this lesson as well.

It is beyond doubt that decision-making is an essential part of every management function. According to Peter F. Drucker, 'Whatever a manager does, he does through decision making'. Decision-making lies deeply embedded in the management process, spreads over all the managerial functions and covers all the areas of the organisation. Management and decision-making are bound up and go in every manager's activity. Whether knowingly or unknowingly, every manager makes decisions constantly, bearing the weight of their responsibilities.

Decision-making has been a critical component of management since the days of small organizations, and this remains true in today's vast and mega-sized structures. The key difference lies in the increasing complexity of decision-making in today's intricate organizational structures. 'Whatever a manager does, he does through making decisions '. Some decisions are routine and repetitive, and the manager may not always be aware that he is making decisions. On the other hand, strategic decisions often necessitate systematic and scientific analysis. The essence of management, however, always remains a decision-making process.

The most outstanding quality of a successful manager is their ability to make sound and effective decisions. A manager must be able to make up their mind quickly on some issues. However, it is not accurate to say that he must always make spur-of-the-moment decisions. When making many decisions, he gets enough time for careful fact-finding, analysis of alternatives, and choosing the best alternative. Decision-making is fundamentally a human process. When one decides, he is choosing a course of action that he believes is the best.

Decision-making is a proper blend of thinking, deciding, and action. A crucial executive decision is only one event, requiring a succession of activities and routine decisions.
Decisions also have a time dimension and a time lag. A manager takes time to collect facts and weigh various alternatives. Moreover, after deciding, it takes still more time to carry out a decision, and it often takes longer before he can

judge whether the decision was good or bad. It is also challenging to isolate the effects of any single decision.

3.4 Decision-making process

The following procedure should be followed in arriving at a correct decision:

1. **Setting objectives:** Rational decision-making involves concrete objectives. So, the first step in decision-making is to know one's objectives. An objective is an expected outcome of future actions. So before deciding upon the future course of efforts, we must know beforehand what we are trying to achieve. Exact knowledge of goals and objectives brings purpose in planning and harmony in efforts. Moreover, objectives are the criteria by which the outcome is to be measured.

2. **Defining the Problem:** A problem well-defined is indeed half solved. Many bad decisions are made because the person does not grasp the situation well. The decision-maker needs to find and define the problem before he makes any decision.

Enough time and energy should be spent defining the problem as it can be challenging to determine the problem and see the fundamental thing that is causing the trouble and that needs correction. Practically, every problem presents itself in a manner that an immediate decision may be taken. It is, therefore, essential to define the problem before any action is taken; otherwise, the manager will answer the wrong question rather than address the core problem. A clear definition of the problem is critical as the correct answer can be found only to the right question.

3. Analyzing the problem: After defining it, the next step in decision-making is analysing it. The issue should be thoroughly analysed for adequate background information and data. The problem should be divided into many sub-problems, and each element of the problem must be investigated thoroughly and systematically. Several factors can be involved in any situation, some pertinent and others remote. These relevant factors should be discussed in depth. It will save time, money, and effort.

We require much information to classify any problem. So long as the necessary information is unavailable, any classification would be misleading. This will also adversely impact the quality of the decision. Analysing without facts is like guessing directions at a crossing without reading the highway signboards. Thus, collecting the correct type of information is very important in decision-making. It would not be an exaggeration to say that a decision is as good as the information on which it is based.
The manager also must make certain decisions regarding collecting facts and figures. He must decide what information he requires and how to obtain it.

4. Developing Alternatives: After defining and analysing the problem, the next step in the decision-making process is the development of alternative courses of action. A manager will likely be guided by his limited imagination without resorting to developing alternatives. It is rare for other options to be lacking for any course of action. But sometimes, a manager assumes that there is only one way of doing a thing. In such a case, what the manager has probably not done is force himself to consider other alternatives. Unless he does so, he cannot decide which is the best possible. From this, a fundamental planning principle can be derived, which may be termed the principle of alternatives. Alternatives exist for every decision problem. Effective planning involves a search for other options towards the desired goal.

Once the manager starts developing alternatives, various assumptions come to his mind, which he can bring to the conscious level. Nevertheless, developing alternatives cannot give a person the imagination he lacks. But most of us have more imagination than we generally use. It should also be noted that developing alternatives is not guaranteed to find the best possible decision. Still, it helps weigh one alternative against others, thus minimising uncertainties.

While developing alternatives, the principle of limiting factors must be considered. A limiting factor stands in the way of accomplishing the desired goal. It is a critical factor in decision-making. If such factors are adequately identified, the manager can confine his search to alternatives to overcome the limiting factors. In choosing from among other options, the more an individual can recognise those factors that are limiting or critical to the attainment of the desired goal, the more clearly and accurately they can select the most favourable alternatives.

5. Selecting the Best Alternative: After developing alternatives, one must evaluate all the possible options to select the best alternative. There are various ways to consider options. The most common method is through intuition, i.e., choosing a solution that seems good at that time. This process is dangerous because a manager's intuition may be wrong several times.

The second way to choose the best alternative is to weigh the consequences of one against those of the others. Peter F. Drucker has laid down four criteria to weigh the consequences of various options. They are:

(a) Risk: A manager should weigh the risks of each course of action against the expected gains. Risks are involved in all solutions. What matters is the intensity of different types of risks in various solutions.

(b) Economy of Effort: The best manager can mobilise resources to achieve results with minimal effort. The decision should ensure the maximum possible economy of effort, money, and time.

(c) Situation or Timing: The choice of action will depend upon the situation prevailing at a given time. If the problem is urgent, the preferable course of action alarms the organisation that something important is happening. If a long and consistent effort is needed, a slow start gathers momentum approach may be preferable.

(d) Limitation of Resources: When choosing among the alternatives, primary attention must be given to factors limiting or strategic to the decision involved. The search for limiting factors in decision-making should be a never-ending process. Discovery of the limiting factor lies at the basis of selection from the alternatives and planning and decision-making.

There are three bases which should be followed for the selection of alternatives, and these are experience, experimentation and research and analysis, which are discussed below:

A manager's experience greatly influences his choices. He can rely more on expertise in routine decisions but should only partially depend on it to make rational strategic decisions.

Under experimentation, the manager tests the solution under actual or simulated conditions. This approach has proved to be of considerable help in

many cases in test marketing of a new product. However, implementing this technique is not always possible because it is costly. Research and Analysis is the most effective technique for selecting alternatives involving a significant decision. It consists of a search for relationships among the more critical variables, constraints, and premises that bear upon the goal sought.

6. Implementing the Decision: The choice of an alternative will only serve a purpose if it is put into practice. The manager is concerned not only with making a decision but also with its implementation. He should ensure systematic steps are taken to implement the decision. The main problem that the manager may face at the implementation stage is resistance from subordinates, who are affected by the decision. If the manager cannot overcome this resistance, the energy and efforts consumed in decision-making will go to waste. To make the decision acceptable, the manager must make the people understand what the decision involves, what is expected of them and what they should expect from the management.

To make the subordinates committed to the decision, they must be allowed to participate in the decision-making process. The managers who discuss problems with their subordinates and give them opportunities to ask questions and make suggestions find more support for their decisions than those who don't let the subordinates participate. The area where the subordinates should participate in the development of alternatives. They should be encouraged to suggest alternatives. This may bring to the surface specific options that the manager may not have considered. Moreover, they will feel attached to the decision.
At the same time, there is also a danger that a group decision may be poorer than a one-person decision. Group participation only sometimes improves the quality of the decision but sometimes impairs it. Some have described group decisions as a train in which every passenger has a brake. It has also been pointed out that not all employees can participate in decision-making. Nevertheless, it is desirable if a manager consults his subordinates while making decisions.

7. Follow-up the Decisions: Kenneth H. Killer has emphatically written in his book that it is always better to check the results after putting the decision into

practice. He has given reasons for following up on decisions, and they are as follows:

(i) If the decision is good, one will know what to do if faced with the same problem again.

(ii) If the decision is wrong, one will know what not to do next time.

(iii) If the decision is terrible and one follows up soon enough, corrective action may still be possible.

Management should devise an efficient feedback system to achieve proper follow-up. This information will be very useful in taking corrective measures and making the right decisions in the future.

3.5 Types of decisions

Various authorities have classified decisions in multiple ways. The main types of decisions are as follows:

1. Programmed and non-programmed decisions: Professor Herbert Simon has classified all managerial decisions as programmed and nonprogrammed decisions using computer terminology. Programmed decisions are routine and repetitive decisions for which the organisation has developed specific processes. Thus, they involve no extraordinary judgment, analysis, or authority. They are devised so the problem may not be treated as a unique case each time it arises.

On the other hand, non-programmed decisions are one-shot, ill-structured, novel policy decisions that are handled by general problem-solving processes. Thus, they are extraordinary and require a thorough study of the problem, its in-depth analysis, and its solution. They are non-repetitive in nature and may be called strategic decisions.

2. **Basic and routine decisions:** Professor George Katona has distinguished between primary and routine decisions. Routine decisions are repetitive and involve applying familiar principles to a situation. Basic or genuine decisions require much deliberation on new principles through conscious thought. Plant location and distribution are some examples of fundamental choices.

3. **Policy and operative decisions:** Policy decisions are essential and involve changing the organisation's procedure, planning or strategy. Thus, they are

fundamentally affecting the whole business. The top management makes such decisions. On the contrary, operating choices are those made by lower management levels to execute policy decisions. They are generally concerned with routine work, which is unimportant for top management. They mainly relate to the decision-maker's work and behaviour, while policy decision influences the work and behaviour of subordinates.

4. **Individual and group decisions:** Individual decisions are those made by one individual – whether the owner of the business or by a top executive. On the other hand, group decisions are the decisions taken by a group of managers – board, team, committee or sub-committee. In Cameroon, individual decision-making is still very common because a single individual owns many small businesses. However, in joint stock companies, group decisions are expected. There are both merits and demerits to each type of decision.

3.6 Tools and techniques of decision making

The following are some of the critical decision-making techniques:

(A) Qualitative Techniques
(B) Quantitative Techniques

3.6.1 Qualitative Decision-Making Techniques

It is essential to generate a reasonable number of alternatives to make better decisions based on the quality of the items. Generating a reasonable number of other options helps solve any complex problem. There are the following means of generating the other options:

(a) Brainstorming
(b) Synectic's, and
(c) Nominal Grouping

(a) Brainstorming

Alex F. Osborn developed this technique, one of the oldest and best-known techniques for stimulating creative thinking. This is done in a group where members are presented with a problem and asked to develop as many potential solutions as possible. The group members may be experts from other organisations, but the members should be around six to eight. The duration of

the session may be around 30 minutes to 55 minutes. The premise of brainstorming is that when people interact in a free and exhibited atmosphere, they will generate creative ideas.

The idea generated by one person acts as a stimulus for others to generate ideas. This generation of ideas is contagious and creates an atmosphere of free discussion and spontaneous thinking. The primary objective of this exercise is to produce as many deals as possible so that there is a greater likelihood of identifying the best solution.

The essential rules of brainstorming are given below:

(i) Criticism is prohibited.
(ii) Freewheeling is always welcome.
(iii) Quantity is desirable.
(iv) Combination and improvements are sought.

One session of brainstorming generates 50 to 150 ideas. Brainstorming is helpful in research, advertising, management, the armed forces, and governmental and non-governmental agencies.

Limitations of Brainstorming

The limitations of brainstorming are given below:

(i) It is not very effective when a problem is very complex and vague
(ii) It is time-consuming
(iii) It is very costly
(iv) It produces superficial solutions.

(b) Synectics

William J.J. Gordon developed this technique, a recently formalised creative thinking tool. The word "Synectic" is a Greek word meaning the fitting together of diverse elements. The primary purpose of synectics is to stimulate novel and even bizarre alternatives by joining distinct and irrelevant ideas.

The selection of members to the synectics group is based on their background and training. The experienced leader states the problem for the group to consider and reacts to the situation based on their understanding and convictions. When the nature of the problem is thoroughly reviewed and

analysed, the group proceeds to offer potential solutions. The leader has to structure the problem, and they can use various methods to involve the preconscious mind, like role-playing, analogies, paradoxes, metaphors and other thought-provoking exercises.

This helps generate alternatives. The technical expert assists the group in evaluating the feasibility of ideas. However, brainstorming has some limitations. It is more valuable and appropriate for solving complex and technical problems.

(c) Nominal Grouping: This was developed by Andre Dellbecq and Andrew Van de Ven. The nominal group is very effective when a high degree of innovation and idea generation is required. It is highly structured and follows the following stages:

Stage I: Seven to ten participants with different backgrounds and training are selected. They are familiarised with a selected problem, such as what alternatives are available for achieving a set of objectives.
Stage 2: Each member is asked to prepare a list of ideas individually for achieving a set of objectives in response to the identified problem.
Stage -3: After ten minutes, the member shares ideas, one at a time, in a round-robin manner. The group facilitator records the ideas on a blackboard or flip chart for all to see.
Stage 4: Each group member openly discusses and evaluates each recorded idea. At this point, it may be rewarded, combined, added, or deleted.
Stage 5: Each member votes privately, ranking the ideas. A final secret ballot is conducted after a brief discussion of the vote. The group's preference is the arithmetical outcome of the individual voter. A concluding meeting follows these.

3.6.2 Quantitative Techniques

Several quantitative techniques for decision-making are discussed below:
(a) **Stochastic Methods:** In many management decisions, the probability of an event can be assumed to be known, even when a particular outcome is unpredictable. Under these conditions of risk, stochastic methods will be

helpful. Stochastic methods merely systematise the thinking about assumptions, facts and goals involved in decisions under risk conditions.

Three steps are essential to formalising the factors to be considered in a decision involving probabilities: (i) The decision maker should first layout, in tabular form, all the possible actions that seem reasonable to consider and all the possible outcomes of these actions (ii) The decision maker must then state in quantitative form a probability distribution, projecting chances of each outcome that might result from each act. In this step, it is possible to assign probabilities that are reasonable estimates. The key to this step is explicitly stating the probabilities that might be attached to each act-outcome situation (iii). Finally, the decision maker must use some quantitative yardstick of value (usually rupees) to measure the value of each outcome. It is then possible to calculate an average of the outcome values weighted by the assigned probabilities, called the expected monetary value.

(b) Payoff Table: The Store Manager can present the information in tabular form, showing the conditional values for each strategy (choice of brand) under each state of nature (the combination of uncontrollable factors, such as demand, that determine success or failure).

(c) Simulation Techniques: When a management problem is often too complex to be answered by a series of mathematical equations, it is possible to simulate the probable outcomes before acting. In this way, the manager may rapidly try out the results of proposed actions on paper (or with a computer) before taking them. By trying out several policies, it is possible to determine which one has the best chance of providing the optimum result.

The idea of randomness represented by random numbers is at the heart of simulation. Random numbers are numbers, each with the same chance of being selected. Tables of random numbers are now readily available.
One type of simulation is used in queuing problems, in which the need for personnel or equipment varies over time. Still, the determination of the peak demands cannot be estimated because the occurrence is random or due to chance. With simulation, the manager can try out available strategies as they might result in different outcomes, depending upon probabilities from a table of random numbers. For example, the store manager may wish to determine the

work schedules for three salespeople to serve customers and to decide whether to add a fourth salesperson. The problem arises from not knowing when customers may appear in the store. Experience may indicate the probability that all three salespeople will serve customers at some hours of the day, but at other times, the salespeople will be idle. In simulating the traffic for a day, the manager may wish to use subjective probabilities for times when there is no data from experience. However, even without experience data, it is still possible to simulate an activity using random numbers.

In practice, simulation is carried out by electronic computers. A computer can perform thousands of simulation trials in seconds and compile all costs. At present, inventory decision rules are commonly tested on computers. The executive specifies things like reorder points and order quantity, and the computer determines the costs of that policy over the same period. After many different policies are put through a series of simulation runs, the best policy can be selected.

(d) Breakeven Analysis: The breakeven chart is the most straightforward approach for showing revenue and cost relationships. Revenue and cost can be studied by directing attention to (i) total revenue and total cost, (ii) average revenue and average cost per unit of output, and (iii) changes in revenue and cost. Breakeven analysis directs attention to the first of these. Breakeven analysis implies that at some point in the operations, total revenue equals total cost, which is the breakeven point. This analysis can be handled algebraically or graphically; however, in all cases, the first step is to classify costs into at least two types and variables.

The distinction between total fixed and total variable costs stresses that only variable costs will increase with an increase in the production rate of output. However, it should be clear that when average cost per unit is considered, fixed cost per unit of production will decline as volume increases- the constant fixed costs are spread over more output units. Variable costs per unit of output may increase proportionally with an increase in production, or they may decrease per unit of production (for example, if quantity discounts are significant), or they may increase per unit of output (if the quantity of materials is concise and thus price increases as output increases). In most industries, variable costs per unit can reasonably be assumed to be constant. Therefore, total variable costs

will appear as a straight line (linear) when plotted against various output quantities. The cost-volume-profit relationship can best be visualised by charting the variables. A breakeven chart represents the relationship between costs and revenue at a given time.

The most straightforward break-even chart uses straight lines representing revenue, variable, and total costs. This chart's construction requires only that the cost and revenue be known at two points (volumes of output) because only two points are needed to draw a straight line.

Summary

A logical thought process helps ensure you pay attention to critical factors that could influence the problem and, ultimately, your decision. You should always apply a straightforward, logical thought process to all leadership situations. The seven-step process is excellent for solving problems and making sound and timely decisions.

The seven steps are: 1. Identify (recognise/define) the problem. 2. Gather information (facts/assumptions). 3. Develop courses of action (solutions). 4. Analyze and compare courses of action (alternatives/solutions). 5. Decide; select the best course of action (solution). 6. Plan. 7. Implement the plan (assess the results).

This chapter attempts to understand the importance of decision-making in today's context. Decision-making has been defined, and various decision-making characteristics have also been discussed. The unit-dimensional types of decisions, i.e., Organizational vs Personal, Routine vs Strategic, Policy vs Operating, Programmed vs non-programmed, and Individual vs Group Decisions, are discussed.

Three decision-making phases deal with identifying, evaluating and selecting alternatives to a problem. The decision-making under different conditions has been discussed. The economic man model suggests a logical decision process, mainly when the issue is routine, mechanistic and programmed or when decisions are taken under the certainty of conditions.

The decision-making process in a group and its difference from individual decision-making are also discussed. The various qualitative techniques,

Brainstorming, synectics, Nominal Grouping, Quantitative Techniques, Stochastic Method, Payoff Table, Decision Tree, Simulation Technique, and Break-even Analysis are discussed.

CHAPTER FOUR: ORGANISING

After reading this chapter, the students will be able to understand the meaning, characteristics, and nature of organisations, explain steps in designing effective organisations, analyse formal and informal organisations, and understand the nature of different types of organisations.

4.1 Introduction to organising

Organisation is the backbone of management. Without efficient organisation, no management can perform its functions smoothly. Sound organisation contributes significantly to the continuity and success of the enterprise. Once, an American industrialist, Andrew Carnegie, said, "Take away our factories, take away our trade, our avenues of transportation, our money. Leave nothing but our organisation, and in four years we shall have re-established ourselves". That shows the significance of managerial skills and organisation. However, an excellent organisational structure does not by itself produce good performance – just as a good constitution does not guarantee great presidents or good laws and a moral society. However, a poor organisational structure makes good performance impossible, no matter how good the individuals may be. The proper organisational structure is the foundation; without it, the best performance in all other management areas will be ineffectual and frustrating.

4.2 Meaning and characteristics of organisation

The term 'organisation' connotes different meanings to different people.
Many writers have attempted to state an organisation's nature, characteristics and principles. For instance, to sociologists, organisation means a study of the interactions of the people, classes, or the hierarchy of an enterprise; to psychologists, organisation implies an attempt to explain, predict and influence the behaviour of individuals in an enterprise; to a top-level executive, it may mean the weaving together the functional components in the best possible combination so that an enterprise can achieve its goals. The word 'organisation' is also used widely to connote a group of people and the structure of relationships.

Some important definitions of organisation are given below:

'It is a grouping of activities necessary to attain enterprise objectives and assigning each grouping to a manager with authority necessary to supervise it'.

Koontz and O'Donnell

'The process of identifying and grouping the work to be performed, defining and delegating responsibility and authority, and establishing relationships to enable people to work more effectively together in accomplishing objectives.

Louis A. Allen

'The structure and process by which a cooperative group of human beings allocates its tasks among its members identifies relationship, and integrates its activities towards common objectives'.

Joseph L. Massive

From the above definitions, organising is determining the total activities to achieve a given objective, grouping and assigning activities to individuals, delegating them the authority necessary to perform the assigned activities, and establishing authority relationships among different organisational positions.

An analysis of the above definitions reveals the following characteristics of an organisation:

1. It is a group of individuals which may be large or small.
2. The group in the organisation works under the executive leadership.
3. It is a machine or mechanism of management.
4. It has some directing authority or power which controls the concerted efforts of the group.
5. The division of labour, power and responsibilities is deliberately planned.
6. It implies a structure of duties and responsibilities.
7. It is established for the accomplishment of shared objectives
8. It is a functional concept.

The sound organisation brings about the following advantages:

1. Facilitates attainment of the objectives of the enterprise.
2. Facilitates optimum use of resources and new technological development.
3. Facilitates growth and diversification.

4. Stimulates creativity and innovation.
5. Facilities effective communication.
6. Encourages better relations between the labour and the management.
7. Increase employee satisfaction and decrease employee turnover.

4.3 Nature of Organisation

The term 'organisation' is used in two different senses. In the first sense, it is used to denote the process of organising. In the second sense, it is used to denote the results of that process, namely, the organisational structure. So, the nature of an organisation can be viewed in two ways:

(a) Organization as a process; and
(b) Organization as a structure or framework of relationship.

Organisation as a process: As a process, organisation is an executive function. It becomes a managerial function involving the following activities:

(i) Determining activities necessary for the accomplishment of the business objective.
(ii) Grouping of interrelated activities.
(iii) Assigning duties to persons with requisite competence,
(iv) Delegating authority, and
(v) Coordinating the efforts of different persons and groups.

When we consider organisation as a process, it becomes the function of every manager. Organising is a continuous process that goes on throughout the lifetime of an enterprise. New activities spring up whenever circumstances or situations change materially. So, there is a need for constant review and reassignment of duties. The right people must be recruited, and necessary training must be imparted to enable them to handle the jobs competently.
Thus, the organisation process involves dividing the work into rational ways and interpreting the activities with the work situation and personnel. It also represents a humanistic view of the enterprise since people are at the top of integrating activities. Continuous review and adjustment make this dynamic as well.

Organisation as a structure or framework of relationships

The organisation is a network of internal authority and responsibility relationships. It is the framework of the relationship of persons operating at various levels to accomplish shared objectives. An organisational structure systematically combines people, functions and physical facilities. It constitutes a formal structure with definite authority and clear responsibility. It must be designed to determine the communication channel and flow of authority and responsibility. For this, an analysis of different types must be conducted. Peter F. Drucker suggests the following three types of analysis:

(i) Activities analysis
(ii) Decision analysis, and
(iii) Relations analysis,

A hierarchy must be built up, i.e., a hierarchy of positions with clearly defined authority and responsibility. The accountability of each function must be specified. Therefore, it must be put into practice. In a way, an organisation can also be called a system.

The main emphasis here is on relationships or structure rather than on persons. Once built, the structure is not liable to change so soon. Thus, this concept of organisation is static. It is also called a classical concept. Organisation charts are prepared to depict the relationships of different persons.

Both formal and informal organisations take shape in an organisational structure. The former is a planned one and is defined by executive action. The latter is a spontaneous formation laid down by the common sentiments, interactions, and other interrelated attributes of the people in the organisation. Thus, both formal and informal organisations have structure.

4.4 Steps in the process of organising

The managerial function of organising may be called the 'process of organising'. When the objectives have been set and policies framed, the necessary infrastructure of the organisation must be built up. The concentration goes to activities and functions. These form 'the building blocks' of the organisational structure. There are no rules that will lead to the best organisational structure. But the following steps can be of great help in designing a suitable structure, which will be laid in achieving enterprise objectives:

1. Clear definition of objectives: The first step in developing an organisational structure is laying out its objectives. This will help determine the organisation's

type, stability, and essential characteristics. Organisation activities are detailed in terms of objectives to be achieved.

2. Determining activities: Certain activities are necessary to achieve the enterprise's objectives. The activities will depend upon the nature and size of the enterprise. For example, a manufacturing concern involves production, marketing, and other activities. There is no production activity in a retail establishment.

Each significant activity is divided into smaller parts. For instance, production activity may be divided into purchasing materials, plant layout, quality control, repairs and maintenance, production research, etc.

3. Assigning duties: The individual activities groups are then allotted to different individuals according to their ability and aptitude. The responsibility of every individual should be defined clearly to avoid duplication and overlapping efforts. Each person is given a specific job suited to him and is made responsible for its execution. The right man is put in the right job.

4. Delegating authority: Everyone is given the authority necessary to perform the assigned activity effectively. By authority, we mean the power to make decisions, issue instructions, guide subordinates, supervise, and control them. Authority delegated to a person should be commensurate with his responsibility. An individual cannot perform his job without the necessary authority or power. Authority flows from top to bottom, and responsibility flows from bottom to top.

5. Coordinating activities: The activities and efforts of different individuals are then synchronised. Such coordination is necessary to ensure the adequate performance of specialised functions.
The interrelationships between different jobs and individuals are clearly defined so that everybody knows from whom he must take orders and to whom he is answerable.

6. Providing physical facilities and the right environment: An organisation's success depends upon providing proper physical facilities and the right environment. Just as it is essential to have the right people in the right jobs,

it is equally important to have the right working environment. This is necessary for the smooth running and prosperity of the enterprise.

7. Establishment of structural relationships for overall control: Establishing well-defined, clear-cut structural relationships among individuals and groups is essential. This will ensure overall control over the workings of all departments and their coordinated direction towards achieving predetermined business goals.
Thus, the preceding analysis shows that the organisation provides a structural framework of duties and responsibilities. It not only establishes an authority relationship but also provides a system of communication. The various processes of organisation explained above are technically performed through (a) departmentation, (b) delegation of authority and fixation of responsibilities, and (c) decentralisation of authority subject to central control through centralisation of decision-making.

4.5 Objectives of organising

Every economic activity deliberately done has some purpose. When a group of people assemble without any planned aim or purpose, it is not an organisation but a mob. However, when, for instance, they are invited to participate in a conference, an element of purpose has been introduced. A purpose refers to a commitment to a desired future. Objectives and purposes are generally interchangeable terms.

Why should a business enterprise organise itself? The answer to this question brings out its objectives. A business organisation's objectives are distinguished from those of other social organisations. To put it more precisely, the nature of an organisation (i.e. political, social, religious or economic) can only be known by studying its objectives.

The following may be the objectives (or purpose) of organising business:

1. Effective enterprise management: Effective management largely depends upon effective organisation. An effective organisation ensures a proper balance between authority and responsibility. It achieves a clear line of communication and defines the areas of work. The organisation allows the top management to

concentrate on overall planning and supervision, leaving the routine work to the lower levels of administration. It saves the entire enterprise from aphorism, over-lapping and inefficiency.

2. **Maximum production at minimum cost:** The activities are allotted according to the principle of division of labour. An efficient organisational system encourages every employee to contribute to raising output. The increase in output and control of wasteful expenditures help decrease the cost of production. The profitability of the concern will also go up.

3. **Sustained growth and diversification:** A business enterprise should be a growing organism. As time passes, it must expand its activities and diversify its products and markets.

A static business soon grows stale and becomes out of control. It should grow from a small-scale concern to a medium-scale concern and from a medium-scale concern to a large-scale one. The organisation plays a vital role in this respect. Executing policies organizationally builds the capacity and confidence to undertake more significant activities.

4. **Employee cooperation: The organisational structure will succeed only if employees cooperate. The employees learn to work in closer collaboration with others. The management introduces various incentive schemes and gives monetary and other benefits to the employees** so that they work in a team spirit.

5. **Discharging social responsibility:** Maximizing profits, no doubt, is the motive of every business. Without profit, no business can exist. But business is part and parcel of society at large. It cannot survive long by exploiting consumers and society. It must serve society by providing goods of good quality at reasonable prices. It has to ensure a smooth supply of goods as per the needs of consumers. The service motto cannot be realised without a well-knit organisational structure. So, discharging social obligation is essential for building a sound organisation.

The purpose of the sound organisation is:

(i) to establish an activity-authority environment where people can perform most effectively.

(ii) to make group action efficient and effective by providing centres for decision-making and a system of communication to coordinate individual efforts towards group goals effectively.
(iii) to create relationships that minimise friction, focus on the objective, closely define the responsibilities of all parts, and facilitate the attainment of the aim.
(iv) to subdivide the management process by which plans are translated into actions to make management the most effective.

Thus, to sum up, the organisation is a process by which the manager brings order out of chaos, removes conflicts between people overwork or responsibility, and establishes an environment suitable for teamwork.

4.6 Principles of Organization

The practical and efficient working of any organisation depends on how the managerial function of the organisation is being performed. The function of an organisation can be carried out effectively with the help of the mentioned principles:

(i) **Division of work:** When structuring an organisation, division of work should be considered at the very outset as the basis of efficiency. A group of individuals can secure better results by having a division of work. Therefore, when designing the organisation, we should aim to make a suitable grouping of activities. This is also called the principle of specialisation.

(ii) Attention to objectives: An organisation is a mechanism to accomplish specific goals or objectives. Its objectives play an important role in determining the type of structure that should be developed. Clearly defined objectives facilitate grouping activities, delegation of authority, and effective coordination.

(iii) **Span of management:** The span of management also refers to the span of control, which indicates the number of subordinates reporting directly to any executive. The more subordinates report directly to the executive, the more difficult it tends to be for him to supervise and coordinate them effectively.
This important principle of management should also be kept in mind.

(iv) **Unity of command:** The organisation structure should also be designed to promote unity of command because a single leader is the ultimate source of authority. This facilitates consistency in directing, coordinating, and controlling to achieve the end objectives.

(v) **Flexibility:** When designing an organisation, its structure should not be static. Every organisation is a living entity in a fast-changing environment. As such, there must be enough room to change and modify the structure in light of environmental changes to achieve the organisation's ultimate objective.

(vi) **Proper balance:** Keeping various segments or departments of an organisation balanced is essential. The balance problem arises when an activity or a department is further divided and subdivided into smaller segments. The difficulties of balancing also crop up with any organisation's size and functioning growth.

(vii) **Management by exception:** It is a fundamental principle that makes any organisation effective in its true sense. This principle signifies that problems of an unusual nature should only be referred upward and decided by higher-level executives in the managerial hierarchy. In contrast, routine issues should be passed on to lower levels and resolved. Applying this principle as such certainly requires adhering to the principle of delegation of authority. The exception principle is thus of significant practical utility and applies to all organisational structure levels.

(viii) **Decentralization:** This principle is significant to big organisations. Decentralisation implies the selective dispersal of authority to help departments and units run effectively and efficiently without frequent interruptions from the top of the enterprise. It requires meticulous selection of what decisions to push into the organisation, what to hold at or near the top, and specific policy-making to guide the decision-making, selection, and training of people and adequate control. Decentralisation, as such, embraces all areas of management and is of overwhelming significance in organisational structure.

(ix) **Departmentation:** Departmentation groups activities into units for administration purposes. In other words, it denotes grouping related jobs and activities without violating the principle of homogeneity over which an executive has the authority to exercise and assert. The main advantage of

departmentation is that it enables an individual executive to manage his subordinates effectively since a manageable number of persons are brought under the direct supervision of the individual executive.

(x) **Efficiency:** The organisation should be able to attain the predetermined objectives at the minimum cost. If it does so, it will satisfy the test of efficiency. From the individual point of view, a good organisation should provide maximum work satisfaction. Similarly, from the social point of view, an organisation will be efficient when it contributes the maximum to society's welfare.

(xi) Scalar principle: Scalar chain refers to the vertical placement of superiors, from the chief executive at the top through the middle to the supervisory level at the bottom. A proper scalar chain or command line is a prerequisite for effective organisation.

(xii) **Unity of direction:** This means that each group of activities having the same objectives should have one plan and one head. There should be one plan or programme for each segment of work, which is to be carried out under the control and supervision of one head or superior. Confusion is bound to occur if the subordinates follow different plans or policies in one department.

(xiii) **Continuity:** The organisation structure should be able to serve the enterprise and help it attain its objectives for an extended period.

(xiv) Coordination: The principle of coordination underlines that proper liaison and cooperation should exist between different departments and units of work. Unity of efforts to accomplish desired objectives is the organisation's main aim, which can be achieved through coordination.

(xv) **Authority and responsibility:** Authority should be commensurate with responsibility. While assigning the responsibility, authority should also be assigned. With authority, the subordinates can discharge their responsibility correctly.

4.7 Advantages of organisation

The primary duty of management is to achieve the objectives of the enterprise. The objectives may be social, economic, political or religious. Proper organisation of men, materials, money and equipment is necessary. Organisation is the mechanism through which management directs, coordinates and controls the business. A sound organisation offers the following advantages, which summarise its importance:

1. **Enhancement of managerial efficiency:** A sound organisation brings proper coordination among various production factors, leading to optimum utilisation. It avoids confusion, duplication and delays in work. It motivates the worker through proper division of work and labour. It reduces the workload of executives by delegation of authority.

2. **Growth, expansion, and diversification: The Organization provides the framework for an enterprise to expand and grow. Through the organisation, management can multiply its strength. In a good organisation, the money and effort spent on different activities are proportionate to their contributions. Through proper organisational setup, many firms have grown from humble beginnings to giant sizes**.

3. **Specialization:** A sound organisational structure provides the benefits of specialisation. Various activities are allocated between individuals according to their qualifications, experience, and aptitude, increasing efficiency. Systematic organisation of activities helps secure economics and minimise costs.

4. **Adoption of new technology:** A properly designed and well-balanced organisation permits prompt adoption and optimum use of technological improvements. It can absorb changes in the business environment and react appropriately to them. A good organisation helps develop new and improved ways of doing things.

5. **Coordination:** Organizations facilitate the coordination of diverse activities. Different functions are welded together to accomplish the desired objectives. Clear lines of authority and responsibility between various positions ensure cooperation and harmony in the enterprise. A good organisation enables people to work with team spirit.

6. Training and Development: Delegating authority to lower levels makes the training and development of future executives possible. A good organisation puts the 'right man at the right job' and provides them with the proper training and managerial development programs. Their training needs can be ascertained by appointing employees to different departments and assigning them other jobs.

7. **Creativity, initiative, and innovation: A good organisation encourages creativity. Employees are motivated to break new ground and try unconventional methods. A sound organisation allows recognising merit, followed by financial incentives for personnel who show** creativity.

8. **Check on corrupt practices:** A weak and unsound organisation is a source of corruption and inefficiencies. Well-organized, well-defined, disciplined, and sound organisations boost workers' morale and motivation. They develop a feeling of involvement, belongingness, devotion, honesty, and sincerity among employees. They also prevent corruption, inefficiencies, and wastage in an enterprise.

9. **Proper weightage to all activities:** A sound organisation divides the entire enterprise into departments, sections, and subsections according to their functions. Each function is essential. Emphasis is given according to its relative importance. Funds and workforce are allocated according to their relative importance.

10. **Better human relations:** Human beings involved in an organisation are the only dynamic element of the organisation. A dedicated and satisfied group of persons proves an asset to any establishment. An organisation built on sound principles helps harmony in human relations. Different persons enjoy job satisfaction with adequately defined authority, responsibility, and accountability. Organisation consists of human beings, and their satisfaction helps improve human relations. Thus, organisation is the foundation of management. Sound organisation is an indispensable means for efficient management and better business performance. It not only facilitates efficient administration but also encourages growth and diversification. It provides for optimum use of new technology and stimulates innovation and creativity.

4.8 Formal and Information Organisation

Formal organisation refers to the structure of relationships deliberately built by top management to realise the objectives. Instructions, responsibility, authority, accountability, lines of command, and positions and authority are clearly defined and declared in this form. Each person is aware of their duties and authority. Every subordinate must obey his supervisor in the formal chain of command. Everyone is fitted in the organisation like a cog in the machine. It is designed after careful identification, classification and assignment of business activities. So, it is the conscious creation of relationships.

Informal organisation refers to the network of personal and social relationships that arise spontaneously when people working together interact based on personal whims, likes, and prejudices.

Such relations are not created by top management and must be recognised formally. Informal groups sometimes run parallel to formal ones. Informal relations are not portrayed on organisation charts and manuals. An informal organisation allows workers to come close to each other and develop a feeling of cooperation and coordination.

4.9 Difference between Formal and Informal Organizations

The difference between formal and informal organisations can be enumerated briefly below:

1. **Formation:** A formal organisation is deliberately created by management. It results from a conscious and deliberate effort involving delegation of authority. On the other hand, informal organisations arise spontaneously, and no conscious efforts are made to create them. It occurs based on relationships, caste, culture, occupations, personal interests, etc. No delegation of authority is essential in an informal organisation.

2. **Basis:** A formal organisation is based on rules and procedures, while an informal organisation is based on people's attitudes and emotions. It depends on informal social contact between people working and associating with one another.

3. **Nature:** A formal organisation is stable and predictable and cannot be changed according to people's whims or fancies. However, an informal organisation is neither stable nor predictable.

4. **Set up:** A formal organisation is a system of well-defined relationships with a definite authority assigned to every individual. It follows predetermined lines of communication. On the contrary, an informal organisation has no definite form or rules for who reports to whom. Even a low-placed employee may have an informal relationship with an officer far above him in the formal hierarchy.

5. **Emphasis:** In a formal organisation, the main emphasis is placed on authority and functions. In an informal organisation, stress is placed on people and their relationships.

6. **Authority:** Formal authority is attached to a position and flows from top to bottom. Informal authority is connected to a person and flows either downwards or horizontally.

7. **Existence:** A formal organisation exists independently of the informal groups formed within it. However, an informal organisation exists within the framework of a formal structure.

8. Rationality: A formal organisation operates on logic rather than sentiments or emotions. All activities follow a predetermined course.

An informal organisation needs more rationality as an association between like-minded people. Its members' emotions and sentiments influence its activities.

9. **Depiction:** An organisation chart or manual can show a formal organisation, but an informal organisation cannot be depicted in the enterprise's chart or manual.

4.10 Forms of Organisation Structure

Organisation requires the creation of structural relationships among different departments and the individuals working there to accomplish desired goals. Establishing formal relationships among the individuals working in the

organisation is very important to clarify the lines of authority and coordinate the efforts of different individuals efficiently. To organise the efforts of individuals, any of the following types of organisation structures may be set up: (i) Line organisation, (ii) Line and staff organisation, (iii) Functional organisation, (iv) Committee organisation, (v) project Organization, and (vi) Matrix organisation.

The nature, merits and demerits of line organisation and line and staff organisation are discussed as follows:

4.10.1 Line Organization

The line organisation represents the structure in a direct vertical relationship through which authority flows. It is the simplest form of organisational structure, also known as scalar or military organisation. Under this, the line of authority flows vertically downward from top to bottom throughout the organisation. The quantum of authority is highest at the top and reduces at each successive level down the hierarchy. In line organisation, the line of authority consists of an uninterrupted series of authority steps and forms a hierarchical arrangement. The line authority not only becomes the avenue of command to operating personnel but also provides the channel of communication, coordination and accountability in the enterprise.

Advantages of Line Organization

(i) Establishing a line organisation is easy, and employees can easily understand it.

(ii) If it facilitates unity of command and thus conforms to the scalar principle of organisation,

(iii) The relationship between authority and responsibility is identified. Employees are fully aware of their jobs' boundaries.

(iv) It ensures excellent discipline in the enterprise because everyone knows to whom he is responsible.

(v) It facilitates prompt decision-making because there is definite authority at every level. An executive cannot delegate decision-making to others, nor can the blame be shifted.

Disadvantages of Line Organization

(i) With growth, the line organisation overloads the superiors with work. If the executives try to keep up with every activity, they are bogged down in myriad details and must pay proper attention to each one. This will hamper their effectiveness.
(ii) There is a concentration of authority at the top. If the top executives are capable, the enterprise will succeed.
(iii) Line organisation is unsuitable for big organisations because it does not provide specialists. Many jobs require specialised knowledge to perform.
(iv) There is partially no communication from the bottom upwards because of the concentration of authority at the higher levels. If superiors make a wrong decision, it would be carried out without anybody having the courage to point out its deficiencies.

Despite these drawbacks, the line organisation structure is vital, particularly in small organisations with fewer authority levels and fewer people. A modification of this structure is a line and staff organisation under which specialists are attached to line executives to provide them with specialised assistance on matters of great importance to the enterprise.

4.10.2 Line and Staff Organization

The line executive is often described as the individual who stands in the primary chain of command and is directly concerned with accomplishing primary objectives. Line organisation provides decision-making authority to the individuals at the top of the organisation structure and a channel for the flow of communication through a scalar chain of authority. Line executives are generalists and must possess the specialised knowledge necessary to tackle complicated problems.

Staff positions are created throughout the structure to give specialist aid to line executives. Staff elements bring expert and specialised knowledge to advise line managers so they may discharge their responsibilities successfully.

In line and staff organisation, the line authority remains the same as in the line organisation. Authority flows from top to bottom. The main difference is that specialists are attached to line managers to advise them on important matters. These specialists stand ready with their speciality to serve line men as and when their services are called for to collect information and give help, enabling line

officials to carry out their activities better. The staff officers do not have any power of command in the organisation as they are employed to provide expert advice to the line officers. Staff means a supporting function intended to help the line manager. In most organisations, staff use can be traced to the need for help handling details, gathering data for decision-making and offering advice on specific managerial problems. Staff investigates and supplies information and recommendations to managers who make decisions.

Line and staff structure has gained popularity because specific management problems have become very complex and, to deal with them, expert knowledge is necessary, which can be provided by the staff officers. For instance, the personnel department is established as a staff department to advise the line executives on personnel matters. Similarly, finance, law, and public relations departments may be set up to advise on problems related to finance and accounting, law and public relations.

Staff officers do not have any power of command in the organisation as they are employed to advise the line officers. In most organisations, staff use can be traced to the need for help handling details, gathering data, and offering advice on specific managerial problems.

Advantages of Line and Staff Organization

(i) **Specialized knowledge**. Line managers benefit from the specialised expertise of staff specialists at various levels.

(ii) **Reduction of burden**. Staff specialists relieve the line managers of concentrating on specialised functions like accounting, selection and training, public relations, etc.

(iii) **Proper weightage**. Many problems that are ignored or poorly handled in the line organisation can be adequately covered in the line and staff organisation using staff specialists.

(iv) **Better decisions**. Staff specialist helpline executives make better decisions by providing adequate information of the right type at the right moment and expert advice.

(v) **Flexibility.** The line organisation is more flexible than the staff organisation. General staff can be employed to help line managers at various levels.

(vi) **Unity of command**. Under this system, the experts provide exceptional guidance without giving orders. Only the line manager has the right to give orders. The result is that enterprises take advantage of the functional organisation while maintaining the unity of command, i.e., one subordinate only receives orders from one boss.

Demerits of Line and Staff Organization

Line and staff organisation suffers from the following drawbacks:

(i) There is generally a conflict between the line and staff executives. There is a danger that staff may encroach on online authority. Line managers feel that staff specialists do not always give the right advice, and staff officials generally complain that their advice is not adequately attended to.

(ii) The duties allocated between the line and staff executives could be more precise. This may hamper coordination in the organisation.

(iii) Since staff men are not accountable for the results, they may need to perform their duties better.

(iv) There is a vast difference between the orientation of the line and staff men. Line executives deal with problems in a more practical manner. However, staff officials who are specialists in their fields tend to be more theoretical.

The superiority of Line and Staff Organization over Line Organization

Line and staff organisation is considered better than the line organisation because of the following reasons:

(i) Staff provides expert advice to line executives. This is necessary to deal with complex management problems. For instance, the personnel department is established as a staff department to advise top and other line executives on personnel matters.

(ii) Better decisions are ensured in line and staff organisation than in a simple line organisation.

(iii) Line and staff structures are more suitable for large organisations as expert advice is always available. Line managers can use the knowledge of staff specialists to deal with complicated problems. Therefore, line and staff organisations are certainly better than line organisations.

Summary

The word organisation has two common meanings. The first meaning refers to the process of organising. The second meaning signifies the institution or group that exists due to organising. The organising process involves several steps, viz. consideration of objectives, grouping of activities into departments, deciding which departments will be treated line and which will be related staff, determining the levels at which various types of decisions are to be made, determining the span of supervision and setting up a coordination mechanism. There are several principles of organising that should be remembered in the process.

CHAPTER FIVE: AUTHORITY AND RESPONSIBILITY

After reading this chapter, you should be able to understand the meaning and sources of authority, distinguish between delegation and decentralisation, appreciate the advantages and disadvantages of decentralisation, understand the relationship between Authority and Responsibility, and distinguish between Responsibility and Accountability.

5.1 The concept of authority

Authority is a legal power possessed by a person from his superior officers, and with the help of these, he succeeds in getting things done by his subordinates. Authority is the key to managerial functions. Managers cannot perform their duties properly if they do not possess the required authority. A manager can influence his subordinates only by the use of his authority. The authority enables him to discharge the essential functions of planning, coordination, motivation controlling, etc., in an enterprise. If proper authority is not vested in him, he cannot perform these functions in the required manner, and he cannot be held responsible for all these functions without proper authority. It is only the authority by which he dominates his subordinates and gets work done by them.

Definitions

'Authority is the right to give order and the power to exact obedience'.

– Henri Fayol

'Authority is the power to command, to act or not to act in a manner deemed by the possessor of the authority to further enterprise or departmental performance'.

– Koontz and O'Donnell

While concluding the meaning of authority, it can be said that authority is nothing more than a legal right in the ordinary sense of the term. It empowers an individual to make decisions. He is given a right to command and exercise control over those responsible for executing the enterprise's policies and

programs. The authorised person is accountable and answerable to his superiors and the organisation for decisions.

5.2 Factors for successful use of authority

For the successful use of authority, the following factors may be taken into consideration:

1. Favorable Atmosphere: To implement authority, a favourable atmosphere must be created in the enterprise to establish sweet human relations.

2. **Justified Behavior:** The second important factor in successfully implementing authority is the justified behaviour of officers toward their subordinates. They must feel and treat all employees equally. If they do not, the employees may not contribute to attaining the enterprise's objectives.

3. **Mutual Co-operation and Faith:** For the successful use of authority, cooperation and mutual trust must exist between enterprise officers and employees.

4. **Interest in the work:** A critical condition of the successful use of authority is that the employees must be interested in the job for which they are responsible. If they are not interested in their work, it may be challenging for the higher officers to implement their authority.

5. **Respect to Superiors:** The enterprise must have an atmosphere in which the employees respect their bosses. They may not obey their orders if they do not respect them.

5.3 Sources of authority

There are three different schools of thought about the sources of authority, which are discussed below:

1 Formal Authority Theory

According to this theory, all authority originates in the formal structure of an organisation. The ultimate authority in a joint stock company lies with the

shareholders. Shareholders entrust the company's management to the Board of Directors and delegate most of their authority. The Board of Directors delegates authority to the chief executive and chief executive, in turn, to the department managers, and so on. Every manager or executive possesses authority because of his organisational position, known as formal authority. The authority conferred by law is also regarded as a formal authority. Subordinates accept the formal authority of a manager because of his position in the organisation.

Subordinates know that if they disregard formal authority, they will be punished according to the company's rules and regulations. The formal authority theory further states that superiors can delegate their authority. Thus, formal authority always flows from top to bottom.

2 Acceptance Theory

This theory states that authority is the power that is accepted by others. Formal authority is reduced to nominal authority if the subordinates do not accept it. The subordinates accept the authority if the advantages derived from its acceptance exceed the disadvantages resulting from its refusal. The subordinates give obedience to the managers because they visualise the following advantages:

(a) Receipt of financial incentives.
(b) Contribution to attaining the objectives of the enterprise.
(c) Fulfillment of responsibilities.
(d) Appreciation from colleagues.
(e) Setting an example for others.
(f) Responsibility to the leadership of Superior
(g) Moral obligation because of regard for old age, experience, competence, etc.

According to acceptance theory, authority flows from bottom to top.

A manager has authority if he gets obedience from his subordinates. Subordinates obey the manager because they fear losing financial rewards. This theory emphasises the sanctions a manager can use and overlooks the influence of social institutions like trade unions.

3 Competence Theories

The supporters of this view assert that an individual derives authority because of his personal qualities and technical competence. Many persons derive informal jurisdiction because of their competence. For instance, a person may possess expert knowledge in a particular subject. People will go to him for guidance, even though he has no formal authority.

5.4 Meaning and sources of power

Power is a method of operating that influences the behaviour of others. Power politics within the organisation gives rise to power centres, which need not necessarily be located in a position of higher authority. Nobody wants to lose power because power can be used in desirable or undesirable ways.

Power may be defined as 'the ability to exert influence. If a person has power, it means that he can change the attitude of other individuals. For sound organisational stability, power and the right to do things must be equated; when power and authority for a given person or position are roughly equated, we may call the situation 'Legitimate Power'.

5.4.1 Sources of Powers

If we study the origin and sources of power, we must remember the names of John French and Bertram Raven. They have written that five energy sources are found at all levels of the organisation. They are as follows:

(i) **Legitimate Power:** The power corresponds to the term authority. It exists when an influencer acknowledges that the influencer is lawfully entitled to exert influence. In this, the influence must accept this power.

(ii) **Reward Power:** This power is based on the influencer's ability to reward the influencer for carrying out orders.

(iii) Corrective Power: It is based on the influencer's ability to punish the influence for not carrying out orders or meeting requirements.

(iv) Referent Power: It is based on the influencer's desire to identify with or imitate the influencer. For example, a manager will have referent power over his subordinates if they are motivated to emulate his work habits.

(v) **Expert Power:** This power is based on the belief that the influencer has some relevant expertise or special knowledge that the influence does not have. For example, a doctor has expert power over his patients. In studying power, the role of influencers in accepting or rejecting the attempted influence is vital. Each of the five power bases is inherent in a manager's position and activities.

5.4.2 Difference between 'Authority' and 'Power'

If we study from close practice, the terms 'Authority' and 'Power' are generally used interchangeably, but there is a clear-cut difference between these two words, and they are as follows:

1. Right to Command: Authority is the right to command, whereas power is the ability or power to command.

2. **Right to Exercise:** Authority usually resides in the position in the organisation, but the person exercises power. Authority includes the right to exercise, which has been institutionalised.

3. **Positional and Legitimate:** Authority is always positional and legitimate and is conferred on the position. But power is not institutional. Instead, it is personal. It is acquired by people in various ways and then exercised upon others. It is acquired through political means or by having specific personal attributes.

4. **Authority Increases:** Authority increases as soon as one goes up in the organisational hierarchy, but it need not necessarily be accompanied by more power.

In actual practice, the power centres may be located at the organisation's power levels. Therefore, one cannot know an organisation's power centres by merely looking at its organisation chart.

5. **Authority Relationships:** In practice, authority relationships are modified by power politics in the organisation. Some individuals may have more power and less authority or more authority and less power. The organisation's operating mechanism is relevant for studying organisational behaviour.

6. Authority is a Downward Concept: Authority is a downward-flowing concept, whereas power flows in all directions.

7. **Delegation of Authority:** Authority can be delegated to lower levels in the organisation. The lower we go down, the less authority we have.

5.5 Delegation of authority and its methods

Delegation means devoting authority to subordinates to make them perform the assigned duties or tasks. It is a part of the organisational process by which managers make it possible for others to share the work of accomplishing organisational objectives. Delegation consists of granting authority or the right to decision-making in certain areas and charging the subordinate with carrying out the assigned tasks.

Delegation refers to assigning work to others and conferring them with the requisite authority to accomplish the job assigned.

1. In the words of F.G. Moore – 'Delegation means assigning work to others and giving them authority to do it.'
2. Louis A. Allen has said – 'Delegation is the dynamics of management; it is the process a manager follows in dividing the work assigned to him so that he performs that part which only he, because of his unique organisational placement, can perform effectively and so that he can get others to help him with what remains'.
3. E.F.L. Brech has also said – 'Delegation is a process of sharing a few or all of the four elements of the management process, i.e. command, planning, coordination and control'.
He says delegation is not a question of issuing instructions but of reducing the executive's responsibility and transmitting it to others.

Since one person constitutes only one workforce, F.G. Moore once said, 'Delegation, therefore, is necessary for enlarging his capacity by asking trusted subordinates to share his burden.'

Without delegation, says S.S. Chatterjee, 'The very existence of the organisation is shattered at once. If there are no duties to be divided and no authorities to be shared in the enterprise, the existence of an organisational structure is nullified and becomes absurd. Management of that organisation becomes impossible without delegation.'

For this reason, activities must be integrated and coordinated, and unity of purpose must be achieved; this necessitates effective delegation.

5.5.1 Methods of Delegation

In a big manufacturing concern, the following may be the methods of delegation of authority to ensure better results, unified direction and command and effective delegation:

1. Administrative Delegation – When a few administrative functions are delegated to sub-ordinate staff, it is called administrative delegation. These functions are generally routine, e.g., maintaining discipline, supervising the work, recommending a reward or punishment, etc.

2. **Geographical Delegation—When an enterprise's work is located in distant places, it is impossible for an executive to manage all its affairs single-handedly. He then delegates his authority to those posted at places where he cannot physically be present throughout the year. This is known as the geographical method of delegating** authority.

3. **Functional Delegation—When the enterprise is organised based on functional organisation, the delegation of authority is also done on a functional basis. Of course, all the heads are given to manage their departments according to their skill, knowledge, and experience**; they are accountable to the chief executives.

4. **Technical Delegation:** This authority delegation method is based on technical knowledge and skill. Here, authority is delegated to take advantage of expert and experienced hands and their technical skills.

5.5.2 Elements of delegation and its types

The elements of delegation of authority involve three steps:

1. **Authority:** The superior grants authority to the subordinate to carry out the assigned task or duty. This may include the right to use resources, spend money, engage people, etc.

2. **Responsibility:** The superior entrusts some responsibility or duty to a subordinate.

3. **Accountability:** The last step in delegation is concerned with creating an obligation to carry out duty or responsibility and render an account of the results achieved with delegated authority. The subordinate must be held accountable for the exercise of authority granted to him. Accepting duties and authority makes a subordinate responsible to his superior.

3. Authority: Authority is the sum of the rights entrusted to an individual to make possible the performance of the work delegated. It includes rights or powers such as spending money, using certain materials, and hiring and firing people.

Allen talks of the authority of knowledge, position, and legal authority. Authority of expertise, according to him, is possessed generally by the staff specialists appointed by the company. Consultants more often influence people's actions in line with their knowledge. Similarly, some persons acquire authority by their position. For instance, a person close to the person having line authority wields considerable authority. A private secretary to the managing director or even a staff assistant may have no formal power or authority. Legal authority is the authority entrusted to a person by the law of the land.

A company, for instance, is a legal person enjoying several rights under the Companies Act. Organisations are built on authority relationships between their members. Authority is a building force in an organisation and is the key to the executive job. An executive can only get things done through others with the right to command them.

5.6 Responsibility

Responsibility represents the work or duties assigned to a person by his position in the organisation. It refers to the mental and physical activities which must be performed to carry out the task or duty. That means every person who conducts psychological or physical activities as an assigned task has responsibility. To enable the subordinates to perform their responsibility well, the superior must tell the former what is expected of him. In other words, the delegator must determine the task or duty assigned to the delegate.

The duty must be expressed either in terms of function or objectives. If a subordinate is asked to control the operations of a machine, the duty is in terms of function. But if he is asked to produce a certain number of pieces of a product, the duty is in terms of target or objective. Determining responsibilities regarding objectives will enable the subordinate to know by what standards his performance will be evaluated.

According to Alwin Brown, responsibility can be understood in two senses. In one, it denotes the definition of a part or role performed in administration. On the other hand, it represents the obligation to perform that part. Two meanings are reciprocal. In most circumstances, there is so little difference between the concept of the part and the concept of the obligation that it is more beneficial to view them as inseparably related aspects of the same concept and to refer to them by a single term. In this sense, many authors have held that responsibility cannot be delegated. However, authority and responsibility are co-extensive, and responsibility or duty can be delegated within the authority framework. Accountability cannot be delegated. Therefore, it is essential to make a distinction between responsibility and accountability.

Responsibility or duty implies that the task assigned to a person is to be completed according to the standards. It is his superior who has entrusted this task to him. He should not have difficulty expecting it because his superior knows his plus and minus points at work. He would not assign a task which the subordinate is unable to complete. He has divided and subdivided the tasks about this division so that each of his subordinates gets the task of his choice. Hence, there is no ground for the subordinate to object to the duty assigned to him by his superior unless the superior has acted deliberately in an indicative manner. If he does so, there are other ways to remedy the situation.

Whenever the superior assigns any task to his subordinate, it is implied that he has delegated his responsibility. In this process, though he may hold his subordinate accountable for the task entrusted to him, he continues to be responsible to his boss because accountability can never be delegated. The extent of authority delegated should be commensurate with the responsibilities or duties assigned. In other words, there must be a balance between responsibility and authority. However, in practice, it is tough to achieve a balance between responsibility and authority.

According to McGregor, the realities of business place most managers in situations where they cannot effectively control everything that affects the results they are attempting to achieve. Uncontrollable factors include unexpected changes in consumer preferences, the action of labour unions, government legislation and fluctuations in business cycles. Recognising these problems does not reduce or destroy the utility of this concept. If a manager is abreast of the time, he will make allowance for unforeseen events outside the control of the subordinate. Many factors prevent a superior from delegating enough authority. The risk of losing control is an essential factor. Actual or presumed non-availability of qualified subordinates, lack of delegating skills and enhancement of one's indispensability are the other factors which cause an imbalance of responsibility and authority. An effective manager is willing to delegate authority as needed to accomplish the desired objectives.

Responsibility cannot be delegated or transferred. The superior can delegate subordinates the authority to perform and accomplish a specific job. However, he cannot delegate responsibility because once duties are assigned, he is relieved of his responsibility. This delegation of tasks does not absolve the superior from his responsibility for the adequate performance of his subordinate. In other words, we can say that responsibility is divided into two parts at the time of delegation: (a) operating responsibility and (b) ultimate responsibility.

The subordinate assumes only the operating responsibility for the task. The superior retains ultimate responsibility for getting the job done. If the subordinate fails to perform the job (operating responsibility), the superior is held responsible for this failure (ultimate responsibility). To explain that the

ultimate responsibility cannot be shifted or reduced by assigning duties to another. Newman cites the example of a person borrowing money from the bank and then realigning it to his son. This transaction with his son does not reduce his obligation and responsibility to repay the money to the bank.

Responsibility may be specific or continuing. It is specific when it does not arise again after being discharged by a subordinate. Thus, a consultant's responsibility is specific. It ceases when the assignment is completed. The responsibility of a foreman is, however, of a continuing nature.

5.7 Accountability

Accountability is a logical derivative of authority. When a subordinate is given an assignment and is granted the necessary authority to complete it, the final phase in an essential organisation relationship is holding the subordinate responsible for results. In other words, the subordinate is obliged to complete the assignment by the fair use of authority and account for the discharge of responsibility assigned.

Accountability is the obligation to carry out responsibility and exercise authority regarding performance standards established by the superior. Creating accountability is the process of justifying the granting of authority to a subordinate to accomplish a task. To make this process effective, the performance standards should be determined before assigning a task and accepted by the subordinate. An essential principle of management governing this primary relationship is single accountability. An individual should be answerable to only one immediate superior and no more.

Accountability depends on the extent of delegation of authority and responsibility. A person cannot be held answerable for the acts not assigned to him by his superior. For instance, if the production manager is given the responsibility and authority to produce a specified quantity of a specific product and the personnel department is given responsibility and authority for workforce development, the production manager cannot be held accountable for workforce development. "Accountability is, by the act which creates it, of the same quality and weight as the accompanying responsibility and authority".

NB: Accountability cannot be delegated

Though it is incurred due to the assignment of duty and conferring of authority, accountability cannot be delegated. The diligent cannot abdicate responsibility. He remains accountable to his superior for that which the latter has entrusted to him. Since accountability cannot be delegated, the accountability of persons higher in the hierarchy for the acts of subordinates is unconditional.

5.8 Types of Delegation

The essential kinds of delegation of authority are as follows:

1. General and Specific Delegation

(i) General Delegation: This is a delegation in which the authority is given to perform general managerial functions, like planning, organising, directing, etc. The subordinate managers perform these functions and enjoy the authority required to carry out these responsibilities. The Chief Executive exercises overall control and guides the subordinates from time to time.

(ii) **The Specific Delegation:** Specific Delegation relates to a function or an assigned task. The authority delegated to the production manager to carry out this function will be a specific delegation. Various departmental managers get specific authority to undertake their department duties.

2. **Formal or Informal Delegation**

(i) **Formal Delegation:** Formal delegation is part of the organisational structure. Whenever a task is assigned to a person, the required authority is also given to him. This delegation is part of the normal functioning of the organisation. Every person is automatically given authority as per their duties. When the production manager gets the power to increase production, it is a formal delegation of authority.

(ii) **Informal Delegation:** This delegation does not arise due to position but according to the circumstances of the case. A person may undertake a task not because he has been assigned it but because it is necessary to do his regular work.

3. Written or Unwritten Delegation

(i) Written Delegation: Written delegation is usually given through letters, instructions, circulars, etc. Whatever has been delegated, it must be in writing.

(ii) **Unwritten Delegation:** Unwritten delegation is given to the person concerned not in any particular way but through conventions, customs, and usages, and the other party has to do work accordingly.

4. Downward or Upward Delegation

(i) Downwards Delegation: Downwards delegation is commonly used in every working concern. It has been considered a superior's delegation of authority to his immediate subordinate.

(ii) **Upward Delegation:** This type of delegation occurs when a subordinate assigns some of his tasks to his superiors. It is an uncommon type of delegation, and its instances are sporadic.

5.9 Principles of Delegation

The following principles may be considered as essential for effective delegation of authority:

(i) **Proper Planning: An executive must plan what will be achieved if delegated authority. He should define clearly the objectives to be achieved and the functions to be performed. The job should be designed and divided to accomplish the goals. The subordinates must clearly understand their activities and what the delegator expects**.

(ii) **Select appropriate subordinate delegation:** The subordinate should be selected in the light of the work to be achieved. The individual's qualification may influence the nature of the delegation of authority. This is the purpose of the managerial function of staffing, most carefully considered.

(iii) **Maintain purity of authority and responsibility:** Authority should be delegated commensurate with responsibility. This is on the assumption that where subordinates are held responsible for performing specific duties, it is fair that they should be vested with the necessary authority to carry out such duties. Although technically, it would be inaccurate to stress equality as the executive does without a certain

amount of authority, there must be an adequate correlation between duty and authority delegated.

(iv) **Ensure unity of command:** Henry Fayol advocated this common organisational principle. It stresses that subordinates should have only one boss to whom they are accountable to avoid confusion and friction. Of course, in practice, this principle is not possible.

(v) **Maintain adequate communication:** There should be a free and continuous flow of information between the superior and the subordinate, furnishing the subordinate with relevant information to help him make decisions and correctly interpret the authority delegated to him. Plans may change, and decisions must be made in light of the changed conditions.

(vi) **Reward effective delegation:** Effective delegation and successful assumption of authority must be rewarded. This will provide a proper environmental climate for fuller delegation and effective assumption of authority.

(vii) **Establish a climate of confidence:** The subordinate to whom authority is delegated must generally feel free from fear and have confidence that delegation will not result in punishment but is an opportunity for his self-development and growth.

(viii) **Establish a strong belief in delegation:** To be successful, the man who delegates must be convinced of the need and benefits of delegation. He must also be willing to allow his subordinates to make mistakes, although he can be strict if the same error is repeated.

(ix) **Proper Selection and Training of Personnel:** Personnel selection for various jobs should be fair and just. It should not be arbitrary but must be based on certain principles. Only the right people should be placed in the right jobs. The selected person must also be trained to handle the most efficiently and perform the assigned job properly. Proper selection and training help to develop their self-confidence and morale.

(x) **Proper Control Techniques be developed:** Proper control techniques should be developed in a good organisation, and significant deviations from the standard should be checked. There should be no interference in the day-to-day functioning of subordinates.

5.10 Various steps in the process of delegation

The following steps are essential, and they must be kept in mind while delegating:

1. The delegation should define the result expected from his subordinates.

2. Duties should be assigned according to the subordinates' qualifications, experience, and aptitude. They may be described as an activity or set of activities to be performed by a subordinate or as results expected from the performance of activities.

For example, how many sales does the salesman need to achieve? Assigning duties based on expected results is better because the subordinate knows how his performance will be judged while assessing duties and responsibilities. The delegator must ensure that subordinates understand and accept the assignment; otherwise, the delegation would be meaningless or ineffective.

3. Adequate authority must be given to sub-ordinates – The authority to be delegated to each sub-ordinate is determined in advance. The delegator confers upon the subordinate the right to act in a specified way within limited boundaries. It decides what actions we may take and what actions we cannot take. Proper authority to any sub-ordinate not given in time will not provide or produce expected results.

For Example, a sales manager charged with increasing sales of the company's product should be given the authority to hire competent salespeople, pay wages and incentives, and allow concessions within specified limits.

4. The subordinate must produce expected results from the assigned task. The subordinate must perform satisfactorily in the tasks assigned. He becomes answerable for the proper performance of the assigned duties

and for the exercise of the delegated authority. Authority with accountability is likely to be used effectively. Accountability without authority may be frustrating to the subordinates. The extent of accountability depends upon the importance of delegated authority and responsibility. A subordinate cannot be held responsible for acts not assigned to him by his superior. He is accountable only to his immediate superior.

5. Proper Evaluation of the Performance must be made. In the end, an information and control system must be established to check and evaluate the performance of the subordinates to whom authority has been delegated. Duties, authority, and responsibility are the three essential interdependent steps in the delegation process. In this connection, an eminent authority, H.W. Newman, has said – 'These three inevitable attributes of delegation are like a three-legged stool; each depends on the others to support the whole, and no two can stand alone.'

What and when to delegate are two ticklish questions a delegate gator must answer within the organisation's framework.

An executive, according to *Louise A. Allen,* can follow the under-mentioned rules while delegating:

1. Established goals that are to be attained.
2. Define and enumerate the authority the delegate can exercise and the responsibility he is to shoulder.
3. Motivate the subordinate and provide him with enough guidance. Before authority is delegated to him, the delegate should receive proper and adequate training.
4. Ask for the completed work. In between, if the delegate needs any help, he should be provided with such help either directly or through someone who knows the job and is writing for help.
5. Establish adequate control to supervise and provide necessary guidance.

5.11 Merits of Delegation

(i) *It avoids time wastage: Present-day management is complicated. A manager has to perform various functions as a matter of routine work. He can only give proper attention to some issues. Delegation helps him transfer the less essential subjects to his juniors and attend* to more meaningful work.

(ii) *It helps train the new incumbents:* The lower units that use the delegated power spontaneously feel their future responsibility. They become aware of the work at the higher level to which they may be promoted. Delegation also helps develop managerial personnel within the organisation.

(iii) *It avoids over-work:* Delegation shifts some portions of the responsibility and works from the shoulders of the manager. To quote Beach: "The overworked manager who learns the art of delegation is simultaneously able to relieve himself of some of his burdens, increase the competence of his men, and raise the level of accomplishment of his unit.

(iv) *It develops an increased sense of responsibility:* Delegation generates an increased sense of responsibility in the subordinate personnel. It also increases their working capacity and helps enhance their unspotted calibre, which could be helpful for management. Delegation also helps in avoiding any act at a higher level which may otherwise undermine the powers vested in the lower
Level units.

(v) *It avoids delay:* Delegation helps make timely and accurate decisions. The personnel at lower levels, being delegated, act quickly, which serves the organisation with economy, efficiency, and rapidity.

5.12 Relationship of authority and responsibility

Internal organisation is necessary for every business unit's efficient and smooth running. Under internal organisation, duties are determined and distributed among the employees. All activities are combined and coordinated.

The lines of authority must be determined, and any organisation and management should follow a well-recognized principle.

In the internal organisation of any concern, there must be a proper assignment of duties among the various personnel. This means some people assign, and others must perform those duties. The former people have an authority. The latter are subordinates to the former. The relationship of authority and subordination among the various personnel and groups should be determined appropriately. Everyone's position is to be fixed, i.e., whether he is to be in the position of authority or the subordinate position. This work is vital. In this connection, the following principle is to be followed. The greater the responsibility attached to a post, the higher the person's position in the hierarchy. Thus, it is stated that authority should go with responsibility.

When duties are assigned, there are two types of employees: those with authority and those who take responsibility. The former occupies a superior position, while the latter is placed in a subordinate position.

Authority refers to the right to make decisions and to command subordinates to follow these decisions. It is the supreme coordinating power and is very important for managerial work. Responsibility refers to the obligation of a subordinate. Every subordinate must perform the duty assigned to him.

The essence of authority is obligation. It arises from the superior-subordinate relationship and has meaning only when applied to a person. Authority seems to flow from the superiors to the subordinates.

Every manager can see that his orders are executed by persuasion, coercion, economic, or social sanctions. Persuasion is the best means. Otherwise, the task may not be accomplished, and responsibility cannot be delegated. However, authority can be delegated.

When these expressions, 'Authority' and 'Subordination', are used, they should not create a sense of superiority or inferiority in the employees' minds. Authority cannot be concentrated in the hands of one or a few individuals. It appears to flow from top to bottom, but it is not so. Orders must be de-

personalized. This will help develop good industrial relations among all the employees.

In management literature, responsibility is one of the most misunderstood words. Usually, responsibility is referred to as 'Delegation of Responsibility', which means holding a person responsible or carrying out a responsibility. People use the word responsibility in different senses, referring to a duty, an activity, or an authority. Responsibility can be defined as the 'obligation' of a subordinate to perform a duty assigned to him.

Thus, obligation is the essence of responsibility. Usually, the superior-subordinate relationship gives rise to this responsibility as the superior is vested with the authority to require specified services from his subordinates. In business, this authority is generally a result of the contractual arrangement under which the subordinate has agreed to perform certain services in return for a monetary reward. In this sense, authority flows from the superior to the subordinate manager to whom specific duties are assigned, and responsibility is the obligation of the subordinate to accomplish these duties. A single action can discharge responsibility or be a continuous obligation.

5.13 Distinction between authority and accountability

A few management writers use the term' accountability' to indicate managers' liability for properly discharging their subordinates' duties. In the military, accountability means an officer's duty to maintain accurate records and safeguard public property and funds.
Thus, the three words that need to be clarified in varying senses in management literature are authority, responsibility and accountability. A less confusing use would be the word 'authority' to refer to the power to get something done and the word' responsibility' to refer to the individual's liability for failing to discharge his obligation. One is thus accountable to his boss for failures. Accountable is like tendering accounts in its case, which refers to discharging the responsibility. To carry out responsibility, a manager requires adequate authority or power.

5.14 Distinction between responsibility and delegation

While a manager can delegate authority to subordinates, responsibility cannot be delegated. A manager is responsible for the performance of his duties even though he may delegate to a subordinate authority to accomplish a service, and the subordinate also, in his turn, may delegate a part of authority received by him. Therefore, delegation does not absolve a manager of his responsibilities to perform his duties. In short, no manager can shift responsibility to his subordinates. For example, the managing director of a company employed by the board of directors cannot avoid total responsibility for the conduct of the enterprise. Therefore, responsibility cannot be delegated in this sense. A manager cannot relieve himself of his responsibility, although he can delegate authority and assign duties to his subordinates.

5.15 Difficulties in delegation

A fear aspect in delegation is dominant in deciding what to delegate and whom. Executives know that once authority is delegated, they will lose their grip over their subordinates and control over the operations. Naturally, executives may prefer maintaining their grip and control over the operation. However, the critical psychology is that, by nature, executives have no confidence in their subordinates. They feel the subordinates are incapable of shouldering the responsibility; therefore, the question of delegation of authority does not arise.

Sometimes, executives suffer from inferiority psychosis. They know that though they occupy a position of strength, their knowledge and skill are not up to the mark. Their subordinates are well equipped, and thus, they may do the assigned job well. No executive would like to delegate when he feels his subordinate may surpass him.

From the above discussion, three types of fears discourage delegation and thus create difficulties in delegation. They are:

1. Fear of losing the grip and control over the operations;
2. Fear of not a better performance by the sub-ordinate to whom the authority may be delegated; and

3. Fear of better performance by the subordinate to whom the authority may be delegated.

The above difficulties arise out of:

(i) Luck of confidence;
(ii) Non-existence of atmosphere of teamwork;
(iii) Non-independence in thinking and behaviour;
(iv) No proper and ambiguous definition of common goals to be achieved;
(v) No inter-exchange of ideas and suggestions;
(vi) No favourable management climate;
(vii) Existence of elements of fear and frustration; and
(viii) Incapable hands are staffing the executive positions.

Delegation is an essential managerial technique. Every effort should be made to encourage it. This creates a sense of belonging among subordinates, develops their personalities, and helps evaluate organisational performance. It also induces a sense of security among executives and subordinates. A favourable management climate should be created to encourage delegation.

5.16 Meaning of decentralisation

Decentralisation is a word that we frequently hear taken about by political leaders and business managers. Many view decentralisation as a panacea or a magical device that will compensate for poor management, encourage participation, increase efficiency, and raise morale. Most people do not have a clear view of what decentralisation is, and, as often as not, when an organisation is having "decentralisation", it is for the wrong reasons and in the wrong way the term is understood and used.

Earnest Dale mentions four criteria to measure the extent of decentralisation in an organisation. He states that decentralisation is greater whenever it is present.

1. The more significant is the number of decisions made at lower levels;
2. The more important the decisions made by lower levels;
3. The more the number of areas in which decisions can be made at lower levels; and

4. The fewer people are consulted, the less checking is required on the decisions made at the lower levels.

The way many people use the term decentralisation means the same thing as delegation–simply pushing authority down to subordinates. However, decentralisation means much more than simple delegation. Decentralisation is a philosophy of the organisation and management. It implies that both are selectively determining what authority to push down into the organisation, developing standing plans (such as policies) to guide subordinates who have this authority delegated to them, and implementing selective but adequate controls for monitoring performance. Thus, decentralisation is a philosophy of organisation and management that involves selective delegation of authority and concentration of authority through the imposition of policies and selective but adequate controls.

According to McFarland, decentralisation is a situation in which ultimate authority to command and ultimate responsibility for results is localised as far down in the organisation as efficient management permits. According to Allen, decentralisation refers to the systematic effort to delegate all authority to the lowest levels except that which can only be exercised at central points. Thus, decentralisation means reservation of some authority (to plan, organise, direct and control) at the top level and delegation of authority to make routine decisions at points as near as possible to where action takes place.

5.16.1 Essential Characteristics of Decentralization

The essential characteristics of decentralisation are:

(i) Decentralization is not the same as delegation—it is more than delegation. Delegation means the demi-transfer of responsibility and authority from one individual to another. However, decentralisation means scattering authority throughout the organisation. It is the diffusion of authority within the entire enterprise. Delegation can occur from one person to another and be a complete process. However, decentralisation is completed only when the fullest possible delegation is made to all or most people.

Under delegation, control rests entirely with the diligent, but under decentralisation, the top management may exercise minimum control and

delegate control authority to the departmental managers. It should be noted that complete decentralisation may not be possible or desirable, but it certainly involves more than one level in the organisation.

(ii) Decentralization is distinct from dispersion – Decentralizing is often confused with the separation of physical facilities, which is incorrect. Dispersion occurs when plants and offices are located at different places with physical distance between them. Work performance in dispersed plants and offices does not necessarily lead to decentralisation. Decentralisation can proceed without separation of facilities, and facilities can be separated without decentralisation. A company may be highly decentralised even though all physical facilities and employees are in a single building. Thus, decentralisation can take place even without dispersion.

(iii) Decentralization is not a type of organisation. Some people believe that a company can decentralise by changing its organisational structure. This is not true. Decentralisation may be achieved without changing the organisational structure, as it refers primarily to the systematic delegation of authority. Industries in which markets are less uncertain, production processes are technologically less dynamic, and more stable competitive relationships tend to become more centralised.

5.16.2 Gauging the Degree of Decentralization

How decentralised an organisation is? There are no hard and fast rules, but the following guidelines may be used to test the degree of decentralisation in a company:

(i) The narrower the breadth of the control imposed on managers, the greater the decentralisation. Thus, a company where each product-division manager has to report once or twice a year on the rate of return his division has earned on its investment is more decentralised. The division in which a variety of day-to-day production, marketing, and personnel decisions are monitored is less decentralised;

(ii) The more significant the discretion permitted by the company's policies, procedures and rules, the greater the decentralisation;

(iii) The more significant the breadth of decision regarding the number of functions they cover, the more the decentralisation. Thus, the company in which division managers are authorised to take production, marketing and personnel decisions is more decentralised than one in which the managers can take only production and personnel decisions;

(iv) The less a subordinate has to check with his superior before making decisions, the greater the degree of decentralisation – Thus, a company in which a manager does not have to check at all with his superior is more decentralised than one in which the manager must get most of his decisions approved beforehand;

(v) The closer the level to which the decision is made in relation to the point where the problem arises, the greater the decentralisation –
Suppose a customer in Garoua has a problem, and the western division manager is authorised to make the necessary decisions; then to that extent, the company is more decentralised than if the boss in Douala had to make the decisions; and

(vi) The more important decisions can be made at the lower levels, the greater the decentralisation. For example, a company in which divisional managers can make equipment purchase decisions of up to F CFA 500,000 is more decentralized than one in which they are authorized to make these decisions up to a limit of F CFA 1,00,000.

5.16.3 Advantages of Decentralization

The merits of decentralisation are listed below:

(i) It leads to a competitive climate in the organisation.
(ii) It relieves the management of much workload;
(iii) It makes jobs at the lower levels of the organisation more attractive and exciting. As a result, the level of motivation of the employee increases;
(iv) It encourages initiative at lower levels where the employees can participate in the decision-making process;

(v) Decisions made closer to the actual situation are likely to be more realistic.

Effective decisions are possible because of decentralisation's speed and first-hand knowledge.

5.16.4 Disadvantages of Decentralization

(i) It increases the administrative cost due to duplication of specialised services and the appointment of capable executives at lower levels;
(ii) It becomes difficult for top management to exercise control over what people at lower levels are doing or even to know what decisions they are making;
(iii) Emergencies cannot be adequately tackled in a decentralised structure. Adjustment to changing conditions may be difficult, and
(iv) It hampers uniformity in decision-making and procedure consistency.

5.17 Decentralization versus delegation

Though both delegation and decentralisation are related concepts, the distinction between the two terms must be clearly understood.

Decentralisation could be differentiated from delegation in the following way:

(i) Delegation creates an authority-responsibility relationship between a superior and his subordinates. In contrast, decentralisation refers to creating semi-autonomous decision-making units or even profit centres functionally related to the top management. In other words, decentralisation is the diffusion of decision-making authority throughout the multiple layers of the organisation;

(ii) Decentralization is not an extension of delegation. The purpose of delegation may be confined to relieving the excessive burden of key managerial personnel, but decentralisation has a deeper meaning bordering on a new philosophy of organisation and management;

(iii) Delegation is a process whereby the superior assigns specific tasks and responsibilities within his control to his subordinates, immediately

vests part of his decision-making authority in them, and precisely, it is an obligation from them for the proper discharge of authority conferred upon them and for effective performance in the area of delegated activity. On the other hand, decentralisation refers to the structural dispersal of authority for decision-making in various facts of organisational operations in the form of semi-autonomous units, subject to overall control by the top management.

(iv) Delegation occurs between a superior and a subordinate and is a complete process. It may consist of specific tasks alone. However, decentralisation involves spreading the total decision-making power throughout the organisation.

(v) Sheer pressure of managerial workload forces managers to delegate some of their burden to their subordinates, as necessary, with few alternatives. Decentralisation, on the other hand, could be only one of the options open to an enterprise out of several alternative ways of organising expanding operations. This means that delegation of authority could occur without decentralisation, whereas there can be no decentralisation without delegation of authority.

(vi) In delegating authority, the diligent has directive responsibility for subordinates. However, in a decentralised setting, the direction is, to a large extent, substituted by control by the top management. The control mechanism is also elaborate to ensure that the dispersal of authority strengthens the entire organisation and that the semi-autonomous units have a central focus on the viability and vitality of the organisation and

(vii) Delegation could be a routine administrative activity involving only managers and subordinates. At the same time, decentralisation is a conscious and deliberate organisational action with strategy overtones to manage growth and expansion under environmental pressures, challenges and opportunities.

5.18 Centralization of authority

According to Allen, centralisation is the systematic and consistent authority reservation at an organisation's central points. At the same time, decentralisation refers to consistent and systematic dispersal to the lowest levels of all authority except that which can only be exercised at central points. Centralisation denotes that most decisions concerning the work being performed are not made by those doing the work but at a point higher in the organisation. Everything that increases the importance of the subordinate's role is decentralisation; everything which goes to reduce it is centralisation.

Centralisation represents certain attitudes and approaches that management follows. The significant implication of centralisation is the reservation of decision-making power regarding planning, organising, directing, and control at the top level. The other implications will depend on the philosophy of management. For instance, a company where the top management is very particular about using authority will make all the operations and decisions at lower levels subject to its approval.

Centralisation of authority has specific merits also. In the case of centralisation, most of the decisions are taken not at a point where work is being done but at a point higher in the organisation. They may incur considerable costs and delays in making decisions. Centralisation of authority increases the burden on the top managers and hampers the growth of low-level managers. Because of these disadvantages, absolute centralisation is not found in practice. Different organisations follow centralisation in various degrees. It should be noted that more than complete decentralisation is needed to create an effective organisational structure. Some authority must be reserved at the highest level of management. The more significant the reservation of authority at the top level, the higher the degree of centralisation and the lower the degree of decentralisation and vice-versa.

5.19 Centralization versus decentralisation

Centralisation and decentralisation are the opposite ends of an organisation continuum. On the one hand, centralisation brings uniformity of policy and action, utilises the skills of centralised and specialised staff, and enables closer

control over operating units. On the other hand, decentralisation tends to affect faster decision-making and action on the spot without consulting higher levels. Decentralisation motivates subordinates since they have a more significant share in management decision-making.

The question of centralisation or decentralisation is a matter of degree. It is impossible to conceive of an exclusively centralised organisation as some decentralisation of authority is bound to exist. Likewise, there can be no absolute decentralised structure as the top executive can only delegate some of his authority. The issue of centralisation and decentralisation has to be decided objectively, taking into consideration the size and nature of the enterprise, diversity of the company's product, economies of the division of labour, location of markets, nature of services to be performed, availability of trained and efficient managers, philosophy of management, etc.
Centralisation is not a system of management that is good or bad by itself, capable of being adopted or discarded at the whim of managers or circumstances; it is always present to a greater or lesser extent.

Summary
This chapter highlighted the concepts of authority, responsibility, accountability, power, delegation, centralisation and decentralisation. Authority is the sum of the powers and rights entrusted to make possible the performance of the work delegated. According to Fayol, delegation of work permits a reduction in the number of objects to which attention and effort must be directed and has been recognised as the best means of using individuals and groups. Formal delegation is the delegation of authority as per the organisational structure. On the other hand, informal delegation of authority is done through informal relations. The other type of delegation is bottom-up or lateral delegation. It could also be a general or specific delegation.

There are three elements of delegation: (i) authority, (ii) responsibility, and (iii) accountability.

Authority is the sum of the rights entrusted to an individual to make possible the performance of the work delegated. Responsibility denotes the work or duties assigned to a person by his position in the organisation. Accountability is a logical derivative of authority. It is the obligation to carry out responsibility and exercise authority in terms.

The guidelines for effective delegation are:

(i) Functional definitions;
(ii) Absoluteness of accountability;
(iii) Clarification of limits of authority;
(iv) Proper planning;
(v) Parity of authority and responsibility
(vi) Incentive;
(vii) Selection of right persons;
(viii) Effective communication; and
(ix) Unity of Command.

Decentralization is a philosophy of organization that involves selective delegation and concentration of authority through the imposition of policies and adequate controls. This chapter also discusses its essential characteristics.

CHAPTER SIX: RECRUITMENT AND SELECTION

The main objectives of this chapter are to discuss the meaning of recruitment, selection, induction and placement, to explain the various sources of recruitment, and to describe the steps involved in the selection process.

6.1 The concept of recruitment

Selecting a suitable candidate is the most crucial function of the personnel department. If the right candidate is not selected, such an error can be very costly for an undertaking. Many organisations, therefore, have developed sophisticated recruiting and selection methods. Workforce planning must precede recruitment and selection. Present and future requirements should also be considered when planning for the workforce. Recruitment is a positive process of searching for prospective employees and stimulating them to apply for job opportunities. Recruitment stands for discovering the sources from where potential employees will be available. Scientific recruitment leads to greater productivity, better wages, high morale, reduced labour turnover and a better reputation. It stimulates people to apply for jobs, and hence, it is a positive process.

6.2 Sources of Recruitment

There are two recruitment methods, namely internal and external.

6.2.1 Internal Sources

The best employees can be found within the organisation. When a vacancy arises in the organisation, it is offered to an employee already on the payroll. Internal sources include promotion and transfer. When a higher post is given to an employee who deserves that post, it stimulates all other employees of the organisation to work hard. The employees can be informed of such a vacancy by internal advertisement.

1. Transfer: Transfer involves shifting an employee from one job to another. At the time of transfer, it is ensured that the employee who is transferred to the new job can perform it. Transfer does not involve any drastic change in the responsibilities and status of the employee. On the other hand, promotion leads to shifting an employee to a higher position carrying higher responsibilities, facilities, status and pay.

2. **Promotion:** Many companies fill higher jobs by promoting employees fit for such positions. Filling vacancies in higher jobs from within the organisation has the following merits:

(a) Improves morale: When an employee from inside the organisation is given a higher post, it helps increase the morale of all employees. Generally, every employee expects a promotion to a higher post (carrying more status and pay) if he fulfils the requirements.

(b) No error in selection: When an employee is selected from within, there is no possibility of errors in selection since every company maintains a complete record of its employees and can better judge them.

(c) Promotes loyalty: It promotes loyalty among the employees, who feel secure by the chances of advancement.

(d) No hasty decisions: The chances of hasty decisions are eliminated as the existing employees are well-tried and can be relied upon.

(e) Economy in training costs: The existing employees fully know the organisation's operating procedures and policies. They require little training, which results in the economy in training costs.

(f) Self-development: It encourages self-development among the employees since they can look forward to occupying higher posts.

Disadvantages

The following are the disadvantages of internal sources:

(i) It discourages capable persons from outside to join the concern.

(ii) The organisation may have a different number of persons possessing the qualifications, experience, skills, and attitudes required for the vacant posts.

(iii) This recruitment method for posts requiring innovations and original thinking cannot be followed.
(iv) If only seniority is the criterion for promotion, then the person filling the vacant post may need to be more capable.
Despite the disadvantages, this is frequently used as a source of recruitment.

6.2.2 External Sources

Every enterprise has to tap external sources for various positions. Running enterprises also have to recruit employees from outside to fill up positions whose specifications cannot be met by internally available employees and to meet the additional workforce requirements. The enterprises commonly use the following external sources of recruitment:

1. Direct Recruitment: An essential recruitment source is direct recruitment, which is done by placing a notice on the notice board of the enterprise specifying the details of the jobs available. It is also known as recruitment at the factory gate. Direct recruitment is generally followed for filling casual vacancies requiring unskilled workers. Such workers are known as casual or evil workers, and they are paid remuneration on a daily wage basis.

2. **Unsolicited Applications:** Many qualified persons apply for employment with reputed companies on their initiative. Such applications are known as unsolicited applications. They serve as a good source of jobs for the workforce. A proper record may be kept of such applications, and the candidates may be called for an interview whenever needed.

In a country like Cameroun, where there is large-scale unemployment, unemployed persons also contact the employment sections of various organisations to ascertain if they can be casually employed. This source is beneficial for recruiting unskilled workers. It does not involve any cost of advertising the vacancies. This recruitment source may be used whenever regular workers are absent in large numbers or there is a rush of work. This is the cheapest method of getting labour supply on an ad-hoc basis.

3. **Advertisements:** Advertising the job has become a fashion of the day with large-scale enterprises, mainly when the vacancy is for a higher post or when there are many vacancies. This helps in informing the candidates spread over different parts of the country. This method increases the choice of the management. The necessary information about the company, job descriptions, and specifications may be given in the advertisement for the benefit of the candidates. Usually, this method brings in a flood of responses from entirely unsuitable candidates. This increases the cost of selecting employees. Therefore, the advertisement copy should be drafted so that only suitable candidates are tempted to apply.

4. Employment Agencies: Employment exchanges run by the Government are regarded as a good recruitment source for unskilled, semi-skilled operative jobs. In some cases, compulsory notification of vacancies to employment exchanges is required by law. However, private agencies and professional bodies do most of the work in technical and professional areas. Employment exchanges and selected private agencies provide a nationwide service in attempting to match personnel demand and supply. They bring the job givers in contact with the job seekers.

5. Education Institutions: Jobs in industry have become increasingly varied and complex to the point where school and college degrees are widely required. That is why many big organisations liaise with colleges, vocational institutes, and management institutes to recruit people for various jobs. Recruitment from educational institutions is a well-established practice of thousands of businesses and other organisations. Organisations that require many clerks or seek applicants for apprenticeship programs usually recruit from institutions offering vocational/professional courses.

6. Labor Contractors: Labor contractors continue to be a recruitment source in some industries in Cameroun and Nigeria. Workers are recruited through labour contractors who are themselves employees of the organisation. The disadvantage of this system is that if the contractor decides to leave the organisation, all the workers employed through him

may follow suit. This system of recruitment is losing popularity these days.

7. Recommendations: Applicants introduced by existing employees, friends and relatives may be a good recruitment source. Indeed, many employers prefer to take such persons because something about their background is known. When a present employee or a business friend recommends a person, preliminary screening occurs. Some organisations have agreements with the unions of employees to give preference to close relatives of existing or retired employees if their qualifications and experience are suited to the vacant jobs.

Filling a vacancy from external sources has the following advantages:

(a) The employees recruited under this system possess varied and broader experience.

(b) Under this system of recruitment, fresh viewpoints are attracted.

Filling a vacancy through external sources suffers from the following disadvantages:

(a) This system is more expensive. The concern must make huge expenditures on advertising, conducting written tests, interviews, training, etc.

(b) This recruitment system reduces incentives for good work among the lower cadres.

(c) This system of recruitment results in young men being placed over the older and more experienced persons of the lower services, which causes them more jealousy.

6.3 The concept of selection

The selection process leads to employing persons with the ability and qualifications to perform the jobs that have fallen vacant in an organisation. It divides the candidates for employment into two categories: those who will be offered employment and those who will not be.

This process is more of a 'rejection' since more candidates may be turned away than are hired. That is why selection is frequently described as a *harmful process*

in contrast with the joyous recruitment process. The primary purpose of the selection process is to choose suitable candidates to fill various positions in the organisation. To achieve this purpose, a well-organized selection procedure involves many steps, and at each step, more and more information is obtained about the candidates.

6.4 The difference between Recruitment and Selection

1. Recruitment involves searching for prospective employees and stimulating them to apply for job opportunities. On the other hand, selection means employing workers or establishing a contractual relationship between the employer and the worker.
2. Recruitment is a positive process of searching for prospective employees, whereas selection is a negative process because it involves rejecting unsuitable candidates.
3. recruitment aims to create a large pool of applicants for the organisation's jobs. However, selection aims to ensure suitable candidates and the most competent people are hired.
4. Recruitment is a relatively simple process, as the candidates are required to fill in the prescribed forms and deposit with the employer. However, selection is a complex and lengthy process, and candidates have to go through a number of stages before getting the job offer.

6.5 Significance of Selection

Selection has become a critical process because it requires a heavy investment of money to get suitable people. Induction and training costs are also high. If suitable kinds of persons are not chosen, it will lead to a massive loss for the employer in terms of time, effort and money. Therefore, it is essential to devise a suitable selection procedure. Each step in the selection procedure should help get more and more information about the applicant to facilitate decision-making in the selection area.

Absenteeism and employee turnover are essential problems faced by most organisations. The intensity of these problems can be reduced if, in the future, all selections are made carefully so that there are round pegs in the round holes. Whenever unsuitable employees are appointed, the efficiency of the

organisation goes down. Such employees will shirk work and absent themselves from the work quite often. They may also be compelled to leave their jobs. If this happens, all the expenses incurred on selecting and training such employees will go to waste.

Proper selection and placement of personnel go a long way towards building up a stable workforce. It keeps the rates of absenteeism and labour turnover low and increases employee morale. If the employees are suitable according to the requirements of the jobs, they show higher efficiency and productivity. This enables the organisation to achieve its objectives effectively.

6.6 Stages in the selection procedure

A rigid selection procedure cannot be suitable for all types of organisations. The number and sequence of steps in the selection procedure vary from organisation to organisation. For instance, some organisations do not hold preliminary interviews, tests or screenings, whereas in other organisations, such as commercial banks, preliminary tests are given to eliminate many unsuitable applicants. Similarly, in some cases, a medical examination is given before the final selection; in others, a medical checkup follows the final selection. Thus, every organisation designs a selection procedure which suits its requirements.

1. **Preliminary Interview:** The selection programme begins with a preliminary interview or screening in most organisations. The initial interview is generally brief and does the job of eliminating unsuitable candidates. The preliminary interview offers advantages not only to the organisation but also to the applicants. Suppose an applicant is eliminated at this stage. In that case, the organisation will be saved from the expenses of processing him through the remaining steps of the selection procedure. The unsuitable candidate will be saved from the trouble of passing through the lengthy procedure. The preliminary interview may occur across the counter in the organisation's employment office. It may consist of a short exchange of information concerning the organisation's interest in hiring and the candidate's enquiry. It may serve primarily to determine whether it is worthwhile for the applicant to fill in an application blank. Candidates who pass this screening must fill in the application blank.

2. **Receipt of Applications:** Whenever a vacancy is advertised, enquiries are made from suitable sources, and applications are received from the candidates. Standard application forms may be drawn up for all jobs and supplied to the candidates on request. The application form is helpful for several reasons. It gives the interviewer a preliminary idea of the candidate and helps him formulate the questions to be asked of the candidate. The written information about age, qualifications, experience, etc., may be of great value to the interviewers. Forms make the processing of applications straightforward since there is uniformity when filling out the data in the application form.

3. **Screening of Applications:** After the applications are received, they are screened by the screening committee, and a list of the candidates to be interviewed is prepared. Applicants may be called for interviews based on specific criteria like gender, desired age group, experience, and qualifications. The number of candidates to be called for interviews is normally five to seven times the number of posts to be filled.

4. **Employment Tests:** Employment tests are used to select persons for various jobs. They help match the characteristics of individuals with the vacant jobs to employ the right kinds of personnel. The following types of tests have gained popularity these days:

(a) **Intelligence Tests:** Intelligence tests judge an applicant's mental capacity. They evaluate an individual's ability to understand instructions and make decisions.
They are widely used in all types of organisations for proper selection.

(b) **Aptitude Tests:** Aptitude means the potential an individual has for learning the skills required to do a job efficiently. Aptitude tests measure an applicant's capacity and potential for development. Aptitude tests are the most promising indices for predicting a worker's success.

(c) **Proficiency Tests:** Proficiency tests are designed to measure the skills already acquired by the individuals. They are also known as performance, occupational or trade tests. They are used to test an applicant's knowledge and proficiency. A trade test takes a sample of an individual's behaviour, designed as a replica of the actual work situation, such as typing. A trade test should be differentiated from the aptitude

test. An aptitude test measures the potential of the applicant to learn skills required on a job.

(d) **Interest Tests:** Interest tests identify patterns of interest in areas in which the individual shows special concern, fascination, and involvement. These tests suggest what types of jobs may be satisfying to employees. Interest tests are more often used for vocational guidance. They help individuals select occupations of their interest.

(e) **Personality Tests:** Personality tests probe for the qualities of the personality as a whole, the combination of aptitude, interest, and usual mood and temperature. They are very difficult to devise and use because they are concerned with discovering clues to an individual's value system, emotional reactions, maturity, etc.

(f) **Interview:** Although the application blank and employment tests provide valuable information about the candidate, they must give the complete information required about the applicant. Hence, the interview may be used to secure more information about the candidate. The primary purposes of an employment interview are (i) to find out the suitability of the candidate, (ii) to seek more information about the candidate, and (iii) to give him an accurate picture of the job with details of terms and conditions and some idea of organisation's policies. The actual data of the applicant given in the application form may also be checked, and more information may be obtained from the candidate. This occasion is also utilised to test the capability and personality of the applicant. Thus, an interview allows the development of a clear picture of the candidate.

It is customary to have several interviews, especially for senior positions. The head of the department may conduct a preliminary interview. The final interview is conducted by the interview or selection committee, which consists of the organisation's chairman, head of the department, personnel manager, and possibly some outside experts.

During the interview, the selection committee members appraise each candidate according to merits. At the end of each candidate's interview, the chairman consults the members and, after a brief discussion, finalises the

candidate's grading. After all the candidates' interviews are completed, a panel is prepared.

The number of persons on the panel is generally about two to three times the number of vacancies to be filled. Although personal interview is perhaps the most widely used method for selecting personnel, it has certain limitations, too. *Firstly*, it can test only the candidate's personality, not his skills and ability for the job.
Secondly, it depends too much on the interviewer's judgement, which may only sometimes be accurate. That is why, in most organisations, occupational and other tests are given to the candidates before they are called for the final interview.

5. **Medical Examination:** A candidate's pre-employment physical examination or medical test is essential in the selection procedure. Though the medical test is near the end of the suggested selection procedure, this sequence need not be rigid. Organisations may place medical examinations relatively early to avoid the time and expenditure of selecting medically unfit persons. Some organisations either place the examination relatively early in the selection procedure or advise the candidates to get themselves examined by a medical expert to avoid disappointment in the end.

The objectives of physical examination are: (i) to ascertain the applicant's physical capabilities to meet the job requirements; (ii) to protect the organisation against unwarranted claims under the Workmen's Compensation Act or against lawsuits for damages; and (iii) to prevent communicable diseases entering the organisation.

The physical examination should disclose the physical characteristics of the individual that are significant from the standpoint of his efficient performance of the job he may be assigned or of those jobs to which he may reasonably be expected to be transferred or promoted. A qualified medical expert appointed by the organisation should certify whether the candidate is physically fit to the requirements of a job. A proper medical examination will ensure higher standards of health and physical fitness of the employees and reduce the rates of accidents, labour turnover and absenteeism.

Background Investigation: A referee is an essential source of information about the candidate's ability and personality if he holds a responsible position in some organisation or has been the boss or employer of the candidate. Before final selection, the prospective employer typically investigates the references supplied by the applicant and undertakes more or less a thorough search into the candidate's past employment, education, personal reputation, financial condition, police record, etc. However, it is often difficult to persuade a referee to give his opinion frankly. The organisation may convince him to do so by assuring him that all information will be treated strictly and confidentially.

7. Final Selection: After a candidate has cleared all the hurdles in the selection procedure, he is formally appointed by issuing him an appointment letter or concluding with a service agreement. The appointment letter contains the terms and conditions of employment, pay scale, and other benefits associated with the job.

6.7 Induction and Placement

When an individual successfully clears all the steps involved in selection, he is selected. Induction is concerned with the problem of introducing or orienting a new employee to the organisation. It involves familiarising new employees with their jobs, introducing them to fellow workers, learning about company policies, etc. It is considered a part of the selection process. "A good orientation programme will leave the employee firmly established in the new job, comfortable and relaxed in his relations with other department members and content with his position in the firm.

Though orientation takes a little time from productive activity, it repays the firm many times over in better personnel relations.

Layman and Gubellini

There are two phases of the induction training program. The personnel department generally conducts the first phase. It is concerned with giving the new employee a friendly welcome and briefing him on the company's background, products, health, and welfare plans. He may be taken around the factory and introduced to the security officer, timekeeper and cashier. The

employee may then be asked to report to the department concerned. The second phase of the induction program is conducted by the head of the department in which he is to work. The employee is given information regarding the production process, work rules, working conditions, etc. The employee is then informed about the customs prevalent in the organisation, such as dress, lunch, refreshments, etc. Good induction is a good business for the firm and a fundamental desire of most new employees if not all. If the new employee is allowed to sink or swim, the adjustment period either is considerably lengthened with consequent losses in productivity, or it is eliminated by resignation, with resultant losses in turnover costs.

Objects of Systematic Induction

(a) To promote the employees' feeling of belongingness and loyalty.

(b) To provide information to the employee regarding the organisation's policies.

(c) Inform the new employee about leave rules, canteen location, etc.

(d) To build confidence in the new employee so that he can become an efficient worker.

The success of the induction program mainly depends on the ability of the persons who conduct it. A comprehensive induction program usually covers the following:

(a) The company and its products.
(b) The geography of the plant.
(c) The organisation's structure and the various departments' functions.
(d) The terms and conditions of employment, amenities, and welfare facilities are available.
(e) Standing orders, including grievance and disciplinary procedures.
(f) Accident prevention
(g) Personnel policy and source of information.
(h) Working routines and production
(i) Employee's department and job and how it fits into the general organisation.
(j) Organizational culture and ethos

Placement

The candidates selected for appointment are to be offered specific jobs. There should be a perfect match between the requirements of the job and the abilities/skills of the employee concerned. Only then will effective placement take place. In practice, proper placement is not an easy task. It may take a long time before a candidate is placed in the right job. Generally, the candidate is appointed on probation for one year or so. During this period, he is tried on different jobs. If his performance is satisfactory, he will be offered a permanent post and placed on the job for which he is most suitable. He may need some training to do the job better.

Therefore, his training needs must also be identified during the probation period.

If an employee is not found suitable during the probation period, the management may transfer him to another job to which he may be expected to do justice. But if the management cannot offer him a job that he can do well, it may sack him or give him time and training to improve himself.

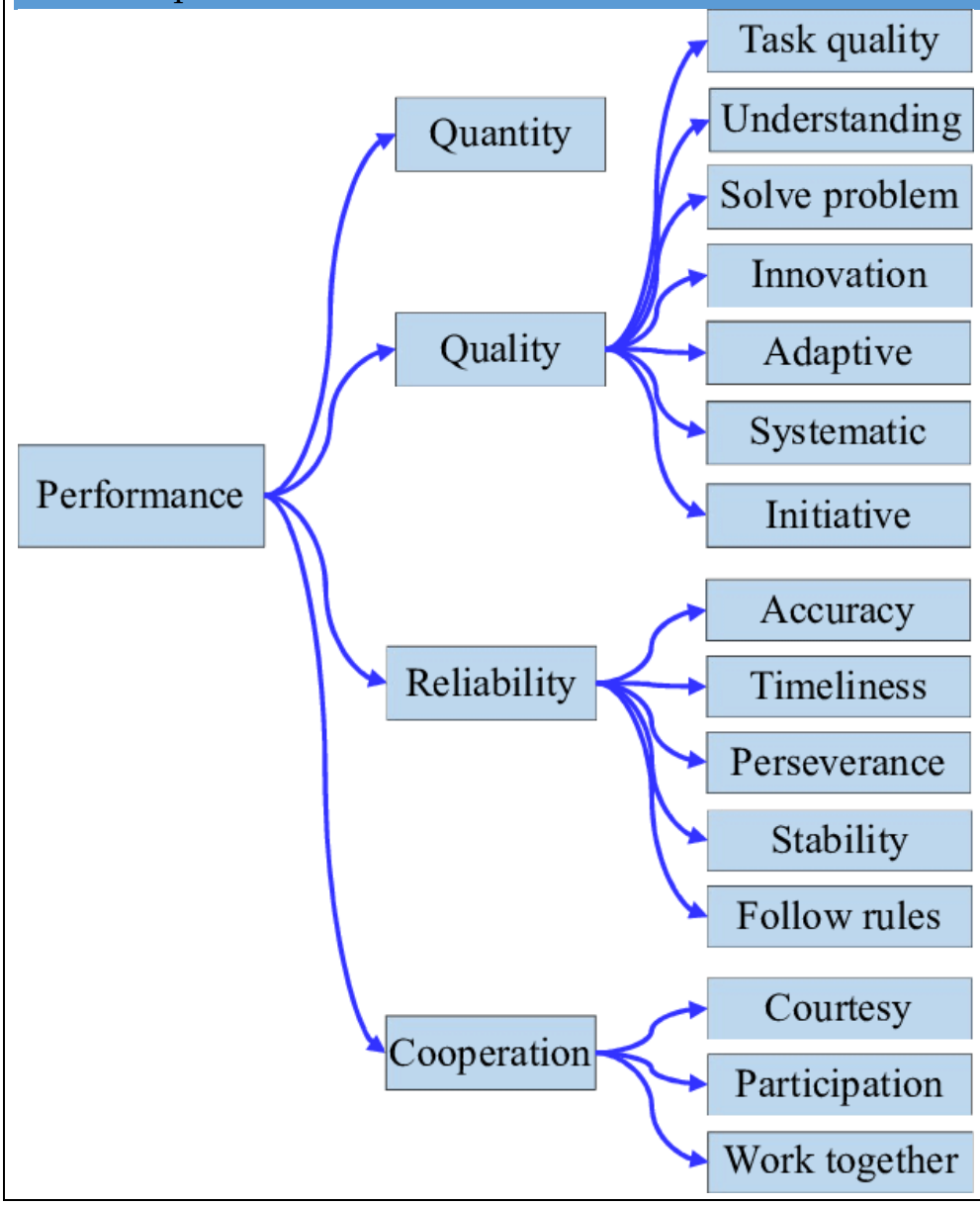
Summary

Once the workforce requirement is known, the recruitment process may start. Recruitment is identifying the sources for prospective candidates and stimulating them to apply for the jobs. Job recruits can be drawn from within or

outside the organisation. The selection process leads to employing persons with the ability and qualifications to perform the jobs that have fallen vacant in an organisation. There are several advantages of a proper selection procedure. As the employees are placed in the jobs for which they are best suited, they derive maximum job satisfaction and reap maximum wages. Labour turnover is reduced, and the overall efficiency of the concern is increased. Induction and placement help the new employee and the organisation to accommodate each other.

CHAPTER SEVEN: PERFORMANCE APPRAISAL

Generally, Performance is tied to a predefined work plan, key results or product outcome. It is the evaluation on a predefined periodic basis of a company's or individual's work plan. At the individual's level, it evaluates skills, target objectives, growth, achievements, and potential lack thereof for further improvements.



The objective of this chapter is for the students to learn about the fundamental concepts and methods of performance appraisal.

7.1 Introduction to Performance Appraisal and Counseling

7.1.1 Performance Appraisal

Performance appraisal is one of the essential sub-functions of staffing function in management. Human behaviour is a complex phenomenon because no one can accurately anticipate what a man will do. The individual joins an organisation to satisfy his objectives. However, the organisation also has its own goals, which do not need to conform to the individual goals. Suppose the goals of the individual and organisation are highly contradictory. In that case, a conflict will arise, either resulting in suppression of human personality or a complete back to his work. Individual's personality shouldn't be suppressed, but at the same time, organisation goals should also be achieved.

To monitor this process of achieving organisational goals, an individual's performance needs to be assessed regularly to maintain the desired behaviour. This will also help the organization satisfy the individual's needs and aspirations by providing him with more facilities, improved working conditions, and career advancement.

According to *Hegel*, 'the performance appraisal is the process of evaluating the performance and competencies of an employee in terms of the requirements of the job for which he is employed, for administration including placement, selection for promotions, providing financial rewards and other actions which require differential treatment among the members of a group as distinguished from action affecting all members equally'.

Performance appraisal may also be defined as a process that involves:

(i) Setting work standard;

(ii) Assessing the employee's actual performance relative to these standards; and

(iii) Providing feedback to employees to motivate that person to eliminate performance deficiencies or to continue to perform above par.

Counselling: Counseling follows performance appraisal. It covers two aspects, i.e. 'tell and sell', where the boss tells his subordinates where they stand. He adopts the method of criticism and persuasion. These two are the fundamental tools for counselling. In counselling, the boss discusses future development by encouraging his subordinates to appraise themselves. Here, the give-and-take

problem-solving approach may be used throughout the counselling meeting. The counselling aims not just to tell the subordinates what they have done wrong. Instead, the boss reveals the root cause of the problem and secures constructive solutions. The boss generally avoids criticising his subordinates and tries to emphasise organisational development.

If understood, the performance appraisal process includes counselling and coaching. Counselling and appraisal differ slightly because counselling is done on a day-to-day basis, whereas appraisal is done at a regular interval. Therefore, performance appraisals yield dividends only when proper counselling occurs in an organisation.

7.1.2 Significance of Performance Appraisal

(i) Performance improvement: Performance feedback allows the employee, the manager and personnel specialists to intervene with appropriate actions to improve performance.

(ii) Compensation adjustments: Performance evaluations help decision-makers determine who should receive pay raises. Many firms grant part or all of their pay increases and bonuses based on merit, which is determined mostly through performance appraisal.

(iii) Placement decisions: Promotions, transfers, and demotions are usually based on past or anticipated performance. Promotions are often a reward for past performance.

(iv) Training and development needs: Poor performance may indicate a need for retraining. Likewise, good performance may indicate untapped potential that should be developed.

(v) Career planning and development: Performance feedback guides career decisions about specific career paths one should investigate.

(vi) Staffing process deficiencies: Good or bad performance implies strengths or weaknesses in the personnel department's staffing procedures.

(vii) Informational inaccuracies: Poor performance may indicate errors in job analysis information, human resource plans, or other parts of the personnel management information system. Reliance on accurate information may lead to appropriate hiring, training, or counselling decisions.

(viii) Job-design errors: Poor performance may be a symptom of ill-conceived job designs. An appraisal can help diagnose these errors.

(ix) Equal employment opportunity: Accurate performance appraisals that measure job-related performance ensure that internal placement decisions are not discriminatory.

(x) External challenges: Sometimes, performance is influenced by factors outside the work environment, such as family, financial, health, or other personal matters. If these factors are uncovered through appraisals, the human resource department may be able to assist.

(xi) Feedback to human resources: Good or bad performance throughout the organisation indicates how well the human resources perform.

7.2 The Appraisal Process

The performance appraisal process generally involves the following steps:

Establish performance standards
↓
Communicate performance expectations to the employees.
↓
Measure actual performance
↓
Compare actual performance with standards.
↓
Discuss the appraisal with the employee.
↓
If necessary, initiate corrective action.

The appraisal process begins with the establishment of performance standards. Performance standards are usually developed for positions when designing a job and formulating a job description. These standards should be clear, not vague, and objective enough to be understood and measured.

Once performance standards are established, it is necessary to communicate these expectations. It should not be part of the employees' job to guess what is expected of them. Unfortunately, too many jobs have vague standards. The problem is compounded when these standards are not communicated to the employees. It is important to note that communication is a two-way street. Mere transference of information from the manager to the subordinate regarding expectations is not communication. Communication only occurs when the subordinate receives and understands the transference of information. Therefore, feedback is necessary from the subordinate to the manager. Satisfactory feedback ensures that the information the manager communicates has been received and understood in the desired way.

The third step in the appraisal process is the measurement of performance. Acquiring information about actual performance is necessary to determine it. We should be concerned with how and what we measure.

To measure actual performance frequently, managers use four common sources of information: personal observations, statistical reports, oral reports, and written reports. Each has its own strengths and weaknesses. However, combining them increases both the number of input sources and the possibility of receiving reliable information.

The fourth step in the appraisal process is comparing actual performance with standards. This step attempts to note deviations between standard performance and actual performance so that we can proceed to the next phase—discussing the appraisal with the employee.

One of the most challenging tasks facing managers is to present an accurate appraisal to the subordinate and then have the subordinate accept the appraisal in the right spirit. Appraising performance touches on one of the most emotionally charged activities - assessing another individual's contribution and

ability. The impression that subordinates receive about their assessment strongly impacts their self-esteem and, very importantly, their subsequent performance. Of course, conveying good news is considerably less complicated for the manager and the subordinates than conveying the bad news that performance has been below expectations. The appraisal discussion can have negative and positive motivational consequences in this context. This is reinforced, for example, when we recognise that statistically speaking, half of all employees are below average.

The final step in the appraisal is initiating corrective action when necessary. Corrective action can be of two types. One is immediate and deals predominately with symptoms. The other is basic and deals with causes. Immediate correction action is often described as "putting out fires", whereas essential corrective action gets to the source of deviation and seeks to adjust the difference permanently. Coaching and counselling may be done, or a person may be deputed for formal training courses, and decision-making responsibilities and authority may be delegated to the subordinates.

An attempt may also be needed to recommend increasing salary or promotions if these decisions become plausible in light of the appraisal.

7.3 Methods of Performance Appraisal

Here, we will look at how management can establish performance standards and devise instruments that can be used to measure and appraise an employee's performance. There are various methods to appraise the employees. No single method is always best. Each has its strengths and weaknesses. Following is one of the efficient methods used by organisations to measure the performance of their employees:

7.3.1 Management by Objectives (MBO) Method

This method of appraisal was introduced and made famous by Peter F. Drucker. Management by objectives requires the manager to get specific, measurable goals with each employee and then periodically discuss their progress. You could jointly set goals and regularly provide feedback in a modest MBO program with subordinates. However, the term MBO almost always refers to a comprehensive organization-wide goal-setting and appraisal program that consists of the following steps:

(i) Set the organization's goal: Establish an organization-wide plan for next year and set goals.

(ii) Set departmental goals: Here, department/heads and their superiors jointly set goals for their departments.

(iii) Discuss departmental goals: Department heads discuss the department's goals with all subordinates and ask them to develop their own individual goals. In other words, how can each employee contribute to the department's attainment of its goals?

(iv) Define expected results: Department heads and their subordinates set short-term performance targets.

(v) Performance reviews: Department heads compare the actual performance of each employee with expected results.

(vi) Provide feedback: Department heads hold periodic performance review meetings with subordinates to discuss and evaluate the latter's progress in achieving expected results.

MBO, thus, is a performance-oriented system. A well-thought-out MBO system provides the following benefits to the organisation.

(i) Setting objectives provides a basis for coordinating between and among various units of the organization.

(ii) It establishes a linkage between individual and organisational performance. Hence, both move towards the achievement of the same objectives.

(iii) It becomes easy to implement because those who carry out the plans also participate in setting them up.

(iv) Each employee becomes aware of the exact task he is supposed to perform, which leads to better utilisation of capacity and talent.

(v) The communication chain between and among employees and units is established, facilitating information sharing.

(vi) The performance appraisal is built into the system itself. It provides guidelines for self-evaluation and evaluation by the supervisor against the set tasks and goals.

(vii) It facilitates the task of employee guidance and counselling.

Even with the above merits, the result-oriented procedure has several limitations. The method is impracticable when the superior is decisive and seldom involves subordinates in goal-setting. Moreover, the procedure stresses tangible goals (e.g., production) and ignores intangible goals (e.g., morale). This

may also cause the concealment of poor performance, distortion of data, and fixation of low goals.

MBO is time-consuming. Setting objectives, measuring progress, and providing feedback can take several hours per employee per year, in addition to the time spent on each person's appraisal. Setting objectives with subordinates sometimes turns into a tug-of-war, with you pushing for higher quotas and the subordinate pushing for lower ones.

Suggestions for Improvement

The fact that managers frequently encounter problems with performance appraisal should not lead you to throw up your hands and give up on the concept. Some things can be done to make performance appraisal more effective. The following are the suggestions in this regard:

(i) Behaviorally based measures

Many traits often considered to be related to good performance may have little or no performance relatively. Traits like loyalty, initiative, courage, reliability, and self-expression are intuitively appealing and desirable characteristics in employees. But the relevant question is, are individuals evaluated as high on those traits higher performances than those who rate low? We cannot answer this question. We know some employees rate high on these characteristics and are poor performers. We can find others who are excellent performers but could score better on such traits. We conclude that traits like loyalty and managers may prize initiative. Still, no evidence supports that certain traits will be adequate synonyms for performance in a large cross-section of jobs.

A second weakness in traits is the judgment self. What is loyalty? "When is an employee reliable? What you consider 'loyalty', I may not. So, traits suffer from weak interrater agreement.

Behaviorally derived measures can address both of these objectives. Because they provide specific examples of performance—both good and bad—we avoid the problem of using inappropriate substitutes.

(ii) Trained Appraisers

If you cannot find good raters, the alternative is to make good raters.

The training of appraisers can make these more accurate raters.

Training workers can minimise errors. Training workshops are usually intended to explain to raters the purpose of the procedure, the mechanics of 'how to do it', pitfalls or biases they may encounter, and answers to their questions. The training may include trail runs evaluating other classmates to gain some supervised experience. Companies even use videotapes and role-playing evaluation sessions to give raters expertise and insight into the evaluation process.

(iii) Multiple Raters

As the number of raters increases, the probability of attaining more accurate information increases. If a person has had ten supervisors, nine of whom have rated him or her excellent and one poor, we can discount the value of the one poor evaluation. Therefore, moving employees around within the organisations to gain several evaluations increases the probability of achieving valid and reliable assessments.

(iv) Peer Evaluations

Managers may occasionally find evaluating their subordinates' performance challenging because they do not work with them daily. Unfortunately, they may not make an accurate assessment without this information. The performance evaluation aims to identify deficient areas and provide constructive feedback to their subordinates; they may be doing a disservice to these subordinates by not having all the information. Yet, how do they get this information? One of the most accessible means is through peer evaluations. Employees' co-workers are people explicitly familiar with the jobs involved mainly because they are doing the same thing, conducting peer evaluations. They are the ones most aware of co-workers' day-to-day work behaviour and should be allowed to provide management with some feedback.

The main advantages to peer evaluation are that (i) there is a tendency for co-workers to offer more constructive insight to each other so that, as a unit, each will improve and (ii) their recommendations tend to be more specific regarding job behaviour unless specificity exists; constructive measures are hard to gain. However, the necessary condition for this method is that the environment in the organisation must be such that

politics and competition for promotion are minimised. This environment can only be found in the most "mature" organisations.

(v) Evaluation Interviews

Evaluation interviews are performance review sessions that give employees essential feedback about their past performance or future potential. Their importance demands preparation. Typically, this includes reviewing previous appraisals, identifying specific behaviours to be reinforced during the evaluation interview, and developing a plan or approach to providing feedback.

The evaluator may provide this feedback through several appraisals:

Tell and sell, tell and listen, and problem-solve. The mean-and-sell approach reviews the employee's performance and tries to persuade the employee to perform better. It works best with new employees. The mean-and-listen approach allows employees to explain reasons, give excuses, and describe defensive feelings about performance. It attempts to overcome these reactions by counselling the employee on performing better.

The problem-solving approach identifies problems interfering with employee performance. Then, through training, coaching, or counselling, goals for future performance are set to remove these deficiencies.

Summary

Performance appraisal is a critical activity. It includes counselling and coaching as well. Its goal is to provide an accurate picture of an employee's past and future performance. To achieve this, performance standards are established. The standards are based on the job-related criteria that best determine successful job performance. Where possible, actual performance is measured directly and objectively. From various appraisal techniques, specialists select the methods most effectively measure employee performance against the previously set standards. Techniques can be chosen both to review past performance and to anticipate performance in the future.

The human resources department usually designs the appraisal process with little input from other parts of the organisation. When it is time to implement a

new appraisal approach, those who do the rating may need more ideas about the appraisal process or its objectives. To overcome this shortcoming, the human resources department may design and conduct appraisal workshops to train managers.

A requirement of the appraisal process is employee feedback through an evaluation interview. The interviewer tries to balance positive areas of good performance with areas where performance is deficient so that the employee receives a realistic view. Perhaps the most significant challenge raised by performance appraisals is the feedback they provide about the human resources department's performance. Human resources specialists must know that poor performance, especially when widespread, may reflect problems with previous human resources management activities.

CHAPTER EIGHT: LEADERSHIP

This chapter's objective is for the students to learn about leadership, leadership styles, and theories.
There is a profound difference between managers and leaders; both are essential in a sound management system. To 'manage' means 'to bring about, to accomplish, to have charge of or responsibility for, and to conduct'. On the other hand, 'Leading' is "influencing, guiding in direction, course, action, opinion". The distinction is critical. Managers are people who do things right, and leaders are people who do the right thing. In this lesson, you'll learn that leadership is a complex art essential for the mission's success. Your knowledge of practical leadership principles and concepts and their application at your workplace may prove rewarding professionally and personally. Let's start with a simple definition of leadership. Leadership is the process of influencing an organised group towards a common goal. This definition sounds easy, but the application can provide a real challenge.

The goal of a leader in the organisation is to do the best job he can by influencing people towards a common goal. Since he is dealing with a diverse group, it is essential to understand the different approaches to motivate them to meet their goals. Leadership style is the pattern of behaviours you use to influence the behaviours of those you are trying to lead. Each leadership style can be identified with a different problem-solving and decision-making approach. Understanding the various leadership styles and their developmental levels will help you match a particular style for a specific situation. The challenge is to master the ability to change your leadership style for a given situation as the person's development level changes.

How can you help your followers increase their development level? Here are some practical ideas:

1. Explain to them what you want to get done.
2. Provide the guidance they might need before they start.
3. allow them to complete the task on their own.
4. Give them much positive encouragement.

Your goal should be to help your followers increase their competence and commitment to independently accomplish the assigned tasks so that you can gradually begin using less time-consuming styles and still get high-quality results. Your organisation depends on positive, influential leaders to perform the mission. No leadership style is appropriate in every situation; therefore, to be an influential leader, you must learn to understand your environment, situation and circumstances to help you act accordingly. Remember, your success as a leader will depend on your assessment of the problem and your ability to communicate what you want so that others will do as you wish - that is the art of leadership.

8.1 What is Leadership?

It is difficult to define the term 'leadership'. However, as a starting point, we may proceed with the workable definition that a leader leads others and can carry an individual or a group towards accomplishing a common goal. He can have them with him because he influences their behaviour. He can influence their behaviour because he enjoys some power over them. They are willing to be influenced because they have specific needs to be satisfied in collaboration with him. *French and Raven* have proposed the following bases of power for a person exerting influence:

1. Legitimate—The targets of influence, followers, or subordinates understand that the leader's power is legitimate and that they should comply with his orders to meet their goals.
2. Reward—The followers know that the leader can grant promotions, monetary inducements, or other rewards if they follow his orders.
3. Coercive- The followers know that if the leader's orders are not complied with, he can hire, fire, perspire and discharge the followers.
4. Expert- The followers know that the leader possesses specialist knowledge in the field they lack.
5. Referent- The followers feel attracted to him because of his amiable manners and pleasing personality, or they think he is well-connected with high-ups.

It is apparent then that the first three power bases indicate positional power, which one derives from one's position. The other two indicate personal power based on the individual's characteristics. In any case, the leader exercises his

influence because of one or more of these types of power and obtains compliance from the followers. How far he succeeds in his attempts will depend upon several other factors discussed in this chapter.

Leadership is, therefore, regarded as the process of influencing the activities of an individual or a group in efforts towards goal achievement in a given situation. This process, as *Heresy and Blanchard* suggest, can be explained in the form of the following equation:
L = f (L, F, S,)

That is, leadership is a function of the leader (L), the follower (F) and other situational variables (S).

One who exercises this influence is a leader, whether a manager in a formal organisation, an informal leader in an informal group, or the head of a family. It is undoubtedly true that a manager may be a weak leader, or a leader may be a weak manager. Still, it is also equally probable that a manager may be a true leader or a leader may be an actual manager.

It is always desirable to have a manager who is also a true leader. Situational variables include the whole environment, such as the task, the group, organisational policies, etc.

8.2 Leadership Styles

Leadership style is how a managerial leader applies his influence in getting work done through his subordinates to achieve the organisational objectives. The primary attitude or belief influencing leadership style is the manager's perceived role versus the subordinates. It depends upon the role of the leader, whether he likes to work more as a colleague, facilitator, and decision-maker. On the other hand, the response of the subordinates would determine the particular style to be used in the application. There are three basic leadership styles:

1. Autocratic or Dictatorial Leadership
In this leadership style, the leader assumes full responsibility for all actions. He mainly relies on implicit obedience from the group to follow his orders. He determines plans and policies and makes decision-making a one-person show.

He maintains very critical and hostile relations with his subordinates. He freely uses threats of punishment and penalties for any lack of obedience. This kind of leadership has a usually concise life.

2. Democratic Leadership
In this case, the leader draws ideas and suggestions from his group through discussion, consultation, and participation. He secures consensus or unanimity in decision-making. Subordinates are duly encouraged to make suggestions regarding their contribution to decision-making and to enhance their creativity. This leadership style is liked in most civilised organisations and has a long life.

3. Laissez-faire Free Rein Leadership
Quite contrary to the autocratic leadership style, in this leadership style, the leader depends entirely on his subordinates to establish their own goals and to make their own decisions. He let them plan, organise and proceed. He takes minimum initiative in administration or information. He is there to guide the subordinates if they are in a problem. This leadership is desirable in mainly professional organisations where employees are self-motivated. The leader works here just as a member of the team.

We shall now discuss the roots of such leadership styles, i.e., we shall try to understand how management scholars have evolved these different leadership styles.

8.3 Approaches to the Study of Leadership Styles

There are broadly three major approaches to the study of the leadership phenomenon. Attempts have been made to understand this phenomenon by studying (i) the traits of the leader, (ii) the behaviour of the leader or (iii) situations in which leadership is exercised. The trait approach was followed from the 1930s to 1960. The behavioural approach attempted to explain a leader's behaviour in terms of his styles or practices but should have addressed the follower and situational characteristics. Therefore, the situational approach, which had the potential to incorporate essential variables, developed during the 1970s.

8.3.1 Trait Approach

There have always been very few leaders in society or organisations. The vast majority of people constitute the followers. But what distinguishes leaders from non-leaders? Or what makes a person a successful leader? It is something that is inborn in him and which the followers lack. This approach stresses the inborn qualities or characteristics of an individual.

One way to identify these traits is to ask the leader how he considers himself different from his followers or what distinguishing characteristics he possesses. Another way is to analyse the leader's past and present in terms of his family background, education, career events, etc. and build up a list of traits or attributes the leader possesses. In both cases, a leader's life becomes exciting only when he has emerged as a leader. This compilation of qualities or attributes does not give any predictive power. Therefore, investigators have tended to relate leadership even with handwriting [graphology], skull shape [phrenology] and the occult influence of stars [astrology].

Different studies have identified different numbers of traits. With each study, the list of traits studied has become longer and longer. Some traits are, however, expected in all the studies. There is a consensus that influential leaders possess intelligence, social maturity and breadth, inner motivation and achievement drive, and a human relations attitude. However, the inability to value the followers' ideas, poor human relations, display of emotional immaturity, and poor communication skills have been considered dysfunctional to effective leadership.

Criticism

The trait approach needs to be stronger in several respects. But before we list the fundamental criticisms, we would like to give examples of leadership that will reveal this approach's main shortcomings.

Amadou Ahidjo, the Cameroonian first president after independence, needed formal education. He was even called 'the petit foubé'. However, he succeeded in containing freedom fighters from UPC after independence.

Mahatma Gandhi, a frail man, not even adequately clothed but wedded to truth, became the Father of the Indian nation.

After becoming the Prime Minister, Lal Bahadur Shastri, a short-statured person, used to be an object of amusement. Still, not very long after that, when the Indian Army marched into Pakistani territory, he became a hero and died at the height of his glory while negotiating a settlement at Tashkent.

Nicolas Sarkozy, a former French President, was short and frail, but he succeeded in winning the 2007 presidential election.

Indira Gandhi, without much formal education, was in 1971, after the Bangladesh war, acclaimed as 'Chandi' and 'Durga' in Ramlila grounds and presented with a sword, etc., by her staunch critics. But the same 'pride of the Nation' fell from grace in 1977.

Our purpose is not to comment upon anyone's leadership but to highlight that while the leader remains the same, his effectiveness has varied in different situations. Although their inborn characteristics are given, whether one succeeds or fails as a leader, perhaps, depends upon something else. It seems a person is at his best when he comes across a situation that needs him. Further, not many things were done daily among those who succeeded or failed.

In times of crisis, a more straightforward form of leadership is required. Leaders emerge more easily in unstable situations. Decisions in such situations relate to either/or. Many alternatives are not available. Full cooperation is forthcoming from all corners. However, the complexity of decision-making is heightened in not-so-unstable situations when on-the-spot decisions are not needed, and consultation and generation of the search process are possible. Most organisations, undoubtedly dynamic but not as unstable as crisis-torn, have complex tasks, so a hierarchy of leaders is required. Therefore, most leadership situations are highly complex and cannot be adequately explained by the trait approach.

We now list criticisms levelled against this approach.

1. no finite set of traits distinguishes successful from unsuccessful leaders. Rarely, if ever, do two lists agree on the essential characteristics of the effective leader. A survey by *Bird and Stogdill* shows: [i] Less than 5 per cent of the traits are standard in four or more studies surveyed, and [ii] leaders are not markedly

different from their followers. The same characteristics are widely distributed among the non-leaders as well.

2. It is challenging to indicate what mix of traits is necessary to make an effective leader, and its measurement needs to be revised.

3. No consistent relationship is discernible between attributes and leader behaviour.

4. This approach stresses individuals' inborn qualities or characteristics and questions the value of training individuals to assume leadership positions. Training may help improve a person if he possesses the primary traits. Consequently, it was first essential to identify those with these traits and then impart training only to such persons. Accordingly, to this approach, training would be fruitless in the case of others. This view seems inappropriate in light of the criticisms above and inconsistent with the results of training programmes.

5. Different traits appear necessary for different roles even in the same organisation. Technical knowledge is paramount at lower managerial levels, where there is direct contact between the worker and the supervisor. Human relations skills are more important than technical knowledge at middle management levels, where they interpret and elaborate policies. At higher managerial levels, ideas are generated, policies are framed, strategic and long-term planning is undertaken, and ideational resources possessing conceptual skills gain a pre-eminent position. Organisations compete not with products but with people. So, the uniformity of traits across all levels is questioned.

6. Leadership in a large organisation demands a specialised, limited role, but a multiplicity of roles must be played in a small organisation. Therefore, the two roles would require a different combination of traits.

7. The approach does not consider what the leader does and ignores followers and their effect on the leader. Leadership's effectiveness is dependent to a large extent on the situation or environment surrounding the leadership or influence process.

8. It requires an initial separation of people into 'leaders' and 'non-leaders' or 'good leaders' and 'not-so-good leaders'. However, there appears to be no particular correlation between a man's ethics and morals and his power to attract followers.

9. When faced with a problem, only the presence or absence of the trait required in that situation becomes known.
That is, a trait needs a situation to be expressed, without which the presence or absence of that trait in a particular individual may not be known.
Therefore, there is an increasing recognition of wide variations in the characteristics of individuals who become leaders in similar situations and even more significant divergence in the traits of leaders working in different situations.

Despite its shortcomings, every approach is entirely valuable. The foundations of new methods are laid based on their weaknesses. Thus, the trait approach paved the way for later approaches like behavioural and situational.

8.3.2 Behavioral Approach

When it was apparent that the trait basis was inadequate to explain the leadership phenomenon, the theorists directed their attention to the study of leader behaviour. This approach was advocated during the 1950s-1960s. The roots of this approach lie in how the management views the workers. Under the spell of the traditional management approach, men were regarded as inert appendages to the machine. It was the function of management to coerce, direct and motivate them through the offer of economic rewards.

Management attempted to reduce wastes of time and material to increase efficiency, and men were not considered assets. In other words, the philosophy was that people were naturally lazy, uncreative, and irresponsible, so leadership had to be directive. However, during the 1930s, the Hawthorne experiments exploded the myth of management thinking.

Elton Mayo and his associates discovered the existence of informal groups and informal leaders and stressed interpersonal relationships significantly influencing productivity. Therefore, the scientific management advocates

ignored human behaviour and expressed some concern for output, whereas the human relations movement showed an overriding concern for people.

These two movements gave birth to leadership studies, which characterised leaders as adopting a leadership style: dictatorial/autocratic/authoritarian/democratic/supportive/consultative/participative or the laissez-faire/free-rein type. These studies examined the impact of a particular leadership style on individual and group behaviour. The dictatorial leader had absolute authority and used threats and punishments to extract work out of people. An authoritarian leader claimed recourse to the authority vested in him to hire, fire, and reward people.
He issued directions and maintained formal relationships with people.
Democratic or participative leaders considered subordinates' views in organisational matters, provided guidance on their work problems, and emotionally involved themselves in helping workers achieve organisational and individual goals. The laissez-faire or free-rein leader supplied information to the group members but displayed little emotional involvement and minimal participation in the group activities. He lets them decide for themselves without laying down any procedures. This amounts to the virtual absence of formal leadership or is analogous to the abdication of responsibility.

Studies of the type just mentioned were inconclusive and brought out conflicting results. Overall, it was revealed that authoritarian leaders improved production temporarily but seriously depreciated human assets. In the case of democratic leaders, output was not as high as in the case of autocratic ones, but quality was better, and human problems were minimal. Laissez-faire or free-rein leaders evoked an altogether different response. Here, the organisation suffered in both the products and human relations. In the final analysis, these studies appeared to suggest that leadership style could be either/or, i.e., just of one particular type, and the best leadership style was the democratic type involving all workers in decision-making.
In a somewhat similar vein, Tannenbaum and Schmidt considered a range of leader behaviour [7 points] from the manager being able to make decisions which non-managers accept at one extreme of the continuum and the manager and non-managers jointly making decisions within limits defined by organisational constraints at the other end of the continuum. This continuum suggests that there is scope for various leadership practices, but it is again

indicative of the dominant philosophy of a leader. It does not predict that different departments of the same organisation could follow different leadership styles. The authoritarian style may be appropriate for the production department, but a democratic style may have to be used in the research and development department. It is also clear that the same leader could adopt different styles for different matters.

Golembiewski suggests that different leadership styles are appropriate for various types of problems. Some roles are peculiar to the superior, such as setting general goals. The generally appropriate leadership style in such a case is leader-centered. An appropriate leadership style is group-centred for 'mixed' roles like relocating machines on which individuals have worked for many years. However, some roles are peculiar to the subordinates, such as deciding how to use a tool. In such a case, one may even use the free-rein leadership style.

Several studies have supported the two primary leadership styles: authoritarian and democratic. Before we discuss some of the critical studies, we may point out that various terms like authoritarian, autocratic, leader-centered, task-oriented, job-centered, goal attainment, initiating structure, or concern for production leaders have been treated in most studies at par. Terms like democratic, participative, group-centered, employee-centered, relationship-oriented, group maintenance, consideration or concern for people leaders have again been taken to mean more or less the same thing.

8.3.3 University of Michigan Studies

The Institute for Social Research at the University of Michigan conducted several studies to identify styles of leader behaviour that result in increased work-group performance and satisfaction. Their studies resulted in the development of two distinct styles of leadership: [I] the job-centred {task-oriented} leadership style emphasising the use of rules, procedures, and close supervision of subordinates, and [ii] the employee-centred {relationship-oriented} leadership style emphasising delegation of authority and responsibility and concern for employee welfare, needs, advancement and personal growth.

The use of both styles led to an increase in production, but it was slightly higher in the case of the job-centered leadership style. However, using direct pressure and close supervision decreased satisfaction and increased turnover and absenteeism. The employee-centred approach led to improved workflow procedures and more cohesion in interaction. This resulted in increased satisfaction and reduced turnover and absenteeism. This fact would suggest the superiority of the employee-centred leadership style.

Criticism

These studies have met with the following criticisms:

1. A severe point of criticism is that these studies fail to point out whether leader behaviour is the cause or effect. A productive group may suggest that the leader adopt an employee-centred approach. Whether the employee-centred leadership style makes the group productive or whether the productive group induces the leader to be employee-centred needs to be clarified.

2. It suggests that leader behaviour is static and of one particular type, whereas, in practice, it changes from situation to situation. A specific leadership style is appropriate in normal circumstances and different when pressure is an extraordinary situation.

3. Using a questionnaire completed by subordinates introduces an element of employee bias and may not present the actual view of the leadership style. The individuals and groups that are satisfied and attracted to the leader are more likely to describe the leader as considerate than those who are conflict-ridden and dislike the leader.

4. As in the trait approach, these studies did not consider the nature of the subordinate's task, personal characteristics, group characteristics, or other situational variables.

9.3.4 Ohio State Studies

Initiated in 1945, the Bureau of Business Research studies by *Fleishman and others* at the Ohio State University identified two independent leadership dimensions called Initiating Structure and Consideration, which meant more or less the same thing as task behaviour and relationship behaviour of a leader. These

concepts were identified as a result of two types of questionnaires: [I] Leader Behavior Description Questionnaire [LBDQ] completed by the peers, superiors and subordinates, and [ii] Leader Opinion Questionnaire [LOQ] scored by the leaders themselves.

The scores derived from the responses to the questionnaire were used to indicate a manager's leadership style. These studies revealed that it was not a question of either/or; instead, many shades or combinations of styles are possible. Management may score high on dimensions, low on both, or high on one and low on the other. Many individual research efforts were undertaken to determine the effect of the initiating structure and consideration on group performance and morale. Initially, it was widely believed that the most effective leadership style was high on initiating structure and consideration.

Later, the results demonstrated that only some styles emerged as the best. In some situations, a high initiating structure and high consideration style would prove effective, but in others, even a low initiating structure and low consideration style could prove effective. Studies show that low consideration and high initiating structure go with grievances and turnover, so improved consideration and reduced structure would lead to a decline in grievances and turnover. However, as *Fleishman and Harris* suggest, certain critical levels must be beyond which increased consideration or decreased structure does not affect grievance or turnover rates. However, leader behaviour characterised by low consideration is more essential than behaviour characterised by high structure. A manager can compensate for high structure by increased consideration, but a low consideration manager cannot pay by decreasing his structuring behaviour.

Criticism

The Ohio State and Michigan studies were carried out at the same time. Still, the Ohio State studies marked a break from the rest in that instead of a single continuum, they used two separate dimensions. This was a significant step forward in itself. However, these studies needed more or less the same weaknesses as the Michigan studies. A few of such weaknesses are listed here:

1. These studies again did not consider the situational factors and the influence of these factors on leader effectiveness. Very little is known about how these styles affect workgroup performance. An individual's productivity is influenced by many other factors, such as his social status within the group, the type of technological process employed, his psychological reward from

working with a particular kind of leader, his expectations of a specific style, etc. Even the formality of the organisational structure was an essential influence on the effectiveness of a given leadership style.

2. The use of two questionnaires—one to be completed by the subordinates and the other by the leaders themselves—has also been severely criticised. The two's perceptions are not likely to agree. This presents a severe measurement problem: how is leadership style perceived by the leader or the subordinates?

iii) Managerial Grid Study

Blake and Mouton have used 'Concern for Production' and 'Concern for People' in their Managerial Grid on horizontal and vertical axes, respectively. These two terms convey the same meaning as used in the Ohio state studies, with the difference that 'concern for' shows a predisposition about something and so is an attitudinal dimension, whereas initiating structure and consideration represent behaviours as perceived by others, and so are observed behaviours.

An Axis can be divided into 9 points. As the leader advances from 1 to 9 on the horizontal scale, his concern for production increases, reaching its maximum at point 9. Similarly, when he travels along the vertical scale, his concern for people becomes maximum at point 9.
The five leadership styles mentioned in the figure above mean the following:

Impoverished (1-1)	Extension of minimum effort to complete required work.
Country Club (1-9)	Thoughtful attention to the needs of people for a satisfying relationship
Middle of the Road (5-5)	Balancing the necessity to get out of work while maintaining people's morale satisfactorily.
Task (9-1)	Interference from human elements permitted to a minimum degree.

Behavioural Theories: A Final Look

As distinct from the trait approach, behavioural theories endeavoured to explain the leadership phenomenon regarding the leader's behaviour. What the leader does is regarded as more important than the leader's characteristics. Therefore, the investigators examined the practices or styles that leaders adopted and gave the impression that a leader had a dominant philosophy. A leader was either authoritarian or democratic.

For the first time, the Ohio State studies considered two independent leadership dimensions and revealed that leadership style could be any mix of the two dimensions. (They isolated two dimensions of a leader's style, perhaps only for statistical convenience. In a later work, four to twelve dimensions have been studied.) This research, no doubt, advanced our knowledge, but its stress on effective leader behaviour being characterised by high initiating structure and high consideration or ineffective leader behaviour being marked by low scores on both dimensions, however, seems misplaced.

There is much evidence to question this inference. A high initiating structure and low consideration style would be most appropriate in the military organisation during wartime. A similar parallel may be drawn in the case of the fire-fighting department when a house is on fire. Moreover, there are contradictory findings regarding the relationship between supervision and productivity. Likert 17 has found general supervision to be associated with high productivity. In contrast, Hersey's study has found close supervision related to high production in Nigeria.

In light of these facts, searching for the most effective leadership style appears to be a wild goose chase. The research findings suggest that a universally accepted "best" style is inappropriate for the complexities of modern organisations. Suppose one considers a single leadership style the best for every organisation at every level with subordinates. In that case, one ignores important influencing factors like subordinate characteristics, task characteristics, group cohesiveness, cultural differences, customs, traditions, level of education, standard of living, etc. As a leader's style does not operate in a vacuum and is intended to influence other's behaviour, these situational factors cannot be ignored. Talking of a single best or normative leadership style is highly unrealistic.

Measurement of these concepts poses another problem. These approaches used questionnaires to measure leadership styles. The questionnaire method has limitations and is controversial. Scientific rigour cannot be applied in studies likely affected by perceptual differences and various interpretations of questions. However, behavioural researchers have universally accepted no measurement methodology, such as questionnaires, observations, or interviews. This is, therefore, an unavoidable limitation.

8.3.5 Situational Approach

The behavioural approach advanced our knowledge in understanding the leadership phenomenon by explaining various combinations of leadership styles. What characteristics an individual possesses does not explain his emergence as a leader, nor does it explain what mix of traits one should have to prove effective if one happens to be placed in a leadership position. The trait approach, in effect, explains some of the desirable characteristics that leaders or leaders should have. However, it is not sure that someone with particular characteristics would be a leader. The behaviour approach, learning from the weaknesses of the trait approach, went a step further to explain the practices available to a leader to discharge his leadership dimensions are available. But this again failed to indicate a 'best' style of leadership, which was universally appropriate.

As a result, it was recognised that it is not style that matters; in fact, no style is good or bad; it is the situation that makes it so. What makes a style effective or ineffective is the situational difference. The behavioural approach failed to consider this situation as an essential element. It merely thought of various leadership practices that prove productive or not so fruitful, but it did not consider its 'why'.

It is, therefore, clear that it is not a matter of the best style but of what style is likely to be effective in a particular situation. What is relevant for an industrial setting may not apply to an educational institution. What is applicable for an administrative office in an academic institution may not be appropriate for the teaching staff. Several leadership behaviour styles may be effective or ineffective depending on the essential elements of the situation.

Leader behaviour is affected by several situational factors, such as managerial characteristics, subordinate characteristics, group factors, organisational factors, etc., which constitute the leader's environment. It isn't easy to list all these factors, but they suggest that leadership is complex. Situational theories attempt to provide at least a partial examination of how these factors impact leadership.

i) Fiedler's Contingency Theory

Fiedler's Contingency Theory specifies that the performance of a group is contingent upon both the motivational system of the leader and the degree to which the leader has control and influence in a particular situation. That is, a leader's effectiveness is contingent upon the favorableness or unfavourableness of the situation. The favorableness of the situation depends upon leader-member relations, the task structure and the leader's position of power. If leader-member relations are good, the task is structured, and the leader's position of power is weak, the situation is highly favourable. A leader operates in a particular situation, and its favorableness or unfavourableness determines the effectiveness of his orientation. It is a question of the practical leadership style only in a specific situation. Let us now understand these variables. Leadership style is measured using an instrument called 'esteem for least preferred co-worker' {LPC}.

Accordingly, the respondent has to think of all co-workers they have ever had and to describe the one person with whom they have been least able to work well, that is, the person they least prefer as a coworker. This need not be someone with whom he works at the time. The description is made by rating that person on a simple bipolar scale, scoring from 1 to 8, with 8 representing the most favourable perception of one's most petite preferred co-worker. The lower the LPC score {an average item value of about 2}, the greater the task orientation of the least preferred co-worker. Such a person is described in a very negative, rejecting manner with the primary goal of task accomplishment. The higher the LPC score [in the neighbourhood of 5 to 8], the greater the willingness to perceive even the worst co-worker as having some reasonable positive attributes.

Such a person's primary goal is to be related to others and seek solid emotional ties with co-workers. Over twenty items were used in LPC scales, and the score was obtained by summing the item values.

Leader-Member Relations: These variables measure the leader's referent power, whether the group accepts or rejects him as its leader.

Task Structure: If the task is particular, can be done only in one way, and the rules and procedures for the task are laid down, leaving no scope for different interpretations, it is said to be highly structured. In this situation, the leader's ability to influence the group is restricted because the task dilutes the leader's potential influence. If the task is entirely non-routine, paths to reach the goal are many, the task is regarded as highly unstructured, and if the leader possesses more knowledge than the followers do, he has great potential for influence.

Leader Position Power: This indicates the extent to which the leader possesses reward, punishment and legitimate power bases. In most business organisations, leaders have a high position of power. Leaders in most voluntary and social organisations tend to have low position power.

As Fiedler has considered three additional variables, viz., leader-member relations, task structure and leader position power, and the leader's employee orientation, eight combinations of these variables are possible, ranging from a highly favourable situation to a highly unfavourable situation. The middle position between these two extremes represents a situation intermediate in favorableness for the leader. He plotted his responses indicating the degree of favorableness of the situation on the horizontal scale and employee orientation [high and low] or LPC score on the vertical scale. The figure given on the next page has emerged as a result.
Above the midline in the figure is a positive relationship between LPC score and group performance, i.e., high LPC or employee-oriented leaders performed better. Below that line is a negative relationship, i.e., low LPC or task-oriented leaders performed better than high LPC or employee-oriented leaders. Thus, the employee-oriented leader succeeded in situations intermediate in favorableness, whereas the task-oriented leader was successful in highly favourable or unfavourable conditions.

These results are plausible. The task-oriented leaders performed most effectively in highly favourable situations. Low LPC leaders are motivated by task accomplishment. In favourable conditions, when tasks are structured but

leader-member relations are good, even the task-oriented behaviour of the leader seems to be friendly and considerate. The workers perceive it as appropriately fitting the situation and support him. In an unfavourable situation, when the task is unstructured, relations between the two are not good, the power position is weak, and he becomes more concerned with performance. Employees who wish to perform well are pretty anxious, so they engage themselves in achieving the group's primary goal. If the leader possesses more knowledge than the followers, they will accept his task orientation to improve their understanding of handling unstructured tasks.

A high LPC leader obtains better group performance in conditions of moderate or intermediate favorableness in which (i) the task is structured. Still, the leader is disliked and demonstrates that he cares about the unstructured task. The leader depends upon the willingness and creativity of the group's members to accomplish the goals.

The whole idea can be summarised as follows:

Leadership Style	*Effectiveness is Contingent upon*
Task-oriented	Favorable leadership situation
	Un-favorable leadership situation
Relationship	Situation intermediate in favorableness for the
Oriented	leader

Fielder's Contingency Model: An Evaluation- In the past, both consideration and structure have been observed to be effective under different conditions, but Fiedler's contingency theory goes a step ahead and helps resolve confusion about optimum conditions for a considerate, people-oriented leader compared with a more structured, task-oriented leader. It is also one of the first approaches to leadership that included situational factors within its theoretical framework. No doubt, it has not covered subordinate characteristics, group characteristics, etc - some of the most essential elements in the situation, but it has covered some ground in these directions. It so will continue to inspire researchers in the field. It does not discuss excellent or wrong styles but states that each leadership style can be effective in certain situations. As leadership effectiveness is a function of

the leader's motivational base and the interaction of situational factors, the organisation may improve a particular work environment's effectiveness by modifying the situational factors or attempting to change the manager's leadership style. Here, Fiedler thinks it is challenging to train task-oriented leaders to behave as considerate, so matching the existing leadership style with jobs calling for that type of leader is expedient. A change in the job assignment may be preferred over a change in the leader.

Despite this added understanding of the phenomenon, the theory is not free from criticisms:

(i) The first problem is what LPC is. It is a measure of the leader's personality or his motivational base. As the manager's motivational bases are in flux, it may be futile to engineer the job to fit the manager's style.
(ii) Fielder's model suggests that leaders are either task-oriented or employee-oriented. According to him, leadership style is essentially a one-dimensional concept, which we have shown earlier to be of doubtful validity.
(iii) His model does not consider that the leader can influence the situation once he knows the existence of a particular kind of situation.
(iv) The theory is based on small samples, so its empirical validity is questioned.
(v) The static theory ignores the situation's long-range influence on the leader and the group.

ii) Tri-Dimensional Leader Effectiveness Model and Situational

Leadership Theory

Hersey and Blanchard at the Centre for Leadership Studies, Ohio University, have used two concepts: behaviour and relationship behaviour. Taking a cue from Redding's 3-D Management Style Theory, they have also added effectiveness dimensions, which, in their analysis, represent the environment. According to them, what matters is not the actual behaviour but its appropriateness to the environment in which it is used. They regard the leader's basic style as a stimulus, and the response to this stimulus can be considered effective or ineffective. Unlike those who argue that there is one best leadership style and make value judgments about the stimulus, the situation list or environmentalists evaluate the response or results. One may agree that a high concern for both production and people is desirable in organisations. Still, it

may be appropriate for high-task, high-relationship managers to engage in various behaviours as they face different environmental contingencies or situations. For example, they suggest that if a manager's subordinates are emotionally mature and can take responsibility for them, the appropriate leadership style may be low tasks and low relationships. Thus, any leadership style can be effective or ineffective, depending on the environment. Therefore, it is evident that the interaction of the basic style with the environment results in a degree of effectiveness or ineffectiveness. Hence, effectiveness may be regarded as a continuum and only a question of the degree of effectiveness of a particular style ranging from highly effective to highly ineffective.

Situation List Leadership Theory: An Evaluation

This is the most comprehensive leadership theory and suggests appropriate leadership styles for the varying levels of maturity of the followers. Depending upon the level of maturity of his followers, a leader, to be effective, should use a corresponding leadership style from among the four quadrants. The theory is still nascent, and we are not yet aware of any research based on this theory. However, it appears to us that several factors, including personal prejudices, condition the leader's judgment of the maturity of followers. Based on this subjective judgment - for which there is no way to be objective, one may adopt an undesired leadership style and prove the theory wrong.

It is also quite possible that, swayed by other situational variables such as the individual's needs, a leader may adopt a style which, according to theory, is inappropriate for a particular maturity level. However, still, it may prove to be effective. That is, if the lower-order needs of an individual are potent, even the high task and low relationship behaviour may prove effective even though the individual has high levels of maturity. The theory seems sound theoretically, but it may not be easy to apply in practice.

iii) Path-Goal Theory

House was baffled by the contradictory findings in the leadership area and so advanced his situational leadership theory. First, Evans discussed the effects of supervisory behaviour on the path-goal relationship, and later, House developed it into a theory based on Vroom's Expectancy Theory of motivation. In Vroom's Expectancy Theory of motivation, there are, among others, two key variables: expectancies and valences. Expectancy is the perceived belief concerning the likelihood that a particular outcome will follow a specific

behavioural act. This degree of belief varies between 0 and 1. Valence is the strength of an employee's preference for a particular outcome. Obviously, employee valences will be positive for certain things, and others will undoubtedly be negative. Expectancy and valence combine multiplicatively to determine one's motivation.

The Path-Goal theory states that an individual's attitude or behaviour can be predicted from (i) the degree to which the job or behaviour is seen as leading to various outcomes (called 'expectancy') and (ii) the evaluation of these outcomes (called 'valence'). One is satisfied with the job if one thinks that it leads to things that are highly valued and works hard if one believes that efforts will lead to things that are highly valued. It is the function of the leader to influence the valence (i.e., goal attractiveness) and expectancy (i.e., goal paths) perceptions of subordinates by increasing personal pay-offs, making the path to these pay-offs easier by clarifying it, reducing roadblocks and pitfalls and increasing the opportunities for personal satisfaction in route. This will increase the motivation of the subordinates. To enable the leader to help the subordinates reach their highly valued job-related goals, the specific style of leader behaviour is determined by two situational variables— characteristics of the subordinates and the characters of the work environment.

The theory envisages four types of leadership behaviour:

(i) Instrumental behaviour is the leader's planning, organising, controlling, and coordinating of subordinate activities.
(ii) Supportive behaviour shows consideration for employees' needs and welfare.
(iii) Participative behaviour implies consultation with subordinates and sharing information.
(iv) Achievement-oriented behaviour suggests setting challenging goals for subordinates and displaying confidence in their ability to do a good job.

The two situational variables mentioned earlier, the characteristics of the subordinate and the characteristics of the work environment, moderate the relationship between the leader's style and the subordinate's behaviour.

The Path-Goal Theory proposes that a leader's behaviour will be acceptable to the subordinate to the extent that the subordinate sees such behaviour as either an immediate source of satisfaction or as needed for future satisfaction. However, the subordinate's characteristics, such as ability, being internal or external (whether they believe what happens to them is under their control or because of fate), and needs and motives influence their perceptions. Accordingly, they view a particular leadership style favourably or unfavourably. For example, a subordinate who can accomplish a task effectively is not likely to view directive or instrumental behaviour favourably. A subordinate with high safety and security needs may accept an instrumental leader style, but those with high social and esteem needs may react more positively to a supportive leader.

The second primary variable is the characteristics of the work environment, which include three broad aspects: (i) the subordinate's tasks that may be structured or unstructured; (ii) the primary work group- its characteristics and stage of development; and (iii) the formal authority system or organisational factors such as (a) the degree to which rules, procedures, and policies govern a subordinate's work; (b) high pressures or stressful situations; and (c) situations of high uncertainty. These work environment characteristics will influence subordinate behaviour about a particular leadership style. For example, the axle assembler in an auto plant-securing front and rear assemblies to chassis springs performs a highly structured and repetitious task. In such a situation, instrumental behaviour would be considered unnecessary and inappropriate. A supportive leader is likely to have more satisfied subordinates than directive ones. However, a directive leadership style would be welcome where the task is unstructured and there is a need for clarification, for example, if an industrial relations team manager gives guidance and direction on how to process a grievance for arbitration.

Thus, the leader's behaviour, modified by the characteristics of the subordinates and the work environment, influences the perceptions of valences and expectancies, which can result in higher motivation, satisfaction, and performance.

Path-Goal Theory: Evaluation

House's Path-Goal Theory of leadership has been formulated and developed only very recently. A few types of research that have been undertaken based on the theory have confirmed its fundamental propositions - that instrumental leader behaviour is more effective than supportive behaviour for subordinates working on unstructured tasks, and supportive leader behaviour results in high employee satisfaction when subordinates perform structured tasks. The main contribution of this theory lies in the fact that it has identified key leadership styles and situational factors and has shown the relationship between these variables in a complex organisational setting. It highlights that the relationship between the leader and the subordinates does not exist in a vacuum. Several situational factors must be considered before a leader can decide on a particular style for a specific group of subordinates. Tasks are generally structured at lower levels and unstructured at higher levels. Therefore, different leadership styles will be required for different occupational groupings and levels of the organisation's hierarchy.

The chief merit of this theory is that it not only suggests what type of style may be most effective in a given situation but also attempts to explain why it is most effective. It gives a situation but also attempts to explain why it is most effective. It offers some indications to the leader of the style he should use in a situation.

Despite this contribution, the theory appears to suffer from the following shortcomings:

(i) The theory is complex, and its testing poses a severe problem.
The measurement of leadership style itself is complex. Research has not yet been conducted on participative or achievement-oriented leadership styles to indicate a measurement methodology.
(ii) It looks somewhat surprising that a leader has to be supportive when subordinates perform routine tasks. This signifies greater emphasis on motivation and satisfaction than performance.

Being very recent in formulation, it is still more a tentative tool than a theory.

An Integrative Model of Leadership

We have examined various approaches to studying and understanding the leadership phenomenon. The Trait approach identified traits only when a person had emerged as a leader, and therefore, it had no predictive power.
Learning from the weaknesses of the trait approach, the foundations of the Behavior approach were laid. Still, this approach wholly concentrated on leader behaviour as if occurring in a vacuum while other variables were ignored. Situational theories attempted to fill in these gaps. However, no single theory can accommodate all the variables, and their complexity increases as more elaborate theories advance. This fact reduces their applicability in practice. Leadership is such a complex phenomenon that we are still determining the solution even after integrating the knowledge generated by formulating and testing various approaches to the study of leadership.

Summary

Your goal as an organisational leader is to do your best to influence your people toward a common goal. Since you are dealing with a very diverse group, it is essential to understand the different approaches to motivating them to meet their goals.

Leadership style is the pattern of behaviours you use to influence the behaviours of those you are trying to lead. Each leadership style can be identified with a different problem-solving and decision-making approach. Understanding the various leadership styles and their developmental levels will help you match a particular style for a specific situation. The challenge is to master the ability to change your leadership style for a given situation as the person's development level changes.

Some modern management scholars like Ivancevich et al. have identified three significant issues in leadership, which have received scant attention from researchers and theorists. These issues include (i) leader reward behaviour, (ii) the causal relationship between leader behaviour and subordinate behaviour, and (iii) substitutes for leadership.

Management scholars have generally examined the effect of leadership style on subordinate behaviour and have rarely related it to leader reward behaviour. However, little research has shown that the relationship between positive leader reward behaviour and subordinate satisfaction and performance is significantly

greater than that reported for relationships involving the leader style components. Similarly, the use of negative rewards has been found to have different effects on subordinates, depending on the individual's organisational level. At higher levels, negative rewards are reported to be motivational because of ambiguous and vague descriptions of the task. In contrast, at lower levels, where tasks are clearly defined, they cause dissatisfaction.

Another interesting issue, though neglected, is whether subordinate behaviour of a particular type is a consequence of leader behaviour or that leader behaviour is a consequence of subordinate behaviour of a specific type. Is it an outcome or a cause? Any efforts that examine these relationships will significantly interest managers and behavioural scientists.

The third issue concerns our frequent assumption that the subordinates depend on the leader for direction, support, influence, and rewards. In practice, experience and job expertise, professional education and training, help from co-workers and peers, specification of rules, procedures and policies, etc., may reduce the subordinate's dependency on the leader. This does not belittle the importance of leadership. On the other hand, it suggests that individual employees may also be influenced by factors other than leader behaviour.
Towards the conclusion of this lesson, it can be summed up that there is no single leadership style that could be most appropriate in every situation; therefore, for you to be an effective leader, you need to learn to understand your environment, your situation and the circumstances to help you act accordingly. Remember, your success as a leader will depend on your assessment of the problem and your ability to communicate what you want so that others will do as you wish - that is the art of leadership.

CHAPTER NINE: MOTIVATION

The reason for people's actions, willingness and goals.The desire to act and move towards a target objective. The following elements are vital in motivating an individual to reach targets: rewards, goals, peer pressure, a friendly environment, encouragement, opportunities, challenges and determination, to name a few.



After reading this chapter, you should understand the meaning of motivation, the nature of the motivational process and the theories of motivation regarding behaviour and work. Generally, people differ by nature in their ability to perform a specific task and their will to do so. People with less ability but lots of strength can perform better than people with superior ability and lack of will. Hard work is crucial to success and achievement. Albert Einstein underscored this belief when he said, "Genius is 10% inspiration and 90% perspiration. This "will" to do is known as motivation. Motivation is a dynamic force that sets a person into motion or action.

The concept of motivation can be traced back nearly twenty-three centuries ago in Greek and Indian writings. The idea that we are motivated to do what brings us the best results for our benefit is found in the early Indian philosophy

through such writings as "Charvak". The most ancient concept of "Nirvana", as proposed and propagated by earliest Aryan thinkers and religious scholars, motivates us to be "good" people so that we can achieve the final "oneness with God." The Greek view of motivation has been dominated by the concept of hedonism, which is a view that people seek pleasure and comfort, and avoids pain and discomfort. This view was based upon intuition and common sense that an individual does what he does because he believes that it will give him more pleasure than anything else he might do. Though still popular, this philosophy depends excessively on rational evaluation and does not consider the effect of instincts or the value system.

Hedonism, based on maximising personal pleasure, cannot explain why some people sometimes risk their own lives to save others in crisis or why volunteers would spend so much time collecting money for charitable causes. However, this view prevailed up to the eighteenth and nineteenth centuries and is evident in the social and economic philosophies of such famous men as Adam Smith, Jeremy Bentham and John Stuart Mill. The principles of hedonism seem too narrow-minded. They are empirically insignificant since it does not attempt to evaluate just what the individuals anticipate as the results of their behaviour and how they measure pleasure. For example, a person who risked his own life to save another rationally decided to become a ‘hero’ or did he act on "impulse," believing that it was the right thing to do irrespective of cost or consequences? The principle of hedonism can be more easily explained ‘after the fact’ when the behaviour has already been described. Thus, even acts of simple kindness can be presented with the motives of "feeling good" about them or earning the gratitude of those whom these acts have helped. Since hedonistic explanations best explain actions after they occur, they cannot be relied upon in predicting behaviour. These limitations of hedonistic viewpoints brought motivation to a different light during the late 1800s and early 1900s. William James and Sigmund Freud argue that instinctive behaviour and unconscious motivation are also essential elements in human behaviour, and these largely determine an individual's interpretation of and response to situations.

Instincts, inborn or innate predispositions that are not consciously rational, can explain certain aspects of human behaviour. These instincts, which influence human behaviour, include the need for autonomy, curiosity, sociability,

sympathy, fear, jealousy, love, dominance, harm avoidance, play, and sex. The large number of identified instincts identifies a variety of possible behaviors.

The instinctive behaviour is like a reflex action meant for survival and caters primarily to physiological needs. It is not learnt and is not dependent upon the consequences of an action. Most instincts are common to all people and would exhibit similar behaviour under similar circumstances. For example, if somebody has a flat tyre while driving, the first instinct is to get mad. The unconscious motivation, of which an individual is unaware, was brought up by Sigmund Freud, who suggested that unconscious motives are primarily sexual and aggressive in nature, and even though unconscious, they greatly influence everyday behaviour. These unconscious motives are revealed in dreams, symbolism, slips of speech (Freudian slips) and hypnotic suggestions.
Instinctive and unconscious motivations do not match scientific analysis, and contemporary psychologists explain behaviour through complex cognitive and environmental interactions. The concept of motivation came under scientific scrutiny during the 1930s, leading to the formulation of many theories and models that try to explain it scientifically.

9.1 Definitions of motivation

Motivation is derived from motive, defined as an active form of a desire, craving, or need that must be satisfied. All motives are directed towards goals, and the needs and desires affect or change your behaviour, which becomes goal-oriented. For example, suppose you ordinarily want to work on time. In that case, you may need more money (desire) at a particular time to change your behaviour, work overtime (goal-oriented behaviour), and satisfy your needs.

Viteles defines motivation as: 'Motivation represents an unsatisfied need which creates a state of tension or disequilibria, causing the individual to move in a goal-directed pattern -towards restoring a state of equilibrium, by satisfying the need.'

9.2 Process of Motivation

Motivated people are in a constant state of tension. This tension is relieved by drives towards activity and outcomes meant to reduce or relieve such tension.

The greater the tension, the more activity will be needed to bring about relief and, hence, higher motivation. These include:

1. Identify Unsatisfied Needs and Motives.

The first process of motivation involves unsatisfied needs and motives. Unsatisfied needs are activated by internal stimuli such as hunger and thirst and external stimuli such as advertisements and window displays.

2. Tension.

Unsatisfied needs create tension in the individual. Such tension can be physical, psychological, and sociological. In this situation, people try to develop objects to satisfy their needs.

3. Action to satisfy needs and motives

Such tension creates a strong internal stimulus that calls for action. The individual engages in activities to satisfy needs and motives for tension reduction. For this purpose, alternatives are searched, and choices are made; the action can be hard work to earn more money.

4. Goal accomplishment

Action to satisfy needs and motives accomplishes goals. Goals can be achieved through reward and punishment. When actions are carried out according to tensions, some are rewarded, and others are punished. Ultimately, goals are accomplished.

5. Feedback

Feedback provides information for revision, improvement, or modification of needs as needed. Their needs and motives are modified depending on how well the goal is accomplished. Drastic changes in the environment necessitate the revision and modification of needs. Usually, performance is determined by;

1. ability,
2. environment and
3. motivation.

9.3 Sources of motivation

Experts in organisational behaviour have a divided opinion as to whether workers are motivated by factors in the external environment, such as rewards or fear, or whether motivation is self-generated without applying external factors. It is well understood that not all workers are equally motivated by the same external factors. Some of these motivational sources are:

9.3.1 Positive Motivation

Positive motivation involves proper recognition of employees, efforts, and appreciation of employee contribution towards the organisation's goal achievement. Such motivations improve performance standards and lead to good team spirit and pride, a sense of cooperation and a feeling of belonging and happiness. Some of the positive motivators are:

- Praise and credit for work done.
- A sincere interest in the welfare of subordinates.
- Delegation of authority and responsibility to subordinates.
- Participation of subordinates in the decision-making process.

9.3.2 Negative or Fear Motivation

This motivation is based on using force, power, fear and threats. The fear of punishment or unfavourable consequences affects behavioural changes. Some examples of negative motivation include the fear of failing the examination and being fired or demoted. Fear of failure in the examination motivates many students to work harder and pass the course. Similarly, the fear of being fired keeps the workers in line with the organisational rules and regulations and helps them do a satisfactory job. The fear of punishment and actual punishment has resulted in controlling individual misbehaviour and has contributed towards positive performance in many situations. It is necessary and valuable in many other conditions, such as disciplining a child or handling a riot. It is not recommended or considered a viable alternative in the current business and industrial environment. This is based on the trends and changes in the workforce, including higher levels of employee education and extensive employee unionisation. However, punishment or fear of it is still today's most

common behaviour modification or control technique. When a child misbehaves, he is still spanked. If a worker does not behave according to how the organisation wants him to act, he is fired. If a person does not behave as the society and law want him to, he is punished by arrest and jail. All religions threaten punishment in the life hereafter if a person does not act according to God's and religious rules.

Does the punishment system work? Does it change behaviour? Does the prison system reform the criminal? Does spanking make a "good" child? This area has received considerable attention and has become highly controversial. It has been proposed that while punishment has immediate and short-term effects in affecting and changing behaviour, the long-term effects are highly questionable. A driver who gets fined for running a red light where he is supposed to stop may vow never to do it again at that time, but as time passes, he will do it again. In the context of organisational behaviour, no worker likes to be criticised or threatened with employment termination. Specifically, suppose the worker is punished for occasional undesired behaviour. In that case, it will hurt his morale, make him bitter, put him in a hostile state of mind, and affect his social interaction and his sense of loyalty, perhaps resulting in poor performance, productivity, and quality.

9.3.3 Extrinsic Motivation

This type of motivation is induced by external factors, which are primarily financial in nature. It is based on the assumption that the behaviour that results in positive rewards tends to be repeated. However, the reward for the desired behaviour should be sufficiently robust and durable to improve the probability of desirable behaviour. Money is the most crucial incentive for positive behaviour since money can be used for other resources. These financial incentives and rewards have been debated as to whether they motivate the employees or move them to work and perform. These include higher pay, fringe benefits such as retirement plans, stock options, profit-sharing schemes, paid vacations, health and medical insurance, sympathetic supervision and people-oriented company policies.

9.3.4 Intrinsic Motivation

Intrinsic motivation stems from feelings of achievement and accomplishment. It is concerned with the state of self-actualisation in which the satisfaction of accomplishing something worthwhile motivates the employee further so that this motivation is self-generated and is independent of financial rewards. For example, many retired doctors work accessible in the hospital because it gives them a sense of accomplishment and satisfaction. Mother Teresa's work in the slums of Calcutta, India, motivates the people who work with her and many others who hear about her work and then want to join the team. Similarly, Peace Corps workers work in uncomfortable environments at minimal pay. Some intrinsic motivators are praise, recognition, responsibility, esteem, power, status, challenges and decision-making responsibility.

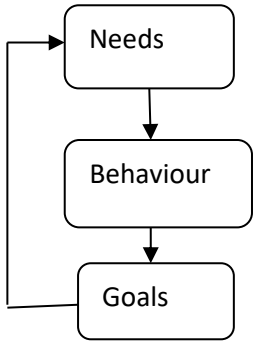
9.4 Theories of motivation on human behaviour

Two types of theories developed relate to and define motivational processes. These are the 'content theories, ' which attempt to determine and specify the drives and needs that motivate people to work, and the 'process theories, ' which attempt to identify the variables that go into motivation and their relationship with each other. These theories are described in greater detail.

9.4.1 The Content Theories of Work Motivation

Content theories have been developed to explain the nature of motivation in terms of the types of needs that people experience. They attempt to focus on factors within a person that initiate and direct a specific behaviour or check certain other types of behaviour. The basic idea underlying such theories is that people have specific physiological and psychological needs and are motivated to engage in activities that would satisfy these needs.

Thus, the nature of needs establishes the nature of motivation, which results in a specific behaviour to satisfy such needs. This relationship is pictured in the following picture:



9.4.2 The Maslow's model

Maslow's 'needs hierarchy theory' is probably the most widely used theory of motivation in organisations. Abraham Maslow suggested that people have a complex set of firm needs, and their most vital needs usually determine the behaviour of individuals at a particular moment. He developed his model of human motivation in 1943, based on his own clinical experience, and formulated his theory of hierarchical needs by asking the same question: what makes people behave the way they do? He made a list of answers from which he developed a pattern. His theory is based upon two assumptions. First, human beings have many different needs, ranging from biological needs at the lower level, which is the level of survival, to psychological needs at the upper extreme, which is the level of growth. Second, these needs occur in an order of hierarchy so that lower-level needs must be satisfied before higher-level needs arise or become motivators.
This means that if people's basic needs, which are biological in nature, are unsatisfied, then their total attention will be focused on these needs. It will not be possible to communicate with them about other matters. This model of hierarchical needs explains human behaviour more dynamically and realistically and is primarily based on people's inner states as a basis for motivation. Environmental conditions do not play any significant role.

Maslow postulates five needs basic needs arranged in successive levers. These needs continue to change, resulting in changes in goals and activities. These five needs are placed in the form as shown. The first three level needs at the bottom are known as "deficiency" because they must be satisfied to ensure the individual's existence and security and make him fundamentally comfortable. The top two sets of needs are termed "growth" because they concern personal growth, development and realising one's potential.

These needs are explained in detail as follows:

1. Physiological needs: The physiological needs form the foundation of the hierarchy and tend to have the highest strength in terms of motivation. These are primarily the needs arising out of physiological or biological tension. They sustain life and include the basic needs for food, water, shelter and sex. Sexual

need and desire are not to be confused with love, which is at the third level. Once these basic needs are satisfied to the degree needed for the sufficient and comfortable operation of the body, the other needs become important and start acting as motivators.

2. Security and Safety needs: Once the physiological needs are gratified, the safety and security needs ~ become predominant. These are the needs for self-preservation as against physiological needs, which are for survival. These needs include security, stability, anxiety-free freedom, and a structured and ordered environment. These safety and security needs are provisions against deprivation of satisfaction of physiological needs in the future. It also involves protection against threats and the danger of losing the job in the future. In a civilised society such as ours, a person is usually protected from threats of violence or extremes in climate or fear of material safety, so that the safety and security needs dwell upon economic and job security, life and medical insurance and other protective measures to safeguard the satisfaction of physiological needs in the future which may be unpredictable.

3. Love and Social needs: After the body's needs and security are satisfied, a sense of belonging and acceptance becomes a prominent motivating behaviour. These needs include love, friendship, affection, and social interaction. We seek an environment where we are understood, respected, and wanted. That is one reason for "polarisation," where people of similar backgrounds and beliefs tend to group. "Love thy neighbour" has perhaps a profound meaning.

4. Esteem needs: This need for esteem is to attain recognition from others, which would induce a feeling of self-worth and self-confidence in the Individual. It is an urge for achievement, prestige, status and power. Self-respect is the internal recognition. Respect from others is the external recognition and appreciation of one's individuality and contribution. This would result in self-confidence, independence, status, reputation and prestige. People then would begin to feel that they are helpful and have some positive effect on their surrounding environment.

5. Self-actualization needs: This last need is to develop fully and realise one's capacities and potentialities to the fullest extent possible, whatever these capacities and potentialities may be. This is the highest level of need in

Maslow's hierarchy and is activated as a motivator when all other needs have been reasonably fulfilled. At this level, the person seeks challenging work assignments that allow creativity, personal growth, and advancement opportunities. This need is for soul searching and is inner-oriented. A self-actualized person is creative, independent, content, and spontaneous, has a good perception of reality, and is constantly striving to realise his fun potential. Thus, 'what a man 'can' be 'must' be.'

Maslow's model is general, in which individuals need to interact with each other to some degree. Needs are not necessarily linear, nor is the order of needs so rigid. The relative dominance of many needs is variable and is continuously shifting. For example, a self-actualized person may shift his priority to social needs and love needs instead of prestige and status if suddenly a vacuum occurs due to losing a loved one. Similarly, a person may not go to the higher need, even when his lower needs are satisfied. It is also likely that a well-prepared elite person may decide to enter a commune with an overwhelming emphasis on love and affection rather than climb the corporate ladder.
Maslow's theory made management aware that people are motivated by a wide variety of needs and that management must provide an opportunity for the employees to satisfy these needs by creating a physical and conceptual work environment that motivates them to do their best to achieve organisational goals.

The physiological needs, the first level in the hierarchy, can be satisfied through organisational efforts and incentives such as adequate wages and salaries, acceptable working conditions to improve comfort and avoid fatigue, more leisure time, and a satisfactory work environment in terms of lighting, ventilation, restrooms, working space, heat, and noise level. Some bonuses and other fringe benefits will be highly motivational.

The second-level safety and security needs can be satisfied through management's initiative to provide life insurance, medical insurance, job security, cost-of-living increments, pension plans, freedom to unionise, and employee protection against automation. Law in the form of minimum wages, unemployment benefits, and welfare benefits provides economic security to some degree. Similarly, unions protect employees against discrimination and indiscriminate firing.

Since first-level physiological needs and second-level security needs are primarily met by the business, industrial, societal, and legal environments, management must take steps to satisfy higher-level needs and must establish which of these needs are the stronger sources of motivation.

When the third level needs of love and affiliation become motivators, people find an opportunity to establish friendly interpersonal relationships in their work environment. The management can satisfy these needs by:

- Providing opportunities for employees to interact with each other through coffee breaks, lunch facilities, and recreational activities such as organised sports programs, company picnics, and other social activities.
- Creating team spirit by keeping work groups informal wherever possible with friendly and supportive supervision.
- Conduct periodic meetings with all subordinates to discuss personal achievements, contributions, and organisational developments.

The fourth level of self-esteem involves a feeling of satisfaction and achievement and recognition for such achievement. The management can take the following steps to satisfy these needs:

- Design more challenging tasks and provide positive feedback on the performance of employees.
- Give recognition and encouragement for performance and contribution and delegate additional authority to subordinates.
- Involve subordinates in goal-setting and decision-making processes.
- Provide adequate training and executive development programs to help employees accomplish their goals and increase their job competency.
- Provide some symbols of status and respect, such as an executive-level job title, private secretary, privileged parking, promotion, company car, stock options, and write-ups about achievements in the company newspapers.

The fifth and top-level needs of self-actualisation long for growth and arid creativity, and the management can take the following steps to satisfy these needs:

- The employees should be allowed to shape their jobs.

- Allow employees freedom of expression. This will open the channels of communication further and allow the employees to get involved.
- Encourage and develop creativity among employees. Creativity is tied in with freedom of expression and freedom of movement.

Maslow believed that from the point of organisational behaviour, the management should strive to create an organisational climate that motivates employees at all levels of the hierarchy. Research has established that top managers are generally more able to satisfy their higher-level needs than lower-level managers with more routine jobs. Blue-collar workers with little freedom over job operations may not even experience the higher level needs.

9.4.3 ERG Theory

The ERG need theory, developed by Clayton Alerted, refines Maslow's needs hierarchy. Instead of Maslow's five needs, the ERG theory condenses these five needs into three: Existence, Relatedness, and growth. The E and Rand G are the initials for these needs.

1. Existence needs: These needs are roughly comparable to the physiological and safety needs of Maslow's model and are satisfied primarily by material incentives. They include all physiological needs of Maslow's model and safety needs that financial and physical conditions rather than interpersonal relations satisfy. These include the need for sustenance, shelter, and physical and psychological safety from threats to people's existence and well-being.

2. Relatedness needs: Relatedness needs roughly correspond to social and esteem needs in Maslow's hierarchy. These needs are satisfied by personal relationships and social interaction with others. It involves open communication and honest exchange of thoughts and feelings with other organisational members.

3. Growth needs are the need to develop, grow, and reach a person's full potential. They are similar to Maslow's self-actualisation needs. These needs are fulfilled by solid personal involvement in the organisational environment and by accepting new opportunities and challenges.

ERG theory differs from Maslow's theory in proposing that people may be motivated by more than one kind of need simultaneously. While Maslow proposes that in the hierarchy of needs, a person will satisfy the lower level needs before he moves up to the next level of needs and will stay at that need until it is satisfied, ERG theory suggests that if a person is frustrated in satisfying his needs at a given level, he will move back to lower level needs. For example, assume that a manager's needs are fully satisfied and that he is looking for more challenging tasks to satisfy his self-esteem needs. If his efforts are not met in meeting these challenges, he will move back to his existing needs and may ask for more material benefits.

9.4.4 McClelland Theory of Needs

Since the lower-level needs in Maslow's model are generally satisfied by the business, societal and legal systems, they are no longer strong motivators. Studies conducted by Harvard psychologist David McClelland concluded that from the organisational behaviour point of view, the most prominent need is the need for achievement, power and affiliation. The primary motive is the 'achievement motive" and is defined as a desire to succeed in competitive situations based upon an established or perceived standard of excellence.'

Individuals with a strong 'need for achievement' (known as n Ach) ask for, accept and perform well in challenging tasks which require creativity, ingenuity and hard work. They are constantly preoccupied with a desire for improvement and look for situations in which successful outcomes are directly correlated with their efforts so that they can claim credit for success. They take- moderate and calculated risks and prefer to get quick and precise feedback on their performance. They set more challenging but achievable goals. For themselves, success with easily attainable goals hardly provides a sense of achievement. They desire greater pleasure and excitement from solving a complex problem than financial incentives or simple praise.

The 'need for power' (n Paw) is the desire to affect and control other people's behaviour and manipulate the surroundings. Power motivation, when applied positively, results in successful managers and leaders who prefer a democratic style of leadership. Power motivation, used negatively, tends to create arrogant autocratic leadership. The 'need for affiliation' (n Aff) is related to social needs

and reflects a desire for friendly and warm relationships with others. Individuals tend to seek affiliation with others with similar beliefs, backgrounds and outlook. This results in information about informal groups and informal organisations. It is also evident in social circles that people mix with people of their kind. Individuals with high 'n Aff' tend to get involved in jobs requiring high interpersonal contact and relations, such as teaching and public relations jobs. From an organisational behaviour point of view, these individuals are highly motivated to perform better in situations where personal support and approval are tied to performance. They tend to avoid conflict and exhibit substantial conformity to the wishes of their friends.

9.4.5 Herzberg's two-factor theory

Fredrick Herzberg and his associates developed the two-factor theory in the late 1950s and early 1960s. As part of a study of job satisfaction, Herzberg and his colleagues conducted in-depth interviews with over 200 engineers and accountants in the Pittsburgh area. The researchers felt that a person's relation to his work is essential and that his attitude towards work would determine his organisation-related behaviour. The respondents were required to describe in detail the environment in which they felt perfect about their jobs and the environment in which they felt wrong about their jobs. It seems natural to believe that people who are generally satisfied with their jobs will be more dedicated to their work and perform it well than those who are dissatisfied. If the logic seems justified, then it would be helpful to isolate those factors and conditions that produce satisfaction with the job and those that create dissatisfaction.

The basic questions that were asked in the survey were the following two:

- What is it about your job that you like? and
- What is it about your job that you dislike?

Based on these answers, it was concluded that some specific characteristics or factors tend to be consistently related to job satisfaction, while others are consistently related to job dissatisfaction. Herzberg named the factors related to job satisfaction as intrinsic motivational factors and factors related to job

dissatisfaction as maintenance or hygiene factors, which are extrinsic. These factors are described in detail as follows:

1. Hygiene factors: Hygiene factors do not motivate people. They prevent dissatisfaction and MAINTAIN STATUS QUO. They produce no growth but prevent loss. The absence of these factors leads to job dissatisfaction. The elimination of dissatisfaction does not mean satisfaction; these factors maintain a 'zero level of motivation.'

For example, if a person indicated 'low pay' as a cause of dissatisfaction, it would not necessarily identify 'high pay' as a cause of satisfaction.

Some of the hygiene factors are:

- Wages, salary and other types of employee benefits
- Company policies and administration rules that govern the working environment
- Interpersonal relations with peers, supervisors and subordinates Cordial relations with all will prevent frustration and dissatisfaction
- Working conditions and job security. Job security may take the form of tenure, or a strong union could support it.
- Supervisor's technical competence as well as the quality of his supervision. If the supervisor is knowledgeable about the work, patient with his subordinates, and explains and guides them skillfully, the subordinates will not be dissatisfied.

All hygiene factors are designed to avoid damage to efficiency or morale and are not expected to stimulate positive growth. Hawthorne's experiments were highly conclusive in suggesting that improvements in working conditions or increments in financial benefits do not contribute to motivated performance. A new plant or upgraded facilities at a plant seldom motivate workers if they do not enjoy their work, and these physical facilities are no substitute for employee feelings of recognition and achievement.

2. Motivational factors

These factors are related to the nature of work (job content) and are intrinsic to the job itself. These factors positively influence morale, satisfaction, efficiency and higher productivity. Some of these factors are:

(i) The job: To be motivated, people must like and enjoy their careers.
They become highly committed to goal achievement and do not mind working late hours to accomplish their tasks. Their morale is high, as evidenced by their lack of absenteeism and tardiness.

(ii) Recognition: Proper recognition of an employee's contribution by management is highly morale-boosting. It gives the workers a feeling of worth and self-esteem. It is human nature to be happy when appreciated. Thus, such recognition is highly motivational.

(iii) Achievement: Achieving a goal gives an incredible feeling of accomplishment. The goal must be challenging, requiring initiative and creativity. An assembly line worker finishing his routine work hardly feels accomplished. Opportunities must exist for meaningful achievement; otherwise, workers become sensitised to the environment and begin to find faults.

(iv) Responsibility: The employee must complete the assigned duties satisfactorily. The higher the level of these duties, the more responsible the work would feel and the more motivated the employee would be. It is good to know that you are considered a person of integrity and given a higher responsibility. It is a motivational factor that helps growth.

(v) Growth and advancement: These factors are interrelated and positively related to motivation. Job promotions, higher responsibility, participation in central decision-making, and executive benefits are all signs of growth and advancement and add to employees' dedication and commitment.

Herzberg's two-factor model is tied in with Maslow's basic model in that Maslow helps identify needs, and Herzberg provides us with directions and incentives that tend to satisfy these needs. Also, the hygiene factors in Herzberg's model satisfy the first three levels of Maslow's model of physiological, security, safety, and social and social needs, and the motivational factors satisfy the last two higher-level needs of esteem and self-actualisation.

Some researchers do not agree with Herzberg's model as conclusive since the results were based primarily on the responses of white-collar workers (accountants and engineers) and do not necessarily reflect the 'blue-collar workers' opinion who may consider hygiene factors as motivational factors. Some studies have found that the effect of hygiene and motivational factors is reversed in some people. They are highly motivated by financial rewards, organised supervision, well-defined work rules, pleasant working environment, and positive employee interaction, and they do not give much importance to achievement and self-actualisation.

Another criticism of Herzberg's two-factor theory dwells upon the research and data collection method. The theory was developed based on the "critical incident" method. This method asked the respondents to indicate incidents associated with their job satisfaction or dissatisfaction. This means that the theory is "method bound", and studies that use other" methods for measuring satisfaction and dissatisfaction fail to support the validity of Herzberg's theory. Furthermore, the theory does not consider individual differences in values and outlook, the individual's age and organisational level.

However, this theory has contributed to one management program that has lent itself to enhancing motivators. It provides valuable guidelines for structuring jobs, including factors such as job content satisfaction.

9.5 Theories of Motivation Regarding Work

While 'need theories' of motivation concentrate upon 'what' motivates persons, 'process theories' concentrate on 'how' motivation occurs. These theories identify the variables that go into motivation and their relationship. Some of these theories are explained in more detail as follows:

9.5.1 Vroom's expectancy model

The expectancy model is based on the belief that motivation is determined by the reward people expect due to job performance.
The underlying assumption is that a man is rational and will try to maximise his perceived value of such rewards. He will choose an alternative that would give him the most benefit. People are highly motivated if they believe that a specific type of behaviour will lead to a certain kind of outcome and their extent

of personal preference for that type of outcome. There are three essential elements in the model. These are:

- **Expectancy:** A person's perception of the likelihood that a particular outcome will result from a particular behaviour or action. This probabilistic likelihood describes the relationship between an act and its outcome. For example, if a student works hard during the semester, he will expect to do well in the final examination. It is not 100% definite that he will do well in the examination. There is some probability attached to this outcome. Similarly, someone who works hard may expect to perform better and increase productivity. For example, a worker works hard and is certain (expectancy = 1.0) that he can produce an average of 15 units a day and 60% sure (expectancy = 0.6) that he can produce a high of 20 units per day. This expectation of outcome is known as the 'first level' outcome.

- **Instrumentality:** This factor relates to a person's belief and expectation that his performance will lead to a particular desired reward. It is the degree of association of the first-level outcome of a specific effort to the second-level outcome, which is the ultimate reward. For example, working hard may lead to better performance as the first-level outcome, and it may result in a reward such as a salary increase, promotion or both, which is the second-level outcome. If a person believes that his high performance will not be recognised or lead" to expected and desired rewards, he will not be motivated to work hard for better output. Similarly, a professor may work to improve his teaching and communication techniques (first-level outcome) to get a promotion and tenure (second-level outcome). Accordingly, instrumentality is the performance-reward relationship.

- **Valence:** Valence is the value a person assigns to his desired reward. He may not be willing to work hard to improve his performance if the reward for such improved performance is not what he desires. It is not the actual value of the reward but the perceptual value of the reward in the mind of the critical worker. A person may be motivated to work hard not to get a pay raise but to get recognition and status. Another person may be more interested in job security than status.

Accordingly, according to this model of motivation, the person's level of effort (motivation) depends upon *Expectancy:* A worker must be confident that his efforts will result in better productivity and that he can perform the task well. *Instrumentality:* The worker must be satisfied that such high performance will be instrumental in getting the desired rewards. *Valence:* The worker must value these rewards as desired and satisfactory. Hence, motivation is related to these three factors:

Motivational Force (M) =Expectancy (E) x instrumentality (I) x Valence (V).

Or M = (E x I x V)

As the relationship suggests, the motivational force will be the highest when expectancy, instrumentality, and valence are all high, and the motivational value is significantly reduced when one or more of expectancy, instrumentality, or valence approaches zero.

The management must recognise and determine the situation as it exists and take steps to improve upon these three factors of expectancy, instrumentality and valence for behavioural modification so that these three elements achieve the highest value individually. For example, if a worker exhibits poorly motivated behaviour, it could be due to the following:

- Low effort-performance expectancy. The worker may lack the necessary skills and training to believe that his extra efforts will lead to better performance. Management could provide training opportunities to improve skills and the relationship between effort and performance.

- Low performance-reward instrumentality relationship. The worker may believe that similar performance does not yield similar rewards. The reward policy may be inconsistent and may depend upon factors other than simply the performance, which the worker may not be aware of or consider fair. Low reward-valence. Since managers may look at the value of a reward differently than workers, management must investigate the desirability of rewards based on performance. While monetary benefits may be more desirable for some workers, the need to be formally appreciated may be a more valuable reward for others for similar task-oriented activities. Vroom's model explains what factors affect a person's

choice of a particular course of action among all available alternatives and why a person would be better motivated towards achieving specific goals than others. Accordingly, managers must understand and analyse the preferences of particular subordinates to design "individualised motivational packages" to meet their needs, keeping in mind that all such packages should be perceived as generally fair by all concerned parties.

9.5.2 Equity theory

Equity theory is based on the assumption of some researchers that one of the most widely assumed sources of job dissatisfaction is employees' feeling that they are not being treated fairly by management or the organizational system.
The 'Equity theory' has two elements. First, the workers want to get a fair reward for their efforts. This "exchange," meaning reward for efforts, is similar to any other exchange.
If you put more effort into your work, you expect to get more rewards. Second, you would compare your rewards with those of others who put in similar efforts. Imagine getting your MBA from an Ivy League university and being offered a job for $30,000 per year. However, you believe this offer is unfair, and based on your qualifications and potential contribution to the company, you think $35,000 per year would be more equitable.

Suppose you do get $35,000 as you hoped for. This would eliminate the inequity, and you are happy. A few days into the job, you find out that another person with the same degree and background from the same university was hired at the same time at $40,000 per year. You feel this is unfair by comparison, and thus, a state of inequity exists in your mind. This inequity can be a source of dissatisfaction.

Equity theory is based on the recognition that employees are concerned not only with the rewards they receive for their efforts but also with the relationship of their rewards with the rewards received by others. They make judgments of equity or inequity between their input and outcomes and the inputs and outcomes of others. For comparison purposes, the inputs can be considered as efforts, skills, education, experience, and competence, and outputs can be regarded as salary levels, recognition, raises, status and other privileges. When such inequity exists, whether perceived or actual, employees will feel uneasy about it and will tend to take steps to reduce or eliminate it. These steps may

result in lower or higher productivity, improved or reduced output quality, increased dedication and loyalty or uncaring attitudes, protests against inequity and voluntary resignation. Equity theory proposes that under-rewarded employees tend to produce less or products of inferior equality than equitably rewarded employees. Over-rewarded employees tend to make more products of higher quality than equitably rewarded employees. It must be realised that inequity exists when people are either "underpaid" or "overpaid" for similar efforts. However, they are more willing to accept overpayment by justifying such overpayment than by taking steps to reduce this inequity.

As formulated by Adams, the equity theory comprises the following postulates:

- Perceived inequity creates a feeling of resentment and tension within individuals.
- The extent of this tension reflects the magnitude and type of inequity.
- Individuals will be motivated to take steps to reduce this tension.
- The more significant the extent of perceived inequity, the greater the strength of such motivation.

There are several steps that a person can take to reduce the tension caused by perceived inequity. It must be understood that inequity exists only in the individual's perception. It may or may not be accurate. If people are satisfied despite any inequalities that might exist or can justify inequity in one way or another, then in their perceptions, such inequity does not exist. The following are some steps people may take to reduce the extent of such inequity.

- They may change their inputs upwards or downwards to a more equitable level. Overpaid workers may justify overpayment by increased efforts, and underpaid workers may reduce their effort and be less interested in work due to excessive absenteeism and tardiness.
- They may alter their outcome to restore equity. The workers.may demand better pay and working conditions for the same input by staging walkouts and strikes or through organised union negotiations.
- They can change the input-outcome ratio to more favourable and equitable levels by distorting the values of the inputs or outcomes. They may artificially increase the importance of the jobs they are doing in their minds or decrease the value of their feedback by believing that they are

not working very hard. For example, suppose a professor does not get a promotion. In that case, he may justify it by either thinking that "it is not the promotion that counts but helping the students achieve academic excellence" or by believing that "he did not work very hard in the area of research and publications."

- Employees may resign from their jobs. 1Smployees who feel that they have been inequitably treated at a particular job may find another job where they think the input-outcome balance is more favourable and equitable.
- People may change the level of comparison with other employees. In the face of equity, the employees may believe that other people get better outcomes because they work harder at it or because they belong to a different category with which the comparison is not valid or justified.
- For example, a professor from the Business Administration division who did not get a promotion may compare it equitably with another professor from the Social Sciences division who did get a promotion by believing that the requirements for promotion for both divisions are not the same or that the professor from the Social Science division worked harder to get his promotion.

9.5.3 Goal-setting theory

Goal setting theory is a relatively applied approach to motivation. It is based upon the assumption that the goal's type and challenge induce the individual's motivation to achieve such a goal. The theory, as proposed by
Edwin Locke studies the processes by which people set goals for themselves and then put in effort to achieve them. The quality of performance is generally shaped by how complex and how specifically defined the goal is:'

General goals such as ‘do your best’ do not lend themselves to accurate performance appraisal and proportionate rewards. Specific objectives are clear and tend to give the worker a clear direction, resulting in improved performance. Similarly, challenging goals, once accepted, lead to higher performance.

- **Goal specificity:** A specific goal identifies the target in quantitative terms. This would enable the worker to evaluate and determine his performance relative to the goal. For example, if a worker produces 50 units a day, the

average output is that he may set his goal of 60 units daily to be achieved within seven days. The worker can evaluate this output daily and decide whether he is adequately moving towards that goal. Meeting a goal gives the worker a sense of achievement, pride and personal satisfaction. General goals, such as "we will produce as much as possible," have little effect on motivation. Specific goals reduce ambiguity, and the worker clearly knows what is expected of him.

- **Goal difficulty:** Difficult but feasible goals provide more challenge than easy goals. Reaching an easy target is not competitive and, hence, hardly exciting. This is particularly true for high-need achievers. Goal commitment is independent of whether the goal is set by the worker himself or is assigned by superiors but depends upon expectations of success and the degree of success. Commitment would also depend upon previous rewards for goal achievement.

The most important element of goal-setting theory is the acceptance of goals by the workers. Of course, the best way to have the goal accepted by workers is to let them set their own goals within the general organisational guidelines. A goal that one establishes for him becomes an integral part of him. An example is a person's career objective. A person with self-set goals will most likely strive harder to achieve them. Assigned goals are equally acceptable if these goals are consistent with the personal aspirations of workers. Acceptance becomes easier if the workers are encouraged to participate in the goal-setting process. Goal acceptance can also be facilitated if the management demonstrates a supportive attitude towards subordinates regarding goal achievement. There is evidence that goal setting, as outlined, improves performance about 90% of the time and that comparatively high achievers set comparatively more challenging goals and are much more satisfied with intrinsic rewards rather than extrinsic rewards.

9.6 Management by Objectives (MBO)

A logical extension of goal-setting theory is Management by Objectives, which involves systematic and programmatic goal setting throughout an organization. It is a process by which managers and subordinates work together to identify goals and set objectives and make plans to achieve these objectives. These objectives and goals are consistent with the organisational goals.

George Odiorne has explained the concept of MBO as follows:

The system of management by objectives can be described as a process whereby the superior and subordinate managers of an organisation jointly identify its expected goals, define each individual's significant areas of responsibility in terms of results expected of him and use these measures as guides for operating the unit and assessing, the contribution of each of its members. Also known as Goal Management, MBO is based upon the assumption that involvement leads to commitment and when an employee participates in goal setting as well as setting standards for measurements of performance towards that goal. The employee will be motivated to perform better and in a manner that directly contributes to the achievement of organisational objectives.

Some of the elements in the MBO process can be described as follows:

1. Central goal settings: The first basic phase in the MBO process is defining and clarifying organizational objectives. These are set by central management, usually in consultation with the other managers.
These objectives should be specific and realistic. This process allows the group managers and the top managers to be jointly involved. Once these goals are established, they should be made known to all the members of the organisation and be clearly understood by them.

2. Manager-subordinate Involvement: After the organisation goals have been set and defined, the subordinates work with the managers to set their goals relative to organisational goals. Such joint consultation is essential because people become highly motivated to achieve objectives that they set to start with. The subordinates' goals are specific and short-range and primarily indicate what the subordinate's unit is capable of achieving in a specified period. The subordinate must set goals in consultation with the individuals who comprise his unit. In this manner, everyone gets involved in the goal setting.

3. Matching goals and resources: Objectives in themselves do not mean anything unless we have the resources and means to achieve those objectives. Accordingly, management must make sure that the subordinates are provided with the necessary tools and materials to effectively achieve these goals. If

the goals are precisely set, then the resource requirements can also be precisely measured, thus making the resource allocation easier. However, just as in goal setting, the allocation of resources should also be done in consultation with the subordinates.

4. Freedom of implementation: The manager-subordinate task force should have adequate freedom in deciding on the utilisation of resources and the means of achieving the objectives. *As* long as these means are within the larger framework of organizational policies, superiors should interfere minimally.

5. Review and appraisal of performance: There should be periodic review of progress between the manager and the subordinates. These reviews would determine if the individual is making satisfactory progress. They will also reveal if any unanticipated problems have developed. They also help the subordinates understand the process of MBO better. They also improve the morale of subordinates since the manager is showing active interest in the subordinate's work and progress. These periodic reviews are necessary since priorities and conditions are constantly changing, and these must be periodically monitored.

The concept of MBO is vibrant in terms of managerial implications. Managers are responsible for assigning or setting goals so that they have the maximum motivational potential. The goals must be tailored to the individual needs and skills since individuals differ so much in their concept of goals. This would create an optimal performance environment for the employees. When appropriately implemented, MBO has some unique advantages. These are:

1. Since MBO is a result-oriented process that focuses on setting and controlling goals, it encourages managers to do detailed planning. Improving the planning process helps create a better overall management system.
2. The managers are required to establish measurable targets and standards of performance and priorities for these targets. Since the goals are set in consultation with subordinates, they are generally more challenging than if the superiors had imposed them. Additionally, since these targets are tailored to the particular abilities of the subordinates, they obtain maximum contribution from them, thus providing optimum utility of human resources.
3. The manager and subordinates know what is expected of them, so role ambiguity and clarity are apparent.

4. It makes individuals more aware of company goals. Most often, subordinates are concerned with their objectives and their environment. However, with MBO, the subordinates feel proud to be involved in the organisational goals, improving their morale and commitment.
5. MBO often highlights areas in which employees need further training. By taking a keen interest in developing subordinates' skills and abilities, management provides an opportunity to strengthen those areas that need further refinement, thus leading to career development.
6. The periodic evaluation system lets the subordinates know how well they are doing. Since MBO strongly emphasises quantifiable objectives, the measurement and appraisal could be more objective, specific, and equitable. These appraisal methods are superior to trait evaluation, which is based upon such factors as liability, cooperation, loyalty, and self-discipline since they focus on results and not on some subjective, intangible characteristics. This evaluation, being more objective, can be highly morale-boosting.
7. It improves communication between management and subordinates. This continuous feedback helps clarify any ambiguities, refine and modify processes, or modify any aspects of goals. Also, MBO is a kind of control mechanism so that if deviations are discovered between the actual performance and the goals, these can be regularly and systematically identified, evaluated, and corrected.

Some of the **problems and limitations** associated with MBO are as follows:

1. In the classical structure of our organisations, authority flows from top to bottom. This creates rigidity and discipline, which generally leads to better performance. Hence, top management is usually reluctant to support MBO, in which their subordinates would take an equal part. Accordingly, MBO can only succeed if it has the complete support of top management.
2. Subordinates may dislike MBO. They may be under pressure to get along with management when setting goals and objectives, and these may be set unrealistically high or far too rigid. This may lower their morale, and they may become suspicious about the philosophy behind MBO. They may earnestly believe that MBO is just another management trick to make the subordinates work harder and become more dedicated and involved.
3. The MBO system emphasises quantifying the goals and objectives. It does not allow subjective goals. Some areas are difficult to quantify and more difficult to evaluate. Thus, MBO rewards productivity at the cost of creativity.

4. There is considerable paperwork involved, which takes too much of the manager's time. Too many meetings and reports add to the manager's responsibility and burden. Some managers may resist the program because of this increased paperwork.
5. The emphasis is more on short-term goals. Since goals are primarily quantitative in nature, long-range planning is complex. This is so because all the variables affecting the planning process cannot be accurately forecast over the long run due to the continuously changing socioeconomic and technical environment. This difficulty affects the stability of goals.
6. Most managers may need to be sufficiently skilled in interpersonal interaction, such as coaching and counselling, which is extensively required.
7. Integrating the MBO system with other systems, such as forecasting and budgeting, could be improved. This would make the overall functioning of all systems very difficult.
8. Group goal achievement is more complicated. When one department's goals depend upon another department's goals, cohesion is more challenging to obtain. For example, the production department can only produce a set quota if it is sufficiently supplied with raw materials and personnel.
Similarly, the sales department can only meet its sales obligation if the production department keeps pace with sales.
9. Properly and entirely implementing the MBO program takes a long time, perhaps three to five years, and some research studies have shown that it can lose its impact and potency as a motivating force over time.

9.7 Motivation, performance and job satisfaction

Job satisfaction can be defined as the extent of individuals' positive feelings or attitudes towards their jobs. When a person says he has high job satisfaction, he likes his job, feels good about it, and values it highly. It has been established that highly satisfied workers have better physical and mental well-being. It is highly debatable which is the cause and which is the effect, but they are known to be correlated. On the other hand, profound job dissatisfaction results in stress and tension, which is usually the cause of a variety of physiological disorders.

9.7.1 Consequences of job dissatisfaction

Job satisfaction or dissatisfaction is of great concern to management since there seems to be a relationship between job satisfaction and job performance. Job

dissatisfaction produces low morale among workers, and low morale at work is highly undesirable. Accordingly, managers must constantly watch for low morale and job dissatisfaction and take corrective action immediately. Some of the indicators of low morale are:

1. Employee unrest: Unrest is a general condition of unhappiness with one's job and may manifest in several ways. The worker may not attend to his job properly, be involved in daydreaming, be forgetful, or not care.
He may start complaining about work conditions and find faults with everything in the work environment. He may enter into formal grievances excessively and start late or periodically absent from work. Sometimes, this unrest becomes so frustrating that it may lead to undesirable habits like excessive drinking. At its extreme, unrest may affect the mental health and well-being of the worker. If this unrest affects a sufficient number of workers, they may take collective action such as go-slows, work stoppages, strikes and other allied group actions.

2. Absenteeism: Job satisfaction is highly related to absenteeism. Studies have found that less satisfied employees are more likely to be absent from work due to "avoidable reasons." This is voluntary absenteeism, against involuntary absenteeism due to illness or other emergencies, unavoidable and unrelated to job satisfaction. In an exciting experiment,

Frank Smith studied the attendance rate of salaried employees at Sears Roebuck Company on a day of severe blizzard. He found that delighted employees were likelier to exert the high effort necessary to get to work. In such work units where job satisfaction was low, attendance at work was much lower. Management must be concerned with excessive absenteeism, which disrupts production and business operations.

3. Tardiness: Like absenteeism, tardiness is generally believed to reflect job dissatisfaction. It is assumed that this tardiness is not due to some explainable reason, such as getting children ready for school, but only because employees do not care much about the job. This is indicated by such employee tardiness as spending excessive time in restrooms, lingering in the parking lot before coming to work, spending too much time on personal telephone calls, and, in general,

an attitude of passing the time at work rather than spending time for helpful productivity.

4. Employee turnover: High employee turnover disrupts normal operations, and continuously replacing the employees who leave is costly and both technically and economically undesirable. According to Arnold and Feldman, organisational units with the lowest average satisfaction levels tend to have the highest turnover rates. The managerial concern is for such turnover, primarily due to a dissatisfactory organisational climate. There are other reasons for voluntary turnover, such as alternative places of employment, geographical constraints, family responsibilities, highly marketable employee's unique skills, and simply an environmental change.

Additionally, the change may be in the organisation's best interests if such turnover is among poor performers. Turnover may be voluntary, initiated by the employee, or due to job dissatisfaction or other personal reasons beyond management's control. It may be undertaken by management and may be due to employees' unsatisfactory conduct, such as incompetence, violation of rules, dishonesty, laziness, insubordination and habitual absenteeism. Turnover could also be due to plant modernisation, lack of product orders, materials shortage, or hard economic times. In any case, turnover should be seriously investigated, and corrective measures should be taken wherever necessary.

5. Union activity: Studies have shown that satisfied employees are generally uninterested in unions and do not perceive them as necessary. The evidence is strong that job dissatisfaction is a significant cause of unionisation. Furthermore, the employees feel that they cannot influence changes individually, which would result in eliminating factors that cause job dissatisfaction. This job dissatisfaction is primarily caused by lower-level needs in Maslow's model of hierarchical needs, such as working conditions and job security, rather than higher-level needs, such as creativity or challenging opportunities. The level of union activities is related to the level of job dissatisfaction. Lower Levels of job dissatisfaction may result in grievances, while higher levels of job dissatisfaction may result in employee strikes.

6. Early retirement: Schmitt and McLane have conducted studies to establish a relationship between early retirement and job satisfaction. There has been evidence that employees who choose early retirement tend to hold fewer

positive attitudes towards their jobs. Employees with higher-level positions with challenging work opportunities are less likely to seek early retirement than employees with lower-level jobs.

9.7.2 Job satisfaction

Job satisfaction results from the employee's perception that the job content and context provide what the employee values in the work situation. It can be defined as 'a pleasurable or positive emotional state resulting from the appraisal of one's job or job experience.' This positive emotional state contributes highly to an employee's physical and mental well-being. Organizationally speaking, a high level of job satisfaction reflects a highly favourable organisational climate, resulting in attracting and retaining better workers.

9.7.3 Sources of job satisfaction

Many research studies have been conducted on job satisfaction and employee morale to establish some of the causes that result in job satisfaction. These studies have revealed that certain variables are consistently correlated with job satisfaction. Some of these factors have been grouped into four identifiable, discreet categories. These are:

1. Organizational factors: Some of the organisational factors as sources of job satisfaction are:

- **Salaries and wages:** Salaries and wages play a significant role in determining the level of job satisfaction irrespective of the level of position that an employee holds in the organisation. Studies conducted by Locke indicate that pay is a primary determinant of job satisfaction, especially when it is perceived as fair and equitable compared to others and relative to an employee's efforts and contributions. Pay is also the prime mover since it satisfies the first-level needs of Maslow's model of motivation. It is also considered a symbol of achievement since higher pay reflects a higher contribution towards organisational operations and welfare.

- **Promotions:** Promotional opportunities are another source of job satisfaction, especially at higher-level jobs. A promotion indicates an employee's worth to the organisation, which is highly morale-boosting. Promotion also involves a positive change in a higher salary, less supervision, more challenging work assignments, increased responsibility, and decision-making freedom.

- **Company policies:** Organizational structure and policies play an important role in establishing an environment conducive to job satisfaction. A highly authoritative and autocratic structure may produce more resentment among employees who may want a more open and democratic style of leadership.

Organisational policies usually govern employee behaviour, and depending upon how strict or liberal these policies are, they can generate positive or negative feelings about the organisation. Liberal and fair policies are usually associated with job satisfaction. Employees who feel unduly constrained because of strict policies or feel that they are not treated relatively well would not be happy with the job,

2. Work environment: The work environment factors include the following:

- **Supervisory style***:* It has been established that there is job satisfaction wherever the supervisors are friendly and supportive of workers. Conversely, it can also be established that satisfied employees create a social work environment where supervisors are more considerate of such employees. In any case, a close relationship between the supervisor and the worker and worker participation in decision-making about issues that directly concern the worker is highly conducive to job satisfaction.

- **Workgroup***:* The group size and the quality of interpersonal relations play a significant role in worker happiness. Larger group sizes usually lead to lower levels of job satisfaction due to the fact that large groups lead to poor interpersonal communication, reduced feeling of togetherness and difficulty in getting to know each other more closely. Smaller groups provide more significant opportunities for building mutual trust and understanding. Work groups also serve as employees'

social, moral, and emotional support systems. Suppose the people in the group exhibit similar societal characteristics, such as attitudes and beliefs. In that case, they tend to be drawn closer to each other, resulting in a work climate that improves job satisfaction.

- **Working conditions:** Good working conditions are highly desirable because they provide greater physical comfort. People put a high premium on a clean and orderly workstation, and factors such as ~ heating, air conditioning, humidity, lighting, noise level, availability of adequate tools and equipment and desirable work schedules all contribute to a higher level of satisfaction. While such desirable working conditions are taken for granted and may not contribute heavily towards job satisfaction, poor working conditions become a source of job dissatisfaction simply because they lead to physical discomfort and physical danger.

- **Work itself:** The work itself plays a major role in determining the level of job satisfaction. The job content has two aspects. One is the "job scope," which involves the amount of responsibility, work pace, and feedback provided. The higher the level of these factors, the higher the job scope and, thus, the level of satisfaction. The second aspect is variety. It has been found that a moderate amount of variety is most effective.

Excessive variety produces confusion and stress, and too little variety causes monotony and fatigue, which dissatisfies. Additionally, a lack of autonomy and freedom over work methods and pace creates a sense of helplessness. It is not very motivating for the employees to have their every step and every action determined by their supervisor. It is highly dehumanising and causes dissatisfaction. Role ambiguity and role conflict should be avoided because employees feel very unhappy if they need to know exactly what their task is and what is expected of them.

4. Personal factors: While the external environment within the organisation and the nature of the job are essential determinants of job satisfaction, the personal attributes of individual employees play a vital role in whether they are happy at the job. People with generally negative attitudes about life and pessimists always complain about everything, including their careers. Age, seniority and

tenure have considerable influence on job satisfaction. It is expected that as people grow older, they usually come up the corporate ladder with time and move into more challenging and responsible positions. Meeting these challenges and succeeding is a high source of satisfaction: Even if they do not move up in their position, it is equally natural to assume that with age, people become more mature and realistic and less idealistic so that they are willing to accept available resources and rewards and be satisfied with the situation.

Employees who do not move up with time are more likely to be dissatisfied with their jobs. Tenure assures job security, and job security is highly satisfactory to employees. This means they can plan for the future without fearing losing their job. Thus, employees with tenure are expected to be highly satisfied with their jobs. Equally important is the intrinsic source of satisfaction, which comes from within the person and is a function of the employee's personality. Some personality traits directly related to increased job satisfaction are self-assurance, self-esteem, maturity, decisiveness, sense of autonomy, challenge and responsibility. It can be concluded that the higher the person is on Maslow's hierarchical needs model, the higher the job satisfaction.

Summary

People's work performance depends upon their ability to do their assigned work and their "will" to do so. Stronger “will” reflects stronger motivation to achieve a goal. The word motivation is derived from a motive, which is a need or a desire requiring movement towards the goal of achievement of such need and want. It is an action, movement or behaviour which must fulfil the unsatisfied need. The motivation can be positive, which requires appreciating employees' efforts, resulting in better performance, or it could be harmful, which induces fear and punishment for less effort. Motivation can also be caused by external factors such as financial rewards for better output, or it could be intrinsic in nature, which is inner-generated. This means that accomplishing something worthwhile motivates the employee further, and this motivation is independent of financial rewards. Historically speaking, the concept of motivation can be traced back twenty-three centuries as reflected in the Greek and Indian writings. These earlier philosophies proposed that we are motivated to do what brings us the best results for our benefit. Similarly, the Greek concept of Hedonism is based upon realising maximum pleasure while at the same time

avoiding pain and discomfort. This brings in the idea of rationality, where our actions become utility-oriented.

These views were held over a long period of time, so the concept of motivation was only scientifically studied and investigated in the early 1930s.
This study led to several theories and models. The content theories of work motivation explain the nature of motivation in terms of the types of needs that people experience. The concept of motivation is presented by the fact that people have specific fundamental physiological and psychological needs and are motivated to engage in activities that would satisfy these needs.
Abraham Maslow built the needs in order of priority into a hierarchy, with the most fundamental needs being physiological needs such as food, clothing, shelter, and so on. Then, in order came the needs for safety and security, love and affection, respect and self-esteem, and finally, the need for self-actualisation, considered the ultimate fulfilment of life. Management can motivate workers by identifying and taking steps to fulfil their needs.
ERG theory, developed by Clayton Alderfer, condenses the five needs proposed by Maslow into three, and ERG stands for existence, relatedness and growth. The fact needs are roughly comparable to the physiological and safety needs of Maslow's model is satisfied primarily by material incentives. Relatedness needs correspond to social and self-esteem needs, and finally, the growth needs are similar mainly to self-actualisation needs and partially to esteem needs. McClelland's theory of needs is based upon the premise that lower-level needs in Maslow's model are generally taken care of by business, societal and legal systems and, hence, are- no longer motivators.' According to this theory, the most prominent need from an organisational behaviour point of view is the need for achievement, power and affiliation. The individuals with a high degree of need for achievement, power and affiliation are highly motivated to fulfil these needs at the highest levels. Herzberg's two-factor theory classifies all work-related factors into two categories. The first category contains factors that are known as hygiene factors. These factors prevent dissatisfaction but do not motivate. Some of these factors are Wages and other benefits, working conditions, organisational rules and policies, cordial relations with 'peers and superiors, job security and so on. These factors are designed to avoid damage to efficiency or morale and are not expected to stimulate positive growth.

Motivational factors, on the other hand, have a positive influence on morale, satisfaction, efficiency, and higher productivity. These include the type of job one enjoys, recognition for employee input and performance, a feeling of accomplishment, increased responsibility and authority, and growth and advancement within the organisation.

The process theories of motivation put forth a hypothesis about how motivation occurs and identify some variables that induce motivation. One such theory is Vroom's expectancy model. This model is based on the belief that the nature of reward people determines the motivation they expect to get due to their job performance. The nature of reward refers to the perceived value the employee assigns to such a reward. This means that a person will be willing to work hard if he believes that such hard work will lead to better performance and that such performance will lead to rewards that the employee values. Another process of motivation is the equity theory. This theory suggests that employees will be motivated to work hard if they sincerely believe management treats them fairly and equitably. This means that employees are concerned not only with the rewards they receive for their efforts but also with the relationship of their rewards with those received by others. This would determine the fairness of their rewards in their minds.

Goal-setting theory is a relatively applied approach to motivation. It is based upon the assumption that the type of goal and the degree of challenge in it would determine the degree of motivation in the individual to achieve such a goal. The goals are generally specific in nature and comparatively more difficult to achieve. A logical extension of goal-setting theory is Management by Objectives (MBO), which involves systematic and programmatic goal-setting throughout the organisation. It is a process by which managers and subordinates work together to identify goals, set objectives, and plan to achieve them. When the subordinates actively participate in goal setting, they are highly motivated to achieve such goals. The primary condition of any motivation at any job is that the employee must like and enjoy his job. If the employees are highly dissatisfied with their jobs, their morale will be much higher, adversely affecting their motivation. Specific indicators reflect job dissatisfaction. These are Employee unrest, excessive absenteeism and tardiness, excessive and short-term turnover, destructive union activity, and the desire of employees to retire early. Management must continuously monitor the work environment to see

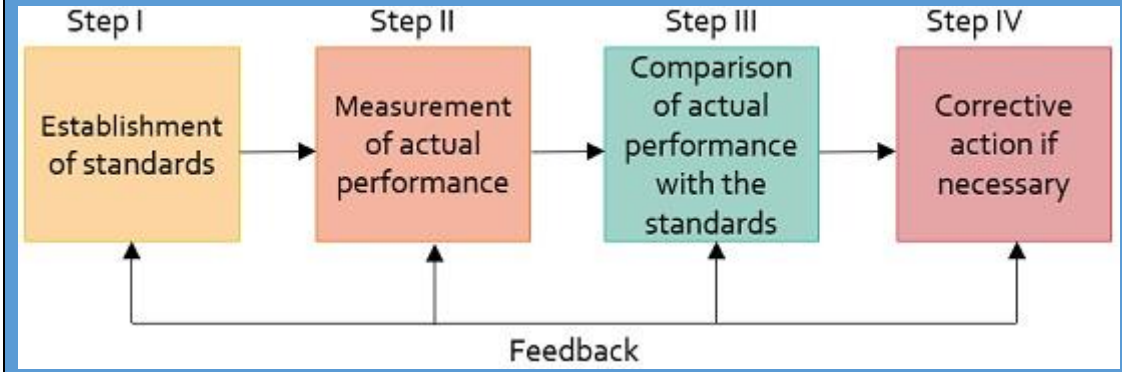
signs of any of the above indicators and take necessary corrective action. On the other hand, motivation is closely tied to job satisfaction, so management must take steps and offer privileges to make the employees happy with their jobs. Some of these privileges and benefits include equitable wages and salaries, timely promotion, participative style of management, good working conditions, team spirit and so on. While all these organisational and work-related factors are essential contributors and catalysts for motivational processes, the most crucial factor is the person himself. His attitude towards life in general would determine his attitude towards his job.

People with generally negative attitudes about life and pessimists always complain about everything, including the job. Accordingly, in addition to providing a healthy work environment, management must ensure that the employee is happy with himself and has a positive outlook on life.

CHAPTER TEN: CONTROLLING

Control is a primary goal-oriented function of management in an organisation. It is a process of comparing the actual performance with the set standards of the company to ensure that activities are performed according to the plans and, if not, take corrective action. The primary control function entails aligning the realisation of outcomes to benchmarks. One of the earliest formulations of the control function by Henry Fayol in 1916 established the control function as Control, or controlling, which is one of the managerial functions like planning, organising, staffing and directing. It is an essential function because it helps to check the errors and to take corrective action so that deviation from standards is minimised and stated goals of the organisation are achieved in a desired manner.

According to modern concepts, control is a foreseeing action, whereas earlier control concepts were used only when errors were detected. Control in management means setting standards, measuring actual performance, and taking corrective action.



The chapter aims to raise awareness about the controlling process and its techniques. All organisations, both business and non-business, face the necessity of coping with problems of control. Like other managerial functions, the need for control arises to maximise the use of scarce resources and achieve purposeful organisation members' behaviour. In the planning stage, managers decide how the resources would be utilised to achieve organisational objectives; at the controlling stage, managers try to visualise whether resources are utilised in the same way as planned. Thus, control completes the whole sequence of the management process.

10.1 DEFINITION

Control is any process that guides activity towards some predetermined goals. Thus, control can be applied in any field, such as price control, distribution control, pollution control, etc. However, control as an element of the management process can be defined as analysing whether actions are being taken as planned and taking corrective actions to make these conform to planning. Thus, the control process tries to find deviations between planned and actual performance and suggest corrective actions wherever needed. For example, Terry has defined control as follows:

'Controlling is determining what is being accomplished, that is, evaluating the performance and, if necessary, applying corrected measures so that the performance takes place according to plan.'

Based on the definition of control, its following features can be identified:

1. Control is forward-looking because one can control future happenings, not the past. However, in the control process, past performance is constantly measured because no one can calculate the outcome of a happening that has not occurred. Based on these measurements, managers suggest corrective actions for the future.

2. Control is both an executive process and, from the point of view of the organisations of the system, a result. As part of an executive process, each manager must perform control functions in the organisation. It is true that according to the level of a manager in the organisation, the nature, scope, and limit of his control function may be different compared to a manager at another level. The word control is also preceded by an adjective to designate a control problem, such as quality control, inventory control, production control, or even administrative control. It is administrative control, which constitutes the most comprehensive control concept. All other types of control may be subsumed under it.

3. Control is a continuous process. Though managerial control enables the manager to exercise control at the point of action, it follows a definite pattern and timetable, month after month and year after year.

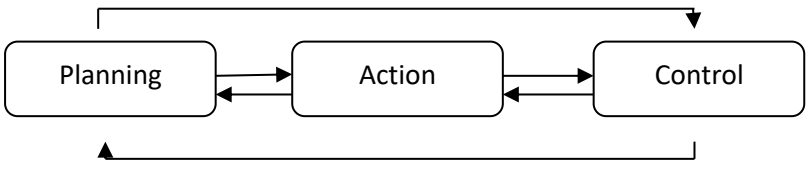
4. A control system is a coordinated-integrated system. This emphasises that although data collected for one purpose may differ from those with another,

these data should be reconciled. Although a control system is a single system, it is more accurate to think of it as a set of interlocking subsystems.

10.2 Controlling and related functions

Control is closely related to other functions of management because control may be affected by other functions and may affect other functions. Often, it is said that planning is the basis, action is the essence, delegation is the key, and information is the guide for control. This reflects how control is closely related to other functions of management. Managing process is an integrated system; all managerial functions are interrelated and interdependent. When control exists in the organisation, people know what targets they are striving for, how they are doing about the targets, and what changes are needed to keep their performance satisfactory. The relationship of control with primary managerial functions can be described as follows:

1. Planning as the Basis: Planning is the basis for control because it provides the entire spectrum on which the control function is based. These terms are often used interchangeably in the department's designation, which carries production planning, scheduling, and routing. It emphasises that there is a plan that directs the behaviour and activities of the organisation. Control measures these behaviours and activities and suggests measures to remove any deviation. Control further implies the existence of specific goals and standards. The planning process provides these goals. Control is the result of particular plans, goals, or policies. Thus, planning offers and affects control. Thus, a reciprocal relationship exists between planning and control, as presented in the Figure below.



Thus, various planning elements provide what is intended and expected and how the goals are achieved. They also provide a means for reporting the progress made against the goals and a general framework for new decisions and actions in an integrated pattern. Properly conceived plans become essential elements in implementing effective control.

2. Action as the Essence: Control emphasises what actions can be taken to correct the deviation that may be found between standards and actual results. The whole managerial process exercise is taken to arrive at organisational objectives set by the planning process. For this purpose, actions and further actions are necessary; each time, there may be a correction and change in the actions depending upon the information provided by the control procedure. Though a corrective action doesn't have to be taken each time, control ensures the desirability of a particular action. This is important for organisational effectiveness. Thus, in a real sense, control means action to correct a condition found to be in error or action to prevent such a condition from arising and is never achieved without having action as an essential step.

3. Delegation as the Key: Delegation is not just a key to control but also a powerful tool that empowers managers. Control action can be taken only by managers responsible for performance but have the authority to get things done. This delegation of authority is a clear sign of trust and confidence in the manager's capabilities, making them feel empowered and capable.
A manager in the organisation gets authority through delegation and red legation. Making someone responsible for achieving results without delegating adequate authority does not make sense. Without proper authority, a manager is unlikely to take practical steps to correct the various deviations in the analysis process. Taking corrective actions may be seen in the context of the controllability of a factor affecting the deviation or non-achievement of organisational objectives. Some of these factors are controllable, and some are uncontrollable. A controllable factor an executive action can control, while the uncontrollable factors lie outside his jurisdiction. A manager's action is likely to be more effective if more factors are controllable by him. He can have better controllability if he has been authorised to make decisions concerning him and affecting his actions. The best policy of delegation is to match responsibility and authority. It suggests that a manager must have corresponding jurisdiction compared to his responsibility. He has to control the operations, which are exercised by taking action, and action may be taken within the limit of the authority. So, the only person who can directly control activities is the one who is directly responsible for them.

This is the basic principle for effective organisations.

4. Information as the Guide: Control action is guided by adequate information from beginning to end. Management information and control systems are closely interrelated; the information system is designed based on the control system. Every manager in the organisation must have adequate information about his performance, standards, and how he contributes to achieving organisational objectives. There must be a system of information tailored to the specific management needs at every level, both in terms of adequacy and timeliness. The control system ensures that every manager gets adequate information. The criterion for adequacy of information for a manager is his responsibility and authority, that is, in the context of his responsibility and authority, what type of information a manager needs. This can be determined based on careful analysis of the manager's functions. If the manager is not using any information to take specific actions, the information may only be meant to inform him and not fall within his information requirement. Thus, an effective control system ensures the flow of the information required by an executive, nothing more or less. Another aspect of information for control and other functions is the timeliness of information. Ideally, the manager should be supplied with the information when he needs it to take action. To correct the deviation, the manager concerned must take timely action. For this purpose, he must have the information at the proper time and cover the functioning of a period subject to control. The control system functions effectively based on the information supplied by the organisation. However, the information is used as a guide; on this basis, a manager determines what action can be taken.

10.3 Importance of control

Organisations try to achieve their objectives through various actions. From this point of view, all the objectives lead to achieving organisational objectives. However, the organisations must also monitor whether they are achieving their objectives. Thus, control is an integrated action of an organisation or manager. It offers help in the following directions:

1. Adjustments in Operations: A control system acts as an adjustment in organisational operations. Every organisation has specific objectives, which become the basis for control. It is sufficient to have objectives and ensure that various functions achieve them. Control provides this clue by determining

whether plans are being observed, making suitable progress towards the objectives, and acting, if necessary, to correct any deviation. This may result in taking more ideal actions to achieve organisational objectives.

2. Policy Verification: Various organisational policies generate the need for control. Managers set specific guidelines and other planning elements for organisational functioning, which later become the basis and reason for control. They become the basis on which organisational performance is reviewed in these lights. They also become the reason for control because an organisation tries to ensure that its various individuals adhere to such a framework. In this process, the organisation and its management can verify the quality of multiple policies.

3. Managerial Responsibility: In every organisation, managerial responsibility is created by assigning activities to various individuals. This process starts at the top level and goes to the lower levels. However, when a manager assigns some activities to his subordinates, he remains responsible for that portion of activities for their ultimate performance. It is natural that when a person is accountable for the performance of his subordinates, he must exercise some control over them. Thus, control is required because of the fundamental nature of the organisation itself. In large organisations, many individuals contribute to the organisational objectives. They are arranged in a hierarchy for efficient performance, forming superior-subordinate relationships throughout the organisation. Since each superior is responsible for his subordinates' activities, the control flows throughout the organisation, beginning at the top level, the only difference being the nature and scope of control.

4. Psychological Pressure: The control process puts psychological pressure on the individuals for better performance. The performance of the individuals is evaluated in the light of targets set for them. A person will likely perform better if he knows his performance will be assessed. He may feel pressure to achieve the results according to his fixed standards. This is further complemented by the reward and punishment based on the performance. Since performance measurement is one of the essential elements of the control process, it ensures that every person in the organisation contributes to their maximum ability.

5. Coordination inaction: Though coordination is the essence of management and is achieved through adequately performing all managerial functions,

control significantly affects this aspect. Control systems are designed to focus not only on a manager's operating responsibility but also on his ultimate responsibility. This forces a manager to coordinate the activities of his subordinates so that each of them contributes positively towards the objectives of the superior. Since this follows throughout the organisation, coordination is achieved as a whole.

6. Organizational Efficiency and Effectiveness: Proper control ensures efficiency and effectiveness. Various factors of control, namely, making managers responsible, motivating them for higher performance, and achieving coordination in their performance, control ensures that the organisation works efficiently. The organisation also moves towards effectiveness because of the control system. The organisation is effective if it can achieve its objectives. Since control focuses on achieving organisational goals, it necessarily leads to organisational effectiveness. Looking into the various roles that the control system plays in the organisation, the management should devise a control system which effectively meets the organisation's demands. The manager can do this if he is aware of the essential features of the effective control system.

10.4 Steps in controlling

The various steps in controlling may broadly be classified into four parts: (i) establishment of control standards; (ii) measurement of performance; (iii) comparison between' performance and standards and the communication; and (iv) correction of deviations from standards.

1. Establishment of Control Standards: Every organisation function begins with plans, which are goals, objectives, or targets to be achieved. In light of these, standards are established, which are criteria against which actual results are measured. It is crucial to identify clearly and precisely the desired results for setting standards for control purposes. Precision in the statement of these standards is essential in many areas; great precision is possible. However, in some places, standards are less precise. Standards may be accurate if they are set in quantities - physical, such as volume of products, person-hour or monetary, such as costs, revenues, and investment. They may also be used in other qualitative terms, such as measuring performance. After setting the

standards, it is also essential to decide about the level of achievement or performance, which will be regarded as excellent or satisfactory.

There are several characteristics of a particular work that determine suitable performance. Essential characteristics that should be considered when deciding on an ideal level of performance for some operations are (i) output, (ii) expense, and (iii) resources. Expense refers to services or functions which may be expressed in quantity to achieve a particular output level. Resources refer to capital expenditure, human resources, etc. After identifying these characteristics, the desired level of each characteristic is determined. The desired level of performance should be reasonable and feasible. The level should also be flexible and stated in range - maximum and minimum.

Control standards are most effective when they relate to the performance of a specific individual because a particular individual can be made responsible for exact results. However, sometimes accountability for a desired outcome is not so assigned; for example, the decision regarding investment in inventory is affected by purchase, rate of production, and sales. In such a situation, where no person is accountable for the levels of inventories, standards may be set for each step a man performs.

2. Measurement of Performance: The second major step in the control process is measuring performance. The step involves measuring the performance of a work in terms of control standards. The presence of standards implies a corresponding ability to observe and comprehend the nature of existing conditions and ascertain the degree of control being achieved. The measurement of performance against standards should be on a future basis so that deviations may be detected in advance of their actual occurrence and avoided by appropriate actions:

Appraisal of actual or expected performance becomes easy if standards are appropriately determined and methods of measuring performance, which can be expressed in physical and monetary terms, such as production units, sales volume, profits, etc., can be quickly and precisely measurable. The performance, which is qualitative and intangible, such as human relations, employee morale, etc., cannot be measured precisely. Techniques like psychological tests and opinion surveys may be applied for such purposes. Such techniques draw

heavily upon intuitive judgement and experience, and these tools are far from exact. According to Peter Drucker, it is very desirable to have precise and common measurements in all critical areas of business. Measurements don't need to be rigidly quantitative. In his opinion, for measuring tangible and intangible performance, measurement must be (i) clear, simple, and rational, (ii) relevant, (iii) direct attention and efforts, and (iv) reliable, self-announcing, and understandable without complicated interpretation or philosophical discussions.

3. Comparing Actual and Standard Performance: The third major step in the control process is comparing actual and standard performance. It involves two steps: (i) finding the extent of deviations and (ii) identifying the causes. Any variation will be revealed when adequate standards are developed, and actual performance is measured accurately. Management may have information relating to work performance, data, charts, graphs, written reports, and personal observations to keep itself informed about performance in different segments of the organisation. Such performance is compared with the standard one to determine whether the organisation's various segments and individuals are progressing in the right direction.

No further managerial action is necessary when the standards are achieved and the control process is complete. However, standards may only be achieved in some cases, and the extent of variations may differ from case to case. Naturally, management must determine whether strict compliance with standards is needed or whether there should be a permissible variation limit. There cannot be any uniform practice for determining such variations. Such variations depend upon the type of activity. For example, a minute variation in engineering products may be more significant than a wide variation in other activities. When the deviation between standard and actual performance is beyond the prescribed limit, an analysis is made of the causes of such deviations.

For controlling and planning purposes, ascertaining the causes and computing variations is essential because such analysis helps management take proper control action. The study will pinpoint the causes controllable by the person responsible. In such a case, the person concerned will take necessary corrective action. However, if uncontrollable factors cause the variation, the person concerned cannot be held responsible, and he cannot take any action.

Measurement of performance and analysis of deviations and their causes may be useless unless these are communicated to the person who can take corrective action. Such communication is presented generally as a report showing performance standards, actual performance, deviations between those two tolerance limits, and causes for deviations. As soon as possible, reports containing control information should be sent to the person whose performance is being measured and controlled. The underlying philosophy is that the person responsible for a job can better influence the final results through his actions. A summary of the control report should be given to the superior concerned because the person on the job may either need the help of his superior in improving performance or may need a warning for his failure. In addition, other people interested in control reports are (i) executives engaged in formulating new plans and (ii) staff personnel who are expected to be familiar with control information to give any advice about the activity under control when approached.

4. Correction of Deviations: This is the last step in the control process, which requires actions to maintain the desired degree of control in the system or operation. An organisation is not a self-regulating system such as a thermostat, which operates in a state of equilibrium created by engineering design. In a business organisation, this type of automatic control cannot be established because the state of affairs results from many environmental factors.

Thus, some additional actions are required to maintain the control. Such control action may be (i) a review of plans and goals and change therein based on such review; (ii) a change in the assignment of tasks; (iii) a change in existing techniques of direction; (iv) a change in organisation structure; provision for new facilities, etc. Correction of deviation is the step in the management control process, which may involve all or some of the managerial functions. Due to this, many people hold the view that correcting deviations is not a step in the control process. It is the stage where other managerial functions are performed. Koontz and O'Donnell have emphasised that the overlap of control function with the other merely demonstrates the unity of the manager's job. It shows that the management process is an integrated system.

10.5 Essentials of Effective Control System

Control is necessary in every organisation to ensure that everything is going correctly. Therefore, every manager should have an effective and adequate control system to ensure that events conform to plans. However, control does not work automatically; it requires a specific design. While the basic principles in designing a control system in organisations may be universal, the actual system in an organisation needs some particular design. In this tailoring of the control system, specific requirements should be kept in mind.

1. Reflecting Organizational Needs: All control systems and techniques should reflect the jobs they are to perform. Several control techniques, such as budgeting, costing, etc., may have general applicability. However, it should not be assumed that these might be utilised in all situations. The managers should choose an appropriate control tool that helps them control actions according to plans.

2. Forward Looking: Control should be forward looking. Though many controls are instantaneous, they must focus on how plans can confirm future actions. The control system should be such that it aids in the planning process. This is done in two ways: it draws situations where new planning is needed and gives some of the data upon which plans can be based.

3. Promptness in Reporting Deviation: A thermostat's success is pointing out deviations and immediately taking corrective actions. Similarly, an ideal control system detects deviations promptly and informs the manager to take timely action. This is done through designing good appraisal and information systems.

4. Pointing out Exceptions at Critical Points: Control should point exceptions at critical points and suggest whether action will be taken for deviations. Some deviations in the organisations have any impact, while others, though very little in quantity, may have great significance. Thus, the control system should provide 'information for critical point control and control on exceptions. The crucial point of control stresses that effective control requires attention to those essential factors in appraising performance against an individual plan. The exception control requires a manager to take corrective action when there is exceptional deviation. The more a manager concentrates his control efforts on exceptions, the more efficient the results of his control will be.

5. Objectives: The control should be objective, definite, determinable, clear and positive. The measurement standards should be quantified as far as possible. If they are not quantifiable, they must be determinable and verifiable, such as training effectiveness. If the performance standard and measurement are not readily determinable, many subjective elements enter the process, which catch the controller and control on wrong tooting.

6. Flexible: The control system should be flexible so that it remains workable in the case of changed plans, unforeseen circumstances, or outright failures. Goetz has remarked that a control system should report such failures and contain sufficient flexibility to maintain managerial control of operations despite such shortcomings. Having alternative plans for various probable situations can provide much flexibility in control. Flexible control is usually achieved through flexible plans.

7. Economical: Control should be economical and worth its costs. The economy is relative since the benefits vary with the activity's importance, the operation's size, the expense that might be incurred in the absence of control and the contribution the control system can make. The economy of a control system will depend significantly on the manager's selection for control, which will only be critical factors in areas vital to him. If tailored to the job and the size of the enterprise, control will be economical. Large organisations can afford highly complicated techniques, sophisticated control tools and a more elaborate control system. Still, a small-sized organisation cannot afford these because of cost.

8. Simple: The control system must be simple and understandable so all managers can use it effectively. Complex control techniques, such as complex mathematical formulae, charts, graphs, advanced statistical methods, and others, must communicate the meaning of their control data to the managers who use them. Effective control requires consistency with the position, operational responsibility, and understanding of individuals' needs.

9. Motivating: The control system should motivate both the controller and controlled. While planning and control are necessary for economic operations, research in human relations shows that planning and control are often antagonistic to good human relations. Sometimes, they may even deprive the

people in the organisations of one of man's basic needs - a sense of powerful and worthwhile accomplishment. The design of the control system should be such that it aims to motivate people by fulfilling their needs.

10. Reflecting Organizational Pattern: Control should reflect organisational patterns by focusing attention on positions in the organisation structure through which deviations are corrected. Organisational structure, a principal vehicle for coordinating people's work, is also a significant means of maintaining control. Thus, in every area of control, it is not enough to know that things are going wrong unless it is known wherein the organisation structure the deviations are occurring. This enables managers to fix the responsibility and to take corrective actions.

10.6 Behavioral implications of control

Though control should aim at satisfying the needs of the organisation's members, they often take it otherwise. This may be either because of the adverse real impact of control on them or because of a misperception of the effects of control. Thus, while designing the control system, it must be remembered that almost everybody in the organisation resents the idea of being controlled and objects being evaluated. This means that the control results may not be the same as anticipated by those exercising control. The primary behavioural problems of control can be analysed by considering the nature of control, perception of those being controlled, and actions taken by them.

1. Nature or Control: Control often puts pressure on engaging in desirable behaviour by those who are subject to control. The fundamental question is: will they behave desirably with control? Though opinions may differ on this question, it is often recognised that people engage in that behaviour, which satisfies them whether they have control or no control. This means that if the organisational processes are in tune with the needs of the organisational participants, they can perform well in the presence of control rather than in the presence of control. Behavioural scientists have concluded that people try to be self-actualized, but the organisation provides the fundamental problem which comes the way. They are inherently self-motivated. For example, McGregor's Theory X assumes that most people dislike work and will avoid it if they can, while Theory Y assumes that work is as natural as play or rest to people. In such a case, if their behaviour is controlled, it may be counter-productive for the

organisation. The results may be against the organisational interests. Thus, the essential nature of control itself against the fundamental nature of the people. However, this is only true in some of the cases.
Many people may still behave according to the assumptions of Theory X, and they need rigid control. As discussed earlier, the best control system may focus on individual needs. Otherwise, it will create more behavioural problems and may harm the organisation.

2. Perception or People: Another behavioural implication of control is the perception of people who are being controlled. Though perception may be that control is against the nature of people, it is further aggravated by the fact that people perceive it to be for the organisation's benefit but against them. Thus, perception may be correct or otherwise, and if it brings better results, the organisation shares control alone, whereas the organisational members may get it. In most cases, control is used as a pressure tactic for increasing performance. This is also true because people may produce more if they know their performance is being evaluated. However, several other factors also determine improved performance, the most important being how it is shared between the organisation and its members. Thus, if they also positively perceive this aspect, they will engage in higher performance. In an alternative case, they will take specific actions to thwart the control action. There is another implication of the people's perception of control. The manager may develop some control plan, but the organisational requirements also necessitate many unplanned controls. Thus, unp1anned control is also part of managerial control. This unplanned control has more serious repercussions and is more counter-productive.
The participants may feel that it is due to improper management planning. Thus, they are controlled not because of their shortcomings but because of the failures of others. Naturally, this may be more serious for those who are being controlled.

3. Actions by Participants: In most cases, participants resist control attempts. They will try to escape from the purview of control and may take several actions: (i) they may try to bring behaviour which is satisfying to them but not necessarily satisfying to the organisation; (ii) they may engage in a behaviour which may appear to conform with organisational requirements, but actually, it is not; and (iii) if these are not possible, they may try to engage in behaviour as required by the organisation. In the first case, people may try to overcome

the pressure from control through fanning groups. People can stand only to a certain amount of pressure. After this point is passed, it becomes intolerable to them, and they will try to find out the alternatives. One of the alternatives is forming a group if the people cannot reduce the pressure individually. The group helps them to absorb much of the pressure and thus relieves the individual personality. It eliminates the tension generated by the control, and people feel more secure by belonging to a group, which can counteract the pressure. Now the question is: does the group disappear if the control pressure is off? The answer is generally negative because, over time, control pressure is when people have socialised and identified with a particular group. The group has become attractive to them in more than one respect. Thus, they will likely continue to be the group members even after the control pressure is off. Another alternative to overcoming the pressure of control is that an individual solves it at his level. This happens more so if control pressure affects only a few individuals. In such cases, the individuals may engage in a behaviour that, on the surface, seems to satisfy organisational needs, but actually, it is not. In such cases, they will try to camouflage the information meant for control, like providing wrong information, coming on time to the workplace but not entirely engaging in meaningful behaviour or looking busy without doing anything. This situation is also quite counterproductive.

Individuals who choose any of these alternatives will follow the organisational control attempt. However, this situation may not be considered ideal because it may be counterproductive in the long run. People may feel alienated from the work and the organisation, adversely affecting their efficiency. In such cases, organisations may lose the efficiency of their members and themselves.

10.7 Control and Organisational Factors

As elaborated above, the behavioural implications of control do not mean that control should not be applied in the organisation. Control has many positive aspects, as discussed earlier. The basic necessity is that it should suit die participants to make it more effective. From this point of view, various organisational phenomena that affect the control system must be analysed. Though there are many such organisational factors and people are engaged in finding out the answer to this fundamental question of how people can be better

controlled for organisational effectiveness, the main factors related directly to control are:

1. Organizational Rules and Procedures: Most organisations prescribe some standing measures for providing guidelines for people's actions in the organisation in the form of policies, rules, and procedures. While these elements provide guidelines to them, they, particularly rules and procedures, prescribe rigidity in action. Thus, they leave minimal scope for freedom in action. These rules and procedures also take away initiative and generate alienation. They may often be unable to isolate or sense the factors that have caused a. particular situation. Thus, there may be a tendency to blame those who are not responsible. Besides, the rules and procedures create more delays in action and, consequently, the result. Such a phenomenon is more frustrating to the individuals in the organisation.

2. Perception Formation: As discussed earlier, people's perception is affected by several factors. An organisational situation is affected by the actions of management and the type of relationship between management and employees. The perception of people towards control is a significant factor in determining the response to it. Thus, if people's perception of the control attempt is based on a sound organisational climate, mutual trust, and belief, there is a greater likelihood of getting a favourable and better response from them. On the other hand, if it is based on general distrust, fear, and suspicion, people will always resist the possibility of control attempts.

3. Organizational Communication: The organisation has to design a communication network to carry downward and upward control and information. Through downward communication, a superior sends the information about what a subordinate is expected to do; upward communication is used to get control information from the subordinates, that is, what they have done. Besides, these channels also serve other purposes. Thus, the organisation largely depends on exercising control through communication. Suppose the communication system could be more effective. In that case, it will also affect the control system, to that extent, in communicating what is expected from a subordinate and also how he is performing. Often, communication blockades are a significant source of confusion and frustration in people's minds, and they resist control.

4. Motivational Dynamics: Control is affected by people's motivational dynamics and how the organisation will satisfy their various needs. Motivational dynamics have a twofold role in control.

First, how do the various attempts at control align with the people's needs? Ideally, a control system should focus adequately on the participants' needs and must suit them. This means the control system should be tailor-made and not universal because people differ. Thus, not all people can be satisfied with the same system.

Second, the organisation provides motivation or demotivation to the people to work. Human beings, being gregarious, seek to remain in the organisation. Thus, many of his needs can be satisfied by this phenomenon. However, since an organisation, as a collectivity of people, has certain norms of behaviour, it becomes demotivated for the people if it is not by the people. Thus, the organisational phenomenon of how people are motivated is a crucial factor in controlling the behaviour of people in the organisation. The various factors discussed above suggest that they decide the behavioural implications of control rather than the individual factors alone. Thus, real implications regarding the interaction of personal and organisational factors may be understood. While many of the individual factors may be analysed on the lines suggested earlier in the previous part of the text, the organisational factors may be studied throughout the remaining portion of this part.

10.8 Overcoming behavioral problems

Though there are many approaches for overcoming the behavioural implications of control because of the various factors involved in this fundamental issue, a few important ones are mentioned in brief. These are as follows:

(i) Direct hierarchical pressure should be avoided as much as possible. This problem can be overcome by structural arrangement.

(ii) Management should build cooperation through participation. This is the problem related to setting a suitable organisational climate.

(iii) Management should build a communication network based on open and two-way communication. This is the problem of communication in the organisation.

(iv) Group processes must be strengthened to achieve coordination and cooperation in control. This is the problem of group dynamics.
(v) Management should reinforce the people's economic and non-economic needs. This is the problem of motivation.
(vi) Management should have a long-term perspective when designing control systems so that frequent and abrupt changes do not occur. This is a problem related to organisational planning and control.

Many of these issues are described in this section, while many others have already been discussed in the previous section and will be discussed in other parts of the chapter. From this point of view, the first fundamental issue is the means of control.

10.9 Controlling and management by exception

One of the most essential ways of tailoring controls for efficiency and effectiveness is to ensure they are designed to point out exceptions. In other words, by concentrating on exceptions from planned performance, controls based on the time-honoured exception principles allow managers to detect those places where their attention is required and should be given. This implies using management by exception, particularly in the controlling aspect. Management by exception is a system of identification and communication that signals to the manager when his attention is needed. From this point of view, management by exception can be used in other management processes, even though its primary focus revolves around controlling.

Management by exception has six essential ingredients: (i) Measurement assigns values to past and present performances. This is necessary because, without measurement of some kind, it would be impossible to identify an exception. (ii)
Projection analyses those meaningful measurements to organisational objectives and extends them into future expectations. (iii) Selection involves the criteria management will use to follow progress towards organisational objectives. (iv) The observation stage of management, by exception, involves measuring current performance so that managers are aware of the current state of affairs in the organisation. (v) The comparison stage compares actual and planned performance, identifies the exceptions that require attention and reports the variances to management. (vi) Decision-making prescribes the

action that must be taken to bring performance back into control, adjust expectations to reflect changing conditions, or exploit opportunity. Thus, it can be observed that management by exception is inseparable from other management essentials in many ways. However, the significant difference lies in the superior's attention being drawn only in the case of exceptional differences between planned and actual performance. In other instances, the subordinate manager makes decisions; however, what is outstanding requires completing the whole process.

10.9.1 Benefits of management by exception

There are various areas where percepts of management by exception are used, such as statistical control of product quality, economic order quantities and order points for control of inventories and supplies, break-even points for determining operating levels, trends in ratios of indirect to direct labour used in apportioning overhead, attitude surveys for gauging employee morale, etc. The use of management by exception is prevalent because of the following factors:

1. Management, by exception, saves executives' time because they apply themselves to fewer essential problems. Subordinates handle other details of the issues.
2. It concentrates executives' efforts on significant problems. Instead of spreading managerial attention across all sorts of issues, it is placed selectively where and when needed. Thus, it ensures better utilisation of managerial talents.
3. It facilitates better delegation of authority, increases the span of management and consequently provides better opportunities for self-motivated personnel in the organisation. It lessens the frequency of decisions at the higher levels of management, which can concentrate on strategic management rather than engaging themselves in operational management.
4. Management by exception makes better use of knowledge of trends, history, and available business data. It forces managers to review history and study related business data because these are the foundations upon which standards are derived, and exceptions are noted.
5. It identifies crises and critical problems and thus avoids uninformed, impulsive pushing of the panic button. It helps identify crises because the moment any exceptional deviation occurs, the attention of higher-level

managers is drawn. In this way, it also alerts management to opportunities and difficulties.

6. Management by exception provides qualitative and quantitative yardsticks for judging situations and people. Thus, it helps in performance appraisal by providing more objective criteria and better motivation for people in the organisation.

7. It enhances communication between different segments of an organisation. Focusing on results, it seeks to relate causes, regardless of their place in the organisation, with overall organisational results. As such, it encourages the exchange of information between functions and between a function and the cost centre or profit centre to which it reports.

A degree in communication determines organisational cohesiveness and leads to achieving objectives.

10.10 Scope of control

Knowing the critical areas where power would be exercised is essential for adequate control. The identification of these areas of control enhances the management by (i) delegating authority and fixing up responsibility, (ii) reducing the burden of supervising each activity in detail, and (iii) securing satisfactory results. Controls are needed in every area where performance and results directly and vitally affect the survival and prosperity of the organisation, but these areas need to be specifically spelt out. The following discussion points out the problems and methods of control in each significant area.

1. Controls over Policies: Policies are formulated to govern the behaviour and actions of personnel in the organisation. These may be written or otherwise. Policies are generally controlled through policy manuals, typically prepared by top management. Each individual in the organisation is expected to function according to policy manuals.

2. Control over Organization: Organization charts and manuals control the organizational structure. Organization manuals attempt to solve managerial problems and conflicts, making long-range organizational planning possible, enabling rationalisation of the organizational structure, helping in proper design and clarification of each part of the organization, and conducting periodic checks of facts about organizational practice.

3. Control over Personnel: Generally, the personnel manager or head of the personnel department, whatever his designation, controls personnel in the organisation. Sometimes, a personnel committee is constituted as an instrument of control over key personnel.

4. Control of Wages and Salaries: Control over wages and salaries is achieved through a job evaluation program and wage and salary analysis. Personnel and industrial engineering departments carry out these functions. Often, a wage and salary committee is constituted to help these departments.

5. Control over Costs: Control over costs is exercised by comparing standard and actual costs. Standard costs are set according to different elements of costs. A budgetary control system, including various budgets, also supplement cost control. The controller's department provides information for setting standard costs, calculating actual expenses, and pointing out differences between these two.

6. Control over Methods and Manpower: Control over methods and workforce is maintained to ensure that each individual is working correctly and timely. For this purpose, a periodic analysis of each department's activities is conducted. The functions performed, methods adopted, and time consumed by every individual are studied to eliminate nonessential functions, methods, and time. Many organisations create separate departments or sections known as organisation and methods to control methods and workforce.

7. Control over Capital Expenditure: Control over capital expenditure is exercised by evaluating projects and ranking projects based on their importance, generally based on their earning capacity. A capital budget is prepared for the business as a whole. The budget committee or appropriation committee reviews the budget. There should be a plan to identify the realisation of benefits from capital expenditure and compare it with anticipated results for effective control over capital expenditure. Such comparison is essential because it is a critical guide for future capital budgeting activities.

8. Control over Service Departments: Control over service departments is effected either (i) through budgetary control within operating departments, (ii) through putting limits upon the amount of service an individual department

can ask, or (iii) through authorising the head of the service department to evaluate the request for service made by other departments and to use his discretion about the quantum of service to be rendered to a particular department: Sometimes, a combination of these methods may be used.

9. Control over Line of Products: A committee whose members are drawn from production, sales, and research departments exercise control over the line of products. The committee controls through studies about market needs. Efforts are made to simplify and rationalise the line of products.

10. Control over Research and Development: Control over research and development is exercised in two ways: by providing a budget for research and development and by evaluating each project, keeping in view savings, sales, or profit potentialities. As a highly technical activity, research and development is also controlled indirectly. Improving the ability and judgement of the research staff through training programs and other devices does this.

11. Control over Foreign Operations: Foreign operations are controlled in the same way as domestic ones. The tools and techniques applied are the same. The only difference is that the chief executive of foreign operations has much more authority.

12. Control over External Relations: The public relations department regulates external relations. This department may prescribe specific measures to be followed by other departments while dealing with external parties.

13. Overall Control: Control over each organisation segment contributes to overall organisational control. However, some special measures are devised to exercise overall control. This is done through budgetary control project profit and loss account and balance sheet. Integrating and coordinating budgets prepared by each segment prepare a master budget. The budget committee reviews such a budget. This budget acts as an instrument for overall control. Profit and loss accounts and balance sheets are also used to measure the overall results.

Summary

Control is any process that guides activity towards predetermined goals and takes a backward-looking approach. Thus, control can be applied in any field, such as price control, distribution control, pollution control, etc. It tries to find

deviations between planned and actual performance and suggests corrective actions wherever needed.